



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 4154: general appropriations act; 2026-2027

LIVINGSTON FLOOR AMENDMENT

1. Specifies that of the two new FTE positions at the Department of Agriculture, one FTE is for expenses associated with the screwworm response and allows the state veterinarian to oversee and the department to conduct inspections at the border if the border opens for live cattle imports. The second FTE is for expenses related to a zoonotic disease, or any other animal disease response.
2. Clarifies that the Department of Corrections may prioritize, rather than must prioritize, inmates closest to reentry for participation in the Braille Transcription Program.
3. Appropriates an increase of \$32,500 from the Peace Officer Training Equipment Fund to the Arizona Criminal Justice Commission's operating lump sum budget.
4. Decreases the appropriated FTE authority at the Department of Economic Security by 187 FTE.
5. Eliminates the footnote requiring ADE to use \$2,000,000 from the FY 2026 appropriation for the school safety program for a school safety and threat identification pilot program.
6. Requires ADE to use \$2,000,000 from the FY 2026 appropriation for the school safety program for the school safety interoperability program and specifies the distributions for school safety projects.
7. Specifies that the Department of Homeland Security may consider water and wastewater facilities as grant recipients for the Cyber Ready Arizona program.
8. Increases the appropriated FTE authority at the Department of Insurance and Financial Institutions by 9 FTE.
9. Decreases the Department of Insurance and Financial Institution's appropriation to the Automobile Theft Authority operating budget by \$100,000 and increases the appropriation to the Arizona Vehicle Theft Task Force by \$100,000.
10. Specifies that monies in DIFI's Arizona Vehicle Theft Task Force line item shall be used to pay 100% of overtime expenditures for city, town, and county sworn officers that participate in the task force.
11. Allows any monies remaining from the Judiciary's probation electronic monitoring system operating costs line item to be used to operate the system for other violent offender populations.

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12. Increases the appropriated FTE authority at the Department of Liquor Licenses and Control by 5.5 FTE.
13. Appropriates an additional \$106,000 in FY 2027 from the Highway Patrol Fund to the Department of Public Safety for civil air patrol operating costs.
14. Eliminates the \$1,501,000 appropriation from the Peace Officer Training Equipment Fund in FY 2027 to the State Treasurer for fire incident management efforts.
15. Appropriates \$1,000,000 from the Peace Officer Training Equipment Fund to the Arizona Criminal Justice Commission for grants that enhance law enforcement recruitment and retention activities.
16. Appropriates \$300,000 from the Peace Officer Training Equipment Fund to the State Treasurer to distribute to the Superintendent for Public Instruction for school hardening grants.
17. Decreases the fund balance transfer from the Judicial Collections Enforcement Fund from \$8,000,000 to \$1,000,000.
18. Transfers from the fund balance \$3,000,000 from the Court Appointed Special Advocates Fund and \$4,000,000 from the Juvenile Probation Fund.

LIVINGSTON FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 4154
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Laws 2025, chapter 233, section 23 is amended to read:

3 Sec. 23. STATE DEPARTMENT OF CORRECTIONS

4		2025-26
5	FTE positions	9,592.0
6	Operating lump sum appropriation	\$ 816,308,500
7		\$ 828,190,500
8	Overtime and compensatory time	92,320,300
9	Private prison per diem	269,359,200
10		266,956,700
11	Community corrections	24,330,300
12	Inmate health care contracted	
13	services	380,978,900
14		371,499,400
15	Noncontract medication	15,000,000
16	Injunction-related IT upgrades	2,400,000
17	Total appropriation – state department	
18	of corrections	\$1,600,697,200
19	Fund sources:	
20	State general fund	\$1,537,433,000
21	State education fund for	
22	correctional education	736,400
23	Alcohol abuse treatment fund	555,800
24	Penitentiary land fund	3,466,000
25	State charitable, penal and	
26	reformatory institutions	
27	land fund	3,733,100
28	Corrections fund	35,787,600
29	Transition program fund	2,400,300
30	Prison construction and	
31	operations fund	12,500,100
32	Inmate store proceeds fund	4,084,900

33 Of the amount appropriated in the operating lump sum, \$406,735,800 is designated for
34 personal services and \$234,854,700 is designated for employee-related expenditures. The
35 state department of corrections shall submit an expenditure plan for review by the joint
36 legislative budget committee before spending these monies other than for personal services or
37 employee-related expenditures.

1 After the state department of corrections submits an expenditure plan to the joint
2 legislative budget committee, the department may transfer personal services and employee-
3 related expenditures savings from the operating budget to the private prison per diem line
4 item for private prison staff stipends. The amount of any private prison staff stipend may
5 not exceed the amount given to department staff. The expenditure plan is not subject to
6 review by the joint legislative budget committee.

7 The state department of corrections shall submit an expenditure plan for review by
8 the joint legislative budget committee before spending monies appropriated for the overtime
9 and compensatory time line item other than for personal services or employee-related
10 expenditures.

11 Private prison vendors that contract with this state may use staff vacancy savings to
12 pay for overtime costs without incurring a penalty or staffing offset.

13 Before placing any inmates in out-of-state provisional beds, the state department of
14 corrections shall place inmates in all available prison beds in facilities that are located
15 in this state and that house Arizona inmates, unless the out-of-state provisional beds are of
16 a comparable security level and price.

17 The state department of corrections shall forward to the president of the senate, the
18 speaker of the house of representatives, the chairpersons of the senate and house of
19 representatives appropriations committees and the director of the joint legislative budget
20 committee a monthly report comparing department expenditures for the month and year-to-date
21 as compared to prior year expenditures on or before the thirtieth of the following
22 month. The report shall be in the same format as the prior fiscal year and include an
23 estimate of potential shortfalls, potential surpluses that may be available to offset these
24 shortfalls and a plan, if necessary, for eliminating any shortfall without a supplemental
25 appropriation. The report shall include the number of filled and vacant correctional officer
26 and medical staff positions departmentwide and by prison complex.

27 On or before November 1, 2025, the state department of corrections shall provide a
28 report on bed capacity to the joint legislative budget committee. The report shall reflect
29 the bed capacity for each security classification by gender at each state-run and private
30 institution, divided by rated and total beds. The report shall include bed capacity data for
31 June 30, 2024 and June 30, 2025 and the projected capacity for June 30, 2026, as well as the
32 reasons for any change within that time period. Within the total bed count, the department
33 shall provide the number of temporary and special use beds. The report shall also address
34 the department's rationale for eliminating any permanent beds rather than reducing the level
35 of temporary beds. The report shall also include any plans to vacate beds but not
36 permanently remove the beds from the bed count. If the department develops a plan after the
37 department's November 1, 2025 report to open or close one hundred or more state-operated or
38 private prison rated beds, the department shall submit a plan detailing the proposed bed
39 changes for review by the joint legislative budget committee before implementing these
40 changes.

41 One hundred percent of land earnings and interest from the penitentiary land fund
42 shall be distributed to the state department of corrections in compliance with the enabling
43 act and the Constitution of Arizona to be used to support state penal institutions.

44 On or before December 15, 2025 and July 15, 2026, the state department of corrections
45 shall submit a report to the joint legislative budget committee on the progress made in
46 meeting the staffing needs for correctional officers. Each report shall include the number
47 of filled correctional officer positions, the number of vacant correctional officer
48 positions, the number of people in training, the number of separations and the number of
49 hours of overtime worked year-to-date. The report shall detail these amounts both
50 departmentwide and by prison complex.

51 Twenty-five percent of land earnings and interest from the state charitable, penal
52 and reformatory institutions land fund shall be distributed to the state department of
53 corrections in compliance with the enabling act and the Constitution of Arizona to be used to
54 support state penal institutions.

55 Before spending any state education fund for correctional education monies in excess
56 of \$736,400, the state department of corrections shall report the intended use of the monies
57 to the director of the joint legislative budget committee.

58 Before implementing any changes in contracted rates for inmate health care contracted
59 services, the state department of corrections shall submit its expenditure plan for review by
60 the joint legislative budget committee.

1 On or before August 1, 2025 and February 1, 2026, the state department of corrections
2 shall submit a report to the joint legislative budget committee on the status of all inmate
3 health care performance measures that are tracked by the department for contract monitoring
4 purposes. Each report must include:

5 1. The total number of performance measures, by facility, for which the department
6 is not in substantial compliance.

7 2. An explanation for each instance of noncompliance.

8 3. The department's plan to comply with the performance measures.

9 On or before August 1, 2025, the state department of corrections shall transfer to
10 the public safety personnel retirement system via the department of administration its
11 estimated required annual contribution to the corrections officer retirement plan for fiscal
12 year 2025-2026.

13 The department shall report actual fiscal year 2024-2025, estimated fiscal year 2025-
14 2026 and requested fiscal year 2026-2027 expenditures as delineated in the prior year when
15 the department submits its fiscal year 2026-2027 budget request pursuant to section 35-113,
16 Arizona Revised Statutes.

17 The state department of corrections shall use the amount appropriated in the private
18 prison per diem line item to pay private prison contractors for housing and providing medical
19 care to Arizona inmates. Before spending these monies for any other purpose, the department
20 shall submit an expenditure plan for review by the joint legislative budget committee.

21 The amount appropriated in the injunction-related IT upgrades line item shall be used
22 to address information technology improvements as required by the court in the
23 Jensen v. Thorne inmate health care litigation.

24 The state department of corrections shall use the amount appropriated in the
25 noncontract medication line item to purchase medications to treat hepatitis C and for
26 medication-assisted treatment for substance use disorder. Before spending these monies for
27 any other purpose, the department shall submit an expenditure plan for review by the joint
28 legislative budget committee.

29 The \$650,000 appropriated to the state department of corrections by Laws 2023,
30 chapter 133, section 23, in fiscal year 2023-2024 for inmate dog training is exempt from the
31 provisions of section 35-190, Arizona Revised Statutes, relating to the lapsing of
32 appropriations.

33 Of the amount appropriated by Laws 2024, chapter 209, section 31 for the noncontract
34 medication line item, up to \$9,500,000 may be used for the payment of obligations incurred in
35 fiscal year 2023-2024 for the department's operating expenses.

36 The department may use the amount appropriated by Laws 2023, chapter 133, section 23,
37 as amended by Laws 2024, chapter 209, section 8, in fiscal year 2023-2024 for noncontract
38 medication to pay for fiscal year 2023-2024 department operating expenses without seeking
39 review by the joint legislative budget committee.

40 Sec. 2. Subject to applicable laws, the sums or sources of revenue set forth in this
41 act are appropriated for the fiscal years indicated and only from the funding sources listed
42 for the purposes and objects specified. If monies from funding sources in this act are
43 unavailable, no other funding source may be used.

44 Sec. 3. ARIZONA STATE BOARD OF ACCOUNTANCY

	<u>2026-27</u>
FTE positions	14.0
Lump sum appropriation	\$ 2,257,400
Fund sources:	
Board of accountancy fund	\$ 2,257,400

50 Sec. 4. ACUPUNCTURE BOARD OF EXAMINERS

	<u>2026-27</u>
FTE positions	1.0
Lump sum appropriation	\$ 217,000
Fund sources:	
Acupuncture board of examiners	
fund	\$ 217,000

57 Of the amount appropriated in the lump sum appropriation, \$50,000 may be used to pay
58 outstanding costs of services provided by the department of administration-central service
59 bureau in prior fiscal years.

1	Sec. 5. DEPARTMENT OF ADMINISTRATION	
2		<u>2026-27</u>
3	FTE positions	517.1
4	Operating lump sum appropriation	\$ 97,472,700
5	Utilities	7,649,900
6	Arizona financial information	
7	system	13,362,800
8	Risk management administrative	
9	expenses	14,770,700
10	Risk management losses and	
11	premiums	63,460,900
12	Workers' compensation losses	
13	and premiums	28,741,000
14	Cyber risk insurance	23,037,200
15	Information technology project	
16	management and oversight	1,791,000
17	State surplus property sales	
18	agency proceeds	1,810,000
19	Digital solutions office	1,356,800
20	Critical applications catalogue	400,000
21	Cybersecurity systems	
22	administration	446,500
23	Enterprise resource planning	
24	division	7,512,200
25	Government transformation office	2,093,800
26	State employee professional	
27	development pilot program	1,000,000
28	Emergency telecommunications call	
29	handling services	4,000,000
30	Food bank capital	3,000,000
31	Elected officials' retirement plan	
32	offset	3,000,000
33	Small county assistance	7,650,700
34	County support for corrections	
35	officer employer contributions	377,100
36	Gila county disaster relief	10,000,000
37	County sheriff support	<u>7,000,000</u>
38	Total appropriation – department of	
39	administration	\$299,933,300
40	Fund sources:	
41	State general fund	\$ 30,435,300
42	Air quality fund	930,300
43	Arizona financial information	
44	system collections fund	16,762,400
45	Arizona highway patrol fund	2,000,000
46	Automation operations fund	29,940,400
47	Capital outlay stabilization fund	21,165,700
48	Corrections fund	640,100
49	Cyber risk insurance fund	23,037,200
50	Federal surplus materials revolving	
51	fund	473,600
52	Information technology fund	6,221,400
53	Livestock operator fire and flood	
54	assistance fund	10,000,000
55	Personnel division fund	18,612,300
56	Risk management revolving fund	115,337,400
57	Special employee health insurance	
58	trust fund	5,746,100
59	Special services revolving fund	1,302,800
60	State surplus materials revolving	
61	fund	3,216,200

1	State web portal fund	12,012,600
2	Telecommunications fund	2,099,500

3 The appropriation from the automation operations fund established by section 41-711,
4 Arizona Revised Statutes, is an estimate representing all monies, including balance forward,
5 revenues and transfers during fiscal year 2026-2027. These monies are appropriated to the
6 department of administration for the purposes established in section 41-711, Arizona Revised
7 Statutes. The appropriation is adjusted as necessary to reflect monies credited to the
8 automation operations fund for automation operation center projects. Before spending any
9 automation operations fund monies in excess of \$29,940,400 in fiscal year 2026-2027, the
10 department shall report the intended use of the monies to the joint legislative budget
11 committee.

12 On or before September 1, 2027, the department shall submit a report to the joint
13 legislative budget committee on the results of projects implemented in fiscal year 2026-2027
14 for the state employee public transportation service reimbursements pursuant to section 41-
15 710.01, Arizona Revised Statutes, in a vehicle emissions control area as defined in section
16 49-541, Arizona Revised Statutes, of a county with a population of more than four hundred
17 thousand persons.

18 All state surplus materials revolving fund monies received by the department of
19 administration in excess of \$3,216,200 in fiscal year 2026-2027 are appropriated to the
20 department. Before spending state surplus materials revolving fund monies in excess of
21 \$3,216,200 in fiscal year 2026-2027, the department shall report the intended use of the
22 monies to the joint legislative budget committee.

23 On or before November 1, 2027, the department shall submit a report to the director
24 of the joint legislative budget committee on expenditures made from the cyber risk insurance
25 fund established by section 41-622, Arizona Revised Statutes, from the prior year.

26 On or before March 31, 2027, the department shall submit a report to the director of
27 the joint legislative budget committee and the governor's office of strategic planning and
28 budgeting on the amount that the Maricopa county special health care district has agreed to
29 send to the department for deposit in the state general fund in fiscal year 2026-2027. If
30 the amount that the district has agreed to send to the department for deposit in fiscal year
31 2026-2027 has changed from the amount the district sent to the department for deposit in
32 fiscal year 2025-2026, the report must include the reason for the change.

33 The amount appropriated for the food bank capital line item shall be used for a
34 onetime distribution to a food bank for a capital need. To qualify for distribution in this
35 paragraph, the food bank must be a registered nonprofit organization that is exempt from
36 taxation under section 501(c)(3) of the internal revenue code, have a core mission to provide
37 food to hungry people, have been established between 1980 and 1999, be located in a county
38 with a population of more than four million persons and be headquartered in the city of Mesa.

39 The department shall distribute the amount appropriated for the elected officials'
40 retirement plan offset line item to counties to supplement the normal cost plus an amount to
41 amortize the unfunded accrued liability pursuant to section 38-810, subsection C, Arizona
42 Revised Statutes. The department shall distribute the appropriation equally among all
43 counties with a population of less than three hundred thousand persons according to the 2020
44 United States decennial census. The counties may use the monies allocated in this section
45 only for required employer contributions to the elected officials' retirement plan.

46 Of the amount appropriated in the small county assistance line item, the first
47 \$500,000 shall be distributed to Graham county and the remaining amount shall be distributed
48 equally among all counties with a population of less than nine hundred thousand persons
49 according to the 2020 United States decennial census for maintaining essential county
50 services.

51 The amount appropriated in the county support for corrections officer employer
52 contributions line item shall be distributed to the following counties to fully cover the
53 corrections officer retirement plan employer contribution rate increase as prescribed by
54 section 38-867, Arizona Revised Statutes:

55	1. Apache county	\$ 4,600
56	2. Cochise county	\$ 10,100
57	3. Coconino county	\$ 14,100
58	4. Gila county	\$ 7,700
59	5. Graham county	\$ 7,800
60	6. La Paz county	\$ 4,400
61	7. Maricopa county	\$134,400

1	8. Mohave county	\$ 19,900
2	9. Navajo county	\$ 8,800
3	10. Pima county	\$ 81,300
4	11. Pinal county	\$ 15,100
5	12. Santa Cruz county	\$ 6,600
6	13. Yavapai county	\$ 38,300
7	14. Yuma county	\$ 24,000

8 On or before July 15, 2026, the department shall distribute the full amount
 9 appropriated for the Gila county disaster relief line item in fiscal year 2026-2027 to the
 10 following political subdivisions:

11	1. Town of Miami	\$ 2,500,000
12	2. City of Globe	\$ 2,500,000
13	3. Gila county	\$ 5,000,000

14 On or before July 31, 2026, the department shall distribute the amount appropriated
 15 for the county sheriff support line item in fiscal year 2026-2027 to the sheriff's offices of
 16 the following counties:

17	1. Apache county	\$ 400,000
18	2. Cochise county	\$ 1,100,000
19	3. Coconino county	\$ 400,000
20	4. Gila county	\$ 600,000
21	5. Graham county	\$ 300,000
22	6. Greenlee county	\$ 100,000
23	7. La Paz county	\$ 400,000
24	8. Mohave county	\$ 300,000
25	9. Navajo county	\$ 600,000
26	10. Pinal county	\$ 600,000
27	11. Santa Cruz county	\$ 300,000
28	12. Yavapai county	\$ 1,200,000
29	13. Yuma county	\$ 700,000

30 Sec. 6. DEPARTMENT OF ADMINISTRATION, DIVISION OF SCHOOL FACILITIES

31		<u>2026-27</u>
32	FTE positions	22.0
33	Operating lump sum appropriation	\$ 1,624,700
34	New school facilities debt service	9,938,100
35	Building renewal grants deposit	199,967,900
36	Building renewal grants	
37	administration	750,000*
38	New school facilities	<u>12,734,900</u>
39	Total appropriation – department of	
40	administration, division	
41	of school facilities	\$225,015,600

42 Fund sources:

43	State general fund	\$225,015,600
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44 At least thirty days before any monies are transferred out of the new school
 45 facilities debt service line item, the division of school facilities shall report the
 46 proposed transfer to the director of the joint legislative budget committee.

47 Pursuant to section 35-142.01, Arizona Revised Statutes, any reimbursement received
 48 by or allocated to the division of school facilities under the federal qualified school
 49 construction bond program in fiscal year 2026-2027 shall be deposited in or revert to the
 50 state general fund.

51 Pursuant to section 41-5741, Arizona Revised Statutes, the amount appropriated for
 52 new school facilities shall be used only for facilities and land costs for school districts
 53 that received final approval from the division of school facilities on or before December 15,
 54 2025.

55 After approving a distribution of funding for a land purchase, a land lease or the
 56 construction of a new school, the division of school facilities shall report to the joint
 57 legislative budget committee and the governor's office of strategic planning and budgeting
 58 the final amount of the distribution.

59 The legislature intends that the appropriation to the division of school facilities
 60 in fiscal year 2027-2028 for new school facilities may include up to \$10,000,000 for end of

1 useful life projects that receive final approval from the division of school facilities on or
2 before December 15, 2026 pursuant to section 41-5741, Arizona Revised Statutes.

3 The division of school facilities may use not more than \$27,318,100 of the
4 unencumbered balance in the new school facilities fund established by section 41-5741,
5 Arizona Revised Statutes, for facilities and land costs for school districts that received
6 final approval on or before December 15, 2025 from the division of school facilities pursuant
7 to section 41-5741, Arizona Revised Statutes.

8 Sec. 7. DEPARTMENT OF ADMINISTRATION, AUTOMATION PROJECTS

9 2026-27

10	Department of revenue integrated	
11	tax system modernization	\$ 3,656,800
12	Medicaid enterprise system	
13	mainframe modernization	12,940,000
14	Department of revenue mainframe	
15	migration	1,425,000
16	Arizona medical board website	
17	modernization	150,000
18	Fund sources:	
19	Department of revenue subaccount	\$ 5,081,800
20	Medicaid enterprise system	
21	modernization subaccount	12,940,000
22	Arizona medical board subaccount	150,000

23 The amount appropriated for the department of revenue integrated tax system
24 modernization line item shall be spent for an integrated tax system modernization project
25 that meets the following minimum specifications:

26 1. Captures data fields from electronically filed individual and corporate income
27 tax returns and makes the data available for querying and reporting purposes. The system
28 must provide the department of revenue staff, the joint legislative budget committee staff
29 and the governor's office of strategic planning and budgeting staff direct access to the
30 querying and reporting functions. The querying and reporting functions must include
31 procedures to protect taxpayer confidentiality under applicable state and federal law.

32 2. For electronic corporate income tax returns, captures information regarding the
33 principal business activity of the corporation. This requirement may be satisfied through
34 the North American industry classification system data listed on federal tax forms. The tax
35 system must allow for querying and reporting based on principal business activity.

36 3. Includes an integrated individual income tax model within the project and
37 provides the department of revenue staff, the joint legislative budget committee staff and
38 the governor's office of strategic planning and budgeting staff direct access to the
39 individual income tax model. At a minimum, the individual income tax model must allow the
40 department of revenue staff, the joint legislative budget committee staff and the governor's
41 office of strategic planning and budgeting staff to adjust tax law parameters against an
42 anonymized representative sample of income tax returns to estimate the fiscal impact of
43 proposed tax legislation. The individual income tax model must only include data from state
44 and federal tax returns that are captured by the tax system. The individual income tax model
45 must include procedures to protect taxpayer confidentiality under applicable state and
46 federal law.

47 4. Makes individual and corporate income tax data available for querying, modeling
48 and reporting within twenty-four months after the end of a tax year.

49 Transfers to the automation projects fund

50 The sum of \$2,194,100 is transferred from the state general fund in fiscal year 2026-
51 2027 for deposit in the department of revenue subaccount in the automation projects fund
52 established pursuant to section 41-714, Arizona Revised Statutes, to continue the department
53 of revenue's integrated tax system modernization project.

54 The sum of \$1,462,700 is transferred from the department of revenue integrated tax
55 system project fund established pursuant to section 42-5041, Arizona Revised Statutes, in
56 fiscal year 2026-2027 for deposit in the department of revenue subaccount in the automation
57 projects fund established pursuant to section 41-714, Arizona Revised Statutes, to continue
58 the department of revenue's integrated tax system modernization project.

59 The sum of \$12,940,000 is transferred from the state general fund in fiscal year
60 2026-2027 for deposit in the medicaid enterprise system modernization subaccount in the

1 automation projects fund established pursuant to section 41-714, Arizona Revised Statutes, to
2 continue the medicaid enterprise system mainframe modernization project.

3 The sum of \$1,425,000 is transferred from the department of revenue administrative
4 fund established by section 42-1116.01, Arizona Revised Statutes, in fiscal year 2026-2027
5 for deposit in the department of revenue subaccount in the automation projects fund
6 established pursuant to section 41-714, Arizona Revised Statutes, to migrate the department
7 of revenue from the department of revenue's current mainframe to a cloud-based solution.

8 The sum of \$150,000 is transferred from the Arizona medical board fund established by
9 section 32-1406, Arizona Revised Statutes, in fiscal year 2026-2027 for deposit in the
10 Arizona medical board subaccount in the automation projects fund established pursuant to
11 section 41-714, Arizona Revised Statutes, to modernize the Arizona medical board's website.

12 The monies transferred to the automation projects fund established by section 41-714,
13 Arizona Revised Statutes, pursuant to this section are not appropriations from the automation
14 projects fund. Only direct appropriations to the automation projects fund are
15 appropriations.

16 Quarterly Reports

17 Within thirty days after the last day of each calendar quarter, the department of
18 administration shall submit to the joint legislative budget committee a quarterly report on
19 implementing projects approved by the information technology authorization committee
20 established by section 18-121, Arizona Revised Statutes, including expenditures to date,
21 deliverables, timelines for completion and current status of the projects.

22 Nonlapsing

23 The amounts appropriated pursuant to this section from the automation projects fund
24 established by section 41-714, Arizona Revised Statutes, in fiscal year 2026-2027 are exempt
25 from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
26 appropriations, until June 30, 2028.

27 The \$19,456,800 appropriated to the department of administration by Laws 2024,
28 chapter 209, section 122 in fiscal year 2024-2025 for the department of revenue tax system
29 modernization project is exempt from the provisions of section 35-190, Arizona Revised
30 Statutes, relating to the lapsing of appropriations, until June 30, 2027.

31 The \$3,396,000 appropriated to the department of administration by Laws 2024, chapter
32 209, section 122 in fiscal year 2024-2025 to replace the medicaid enterprise systems
33 mainframe is exempt from the provisions of section 35-190, Arizona Revised Statutes, relating
34 to the lapsing of appropriation, until June 30, 2027.

35 The \$494,500 appropriated to the department of public safety by Laws 2023, chapter
36 133, section 113, in fiscal year 2023-2024 to replace the concealed weapons tracking system
37 is exempt from the provisions of section 35-190, Arizona Revised Statutes, relating to the
38 lapsing of appropriations until June 30, 2027.

39 The following amounts appropriated to the department of administration by Laws 2023,
40 chapter 133, section 113, as amended by Laws 2024, chapter 209, section 11, in fiscal year
41 2023-2024 are exempt from the provisions of section 35-190, Arizona Revised Statutes,
42 relating to the lapsing of appropriations, until June 30, 2027:

43 1. \$6,700,000 for a new information technology platform to authenticate individuals
44 applying for health and human services programs to prevent fraud, waste and abuse.

45 2. \$2,814,600 for the development of several modules associated with the medicaid
46 enterprise system mainframe replacement.

47 3. \$1,685,400 for medicaid enterprise system fraud and waste abuse prevention
48 enhancements.

49 4. \$2,000,000 for medicaid enterprise system systems integrator, which establishes a
50 platform infrastructure in the cloud to serve as the foundation for the modular replacement
51 of the prior prepaid medicaid management information system, and servicenow projects.

52 The \$7,000,000 appropriated to the corporation commission by Laws 2023, chapter 133,
53 section 113 in fiscal year 2023-2024 is exempt from the provisions of section 35-190, Arizona
54 Revised Statutes, relating to lapsing of appropriations. In addition to uses prescribed in
55 Laws 2023, chapter 133, section 113, this amount may be used for post-launch expenses of the
56 corporation commission's online records and filing system, including vendor contracts,
57 licensing, maintenance and technical support. Expenditures from this allocation are not
58 subject to review by the joint legislative budget committee.

1 Sec. 8. OFFICE OF ADMINISTRATIVE HEARINGS

2		<u>2026-27</u>
3	FTE positions	12.0
4	Lump sum appropriation	\$ 985,200
5	Fund sources:	
6	State general fund	\$ 985,200

7 Sec. 9. ARIZONA DEPARTMENT OF AGRICULTURE

8		<u>2026-27</u>
9	FTE positions	217.4
10	Operating lump sum appropriation	\$ 17,249,500
11	Agricultural employment relations	
12	board	23,300
13	Animal damage control	65,000
14	Licensing system maintenance	500,000
15	Red imported fire ant control	23,200
16	Agricultural consulting and	
17	training	<u>135,700</u>
18	Total appropriation – Arizona department	
19	of agriculture	\$ 17,996,700
20	Fund sources:	
21	State general fund	\$ 15,866,400
22	Air quality fund	1,630,300
23	Pest management trust fund	500,000

24 ~~[In addition to any other appropriations made in fiscal year 2026-2027, the Arizona~~
 25 ~~department of agriculture may fill an additional 2.0 FTE positions and spend] [The department~~
 26 ~~of agriculture may use] up to \$250,000 from the commercial feed trust fund established by~~
 27 ~~section 3-2607, Arizona Revised Statutes, in fiscal year 2026-2027 for [costs associated with~~
 28 ~~screwworm response and foreign cattle imports.] [2 FTE positions. Of the 2 FTE positions, 1~~
 29 ~~FTE position is for expenses associated with the screwworm response. The department may~~
 30 ~~conduct inspections as part of this response at the border if the border opens for live~~
 31 ~~cattle imports, and the state veterinarian may oversee the screwworm response. Of the 2 FTE~~
 32 ~~positions, 1 FTE position is for expenses related to a foreign animal disease or pest, a~~
 33 ~~United States department of agriculture program disease, a zoonotic disease or any other~~
 34 ~~emerging animal disease responses.]~~

35 Sec. 10. ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM

36		<u>2026-27</u>
37	FTE positions	2,428.3
38	Operating lump sum appropriation	\$223,281,000
39	<u>Administration</u>	
40	AHCCCS data storage	19,605,800
41	DES eligibility	97,074,500
42	Proposition 204 – AHCCCS	
43	administration	15,788,200
44	Proposition 204 – DES eligibility	44,358,700
45	Public Law 119-21 implementation –	
46	medicaid	51,500,000
47	<u>Medicaid services</u>	
48	Traditional medicaid services	10,308,634,300
49	Proposition 204 services	7,193,353,000
50	Adult expansion services	844,120,200
51	Comprehensive health plan	200,180,300
52	KidsCare services	257,442,000
53	ALTCS services	2,663,643,700
54	Behavioral health services	
55	in schools	8,289,600
56	Enhanced residential treatment	
57	program	7,812,000
58	<u>Nonmedicaid behavioral health services</u>	
59	Crisis services	20,391,300
60	Nonmedicaid seriously mentally	
61	ill services	77,646,900

1	Supported housing	65,324,800
2	<u>Hospital payments</u>	
3	Disproportionate share payments	884,800
4	Disproportionate share payments –	
5	voluntary match	207,593,800
6	Critical access hospitals	28,336,000
7	Graduate medical education	569,176,800
8	Targeted investments program	<u>56,000,000</u>
9	Total appropriation and expenditure	
10	authority – Arizona health	
11	care cost containment system	\$22,960,437,700
12	Fund sources:	
13	State general fund	\$ 2,919,510,700
14	Budget neutrality compliance fund	5,304,500
15	Children's health insurance	
16	program fund	193,430,100
17	Prescription drug rebate	
18	fund – state	291,207,900
19	Seriously mentally ill	
20	housing trust fund	2,957,300
21	Substance abuse services fund	2,250,200
22	Tobacco products tax fund –	
23	emergency health services	
24	account	13,467,800
25	Tobacco tax and health care	
26	fund – medically needy account	51,482,300
27	Expenditure authority	19,480,826,900

28 Operating budget

29 The amount appropriated for the DES eligibility line item shall be used for
30 intergovernmental agreements with the department of economic security for eligibility
31 determination and other functions. The state general fund share may be used for eligibility
32 determination for other programs administered by the division of benefits and medical
33 eligibility based on the results of the Arizona random moment sampling survey.

34 The amounts included in the proposition 204 – AHCCCS administration, proposition 204
35 – DES eligibility and proposition 204 services line items include all available sources of
36 funding consistent with section 36-2901.01, subsection B, Arizona Revised Statutes.

37 Before spending the monies for the replacement of the prepaid medicaid management
38 information system, the Arizona strategic enterprise technology office shall submit, on
39 behalf of the Arizona health care cost containment system, an expenditure plan for review by
40 the joint legislative budget committee. The report must include the project cost,
41 deliverables, the timeline for completion and the method of procurement that are consistent
42 with the department's prior reports for its appropriations from the automation projects fund.

43 The amount appropriated for the Public Law 119-21 implementation - medicaid line item
44 is exempt from the provisions of section 35-190, Arizona Revised Statutes, relating to
45 lapsing of appropriations, until June 30, 2028.

46 Of the amount appropriated for the Public Law 119-21 implementation - medicaid line
47 item, \$4,000,000 from the state general fund and \$24,400,000 from expenditure authority shall
48 be expended for information technology system upgrades. Any information technology projects
49 funded from the Public Law 119-21 implementation - medicaid line item are exempt from review
50 by the information technology authorization committee established by section 18-121, Arizona
51 Revised Statutes.

52 Medical services and behavioral health services

53 Before making fee-for-service program or rate changes that pertain to fee-for-service
54 rate categories, the Arizona health care cost containment system administration shall report
55 its expenditure plan for review by the joint legislative budget committee.

56 The Arizona health care cost containment system administration shall report to the
57 joint legislative budget committee on or before March 1, 2027 on preliminary actuarial
58 estimates of the capitation rate changes for the following fiscal year along with the reasons
59 for the estimated changes. For any actuarial estimates that include a range, the total range
60 from minimum to maximum may not be more than two percent. Before implementing any changes in
61 capitation rates, the administration shall report its expenditure plan for review by the

1 joint legislative budget committee. Before the administration implements any change in
2 policy affecting the amount, sufficiency, duration and scope of health care services and who
3 may provide services, the administration shall prepare a fiscal impact analysis on the
4 potential effects of this change on the following year's capitation rates. If the fiscal
5 impact analysis demonstrates that this change will result in additional state costs of
6 \$1,000,000 or more for any fiscal year, the administration shall submit the policy change for
7 review by the joint legislative budget committee.

8 The legislature intends that the percentage attributable to administration and profit
9 for the regional behavioral health authorities be nine percent of the overall capitation
10 rate.

11 The Arizona health care cost containment system administration shall transfer up to
12 \$1,200,000 from the traditional medicaid services line item for fiscal year 2026-2027 to the
13 attorney general for costs associated with e-cigarette enforcement and tobacco settlement
14 litigation.

15 The Arizona health care cost containment system administration shall transfer
16 \$836,000 from the traditional medicaid services line item for fiscal year 2026-2027 to the
17 department of revenue for enforcement costs associated with the March 13, 2013 master
18 settlement agreement with tobacco companies.

19 The amount appropriated for the traditional medicaid services line item includes
20 \$4,400,000 from the state general fund and \$7,758,100 from expenditure authority for
21 inpatient payments to rural hospitals as defined in section 36-2905.02, Arizona Revised
22 Statutes.

23 On or before June 30, 2027, the Arizona health care cost containment system
24 administration shall report to the joint legislative budget committee on the progress in
25 implementing the Arnold v. Sarn lawsuit settlement. The report must include, at a minimum,
26 the administration's progress toward meeting all criteria specified in the 2014 joint
27 stipulation, including the development and estimated cost of additional behavioral health
28 service capacity in Maricopa county for supported housing services for one thousand two
29 hundred class members, supported employment services for seven hundred fifty class members,
30 eight assertive community treatment teams and consumer operated services for one thousand
31 five hundred class members. The administration shall also report by fund source the amounts
32 it plans to use to pay for expanded services.

33 The amount appropriated for the enhanced residential treatment program line item is
34 exempt from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing
35 of appropriations. The legislature intends to continue to fund \$2,739,600 from the seriously
36 mentally ill housing trust fund established by section 41-3955.01, Arizona Revised Statutes,
37 and \$5,072,400 from expenditure authority for the enhanced residential treatment program in
38 fiscal years 2027-2028 and 2028-2029 as part of a three-year pilot program.

39 Long-term care

40 Any federal monies that the Arizona health care cost containment system
41 administration passes through to the department of economic security for use in long-term
42 care for persons with developmental disabilities do not count against the long-term care
43 expenditure authority.

44 Pursuant to section 11-292, subsection B, Arizona Revised Statutes, the county
45 portion of the fiscal year 2026-2027 nonfederal costs of providing long-term care system
46 services is \$445,813,900. This amount is included in the expenditure authority fund source.

47 Any supplemental payments received in excess of \$91,455,300 for nursing facilities
48 that serve Arizona long-term care system medicaid patients in fiscal year 2026-2027,
49 including any federal matching monies, by the Arizona health care cost containment system
50 administration are appropriated to the administration in fiscal year 2026-2027. Before
51 spending these increased monies, the administration shall notify the joint legislative budget
52 committee and the governor's office of strategic planning and budgeting of the amount of
53 monies that will be spent under this provision. These payments are included in the
54 expenditure authority fund source.

55 Payments to hospitals

56 Any monies received for disproportionate share hospital payments from political
57 subdivisions of this state, tribal governments and any university under the jurisdiction of
58 the Arizona board of regents, and any federal monies used to match those payments, in fiscal
59 year 2026-2027 by the Arizona health care cost containment system administration in excess of
60 \$208,478,600 are appropriated to the administration in fiscal year 2026-2027. Before
61 spending these increased monies, the administration shall notify the joint legislative budget

1 committee and the governor's office of strategic planning and budgeting of the amount of
2 monies that will be spent under this provision.

3 On or before March 31, 2027, the Arizona health care cost containment system
4 administration shall submit a report to the director of the joint legislative budget
5 committee and the governor's office of strategic planning and budgeting on the amount of
6 directed payments that the Maricopa county special health care district will receive from the
7 safety net services initiative in fiscal year 2026-2027, disaggregated by state match and by
8 federal match.

9 The expenditure authority fund source includes voluntary payments made from political
10 subdivisions for payments to hospitals that operate a graduate medical education program or
11 treat low-income patients and for payments to qualifying providers affiliated with teaching
12 hospitals. The political subdivision portions of the fiscal year 2026-2027 costs of graduate
13 medical education, disproportionate share payments – voluntary match, traditional medicaid
14 services, proposition 204 services and adult expansion services line items are included in
15 the expenditure authority fund source.

16 Any monies for graduate medical education received in fiscal year 2026-2027,
17 including any federal matching monies, by the Arizona health care cost containment system
18 administration in excess of \$569,176,800 are appropriated to the administration in fiscal
19 year 2026-2027. Before spending these increased monies, the administration shall notify the
20 joint legislative budget committee and the governor's office of strategic planning and
21 budgeting of the amount of monies that will be spent under this provision.

22 If any graduate medical education monies remain after the Arizona health care cost
23 containment system administration has funded all eligible graduate medical education programs
24 in counties with a population of less than five hundred thousand persons, the administration
25 may fund the costs of graduate medical education programs operated by community health
26 centers and rural health clinics.

27 Notwithstanding section 36-2903.01, subsection G, paragraph 9, subdivisions (a), (b)
28 and (c), Arizona Revised Statutes, the amount for graduate medical education includes
29 \$5,000,000 from the state general fund and \$9,152,300 from expenditure authority for the
30 direct and indirect costs of graduate medical education programs located in counties with a
31 population of less than five hundred thousand persons. The state general fund amount may
32 supplement, but not supplant, voluntary payments made from political subdivisions for
33 payments to hospitals that operate a graduate medical education program. The administration
34 shall prioritize distribution to programs at hospitals in counties with a higher percentage
35 of persons residing in a health professional shortage area as defined in 42 Code of Federal
36 Regulations part 5.

37 Notwithstanding section 36-2903.01, subsection G, paragraph 9, subdivisions (a), (b)
38 and (c), Arizona Revised Statutes, the amount for graduate medical education includes
39 \$4,000,000 from the state general fund and \$7,321,800 from expenditure authority for the
40 direct and indirect costs of graduate medical education programs located in counties with a
41 population of more than five hundred thousand persons. The state general fund amount may
42 supplement, but not supplant, voluntary payments made from political subdivisions for
43 payments to hospitals that operate a graduate medical education program.

44 Monies appropriated for graduate medical education in this section are exempt from
45 the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
46 appropriations, until June 30, 2028.

47 Of the amount appropriated from the expenditure authority fund source, \$4,244,300,000
48 is for hospital enhanced access leading to health improvements initiative payments in fiscal
49 year 2026-2027. This amount includes monies from hospital assessments collected pursuant to
50 section 36-2999.72, Arizona Revised Statutes, and any federal monies used to match those
51 payments.

52 Monies appropriated for graduate medical education by Laws 2024, chapter 209, section
53 19 are exempt from the provisions of section 35-190, Arizona Revised Statutes, relating to
54 lapsing of appropriations, until December 31, 2026.

55 Other

56 On or before July 1, 2027, the Arizona health care cost containment system
57 administration shall report to the director of the joint legislative budget committee the
58 total amount of medicaid reconciliation payments and penalties received on or before that
59 date since July 1, 2026.

1 The nonappropriated portion of the prescription drug rebate fund established by
 2 section 36-2930, Arizona Revised Statutes, is included in the federal portion of the
 3 expenditure authority fund source.

4 Sec. 11. ARIZONA COMMISSION ON THE ARTS

5 2026-27
 6 Arizona arts trust fund deposit \$ 2,000,000

7 Fund sources:

8 State general fund \$ 2,000,000

9 Sec. 12. BOARD OF ATHLETIC TRAINING

10 2026-27
 11 FTE positions 1.5

12 Lump sum appropriation \$ 166,000

13 Fund sources:

14 Athletic training fund \$ 166,000

15 Sec. 13. ATTORNEY GENERAL – DEPARTMENT OF LAW

16 2026-27
 17 FTE positions 677.7

18 Operating lump sum appropriation \$ 65,330,000

19 Capital postconviction prosecution 880,300

20 Criminal division major fraud unit 1,268,100

21 Southern Arizona law enforcement 1,717,300

22 State grand jury 194,400

23 Child and family advocacy centers 100,000

24 Coordinated reentry planning

25 services grants 17,000,000

26 Government accountability and

27 special litigation 1,467,300

28 Internet crimes against children

29 enforcement 1,613,300

30 Organized retail theft

31 task force 1,645,200

32 Risk management interagency

33 service agreement 10,489,000

34 Tobacco enforcement 877,000

35 Victims' rights 4,022,500

36 Total appropriation – attorney general –

37 department of law \$ 106,604,400

38 Fund sources:

39 State general fund \$ 36,007,600

40 Antitrust enforcement revolving

41 fund 162,900

42 Attorney general legal services

43 cost allocation fund 2,338,900

44 Collection enforcement revolving

45 fund 7,374,300

46 Consumer protection-consumer

47 fraud revolving fund 16,918,400

48 Consumer restitution and remediation

49 revolving fund – consumer

50 remediation subaccount 3,000,000

51 Driving under the influence

52 abatement fund 1,800,000

53 Drag racing prevention enforcement

54 fund 800,000

55 Interagency service agreements fund 17,635,600

56 Internet crimes against children

57 enforcement fund 900,000

58 Risk management revolving fund 12,855,300

59 Utility regulation revolving fund 3,000,000

60 Victims' rights fund 3,811,400

1 All monies appropriated to the attorney general legal services line item in the
 2 department of child safety budget do not count toward the attorney general's interagency
 3 service agreements fund appropriation in fiscal year 2026-2027.

4 Within ten days after receiving a complaint alleging a violation of section 15-511,
 5 Arizona Revised Statutes, the attorney general shall forward a copy of the complaint to the
 6 governor, the president of the senate and the speaker of the house of representatives.

7 Of the amount appropriated in the operating lump sum appropriation in fiscal year
 8 2026-2027, \$204,100 and 4 FTE positions shall be used to expand the medicaid fraud control
 9 unit within the criminal division of the office of the attorney general.

10 The amount appropriated for the child and family advocacy centers line item is
 11 allocated to the child and family advocacy center fund established by section 41-191.11,
 12 Arizona Revised Statutes.

13 Of the amount appropriated in the coordinated reentry planning services grants line
 14 item, \$2,000,000 shall be distributed to each of Coconino, Maricopa, Mohave, Navajo, Pima,
 15 Pinal and Yavapai counties in fiscal year 2026-2027 to supplement costs associated with the
 16 operation of an existing coordinated reentry planning services program, \$2,000,000 shall be
 17 distributed to La Paz county to establish a coordinated reentry planning services program and
 18 \$1,000,000 shall be distributed as a grant to establish a statewide coordinated reentry
 19 planning services database. The coordinated reentry planning services grants line item
 20 includes \$3,000,000 from monies deposited in the consumer remediation subaccount of the
 21 consumer restitution and remediation revolving fund established by section 44-1531.02,
 22 Arizona Revised Statutes, that are not related to opioid claims pursuant to section 44-
 23 1531.02, subsection C, Arizona Revised Statutes.

24 The \$900,000 appropriation from the internet crimes against children enforcement fund
 25 established by section 41-199, Arizona Revised Statutes, and the \$378,300 appropriation from
 26 the state general fund for the internet crimes against children enforcement line item are
 27 continuing appropriations and are exempt from the provisions of section 35-190, Arizona
 28 Revised Statutes, relating to lapsing of appropriations, until June 30, 2028.

29 The amount appropriated for the organized retail theft task force line item shall be
 30 used for operational expenses of the organized retail task force and for hiring one attorney,
 31 one paralegal, two investigators and one support staff person within the office of the
 32 attorney general and four peace officers who are assigned to the task force to focus
 33 specifically on investigating and prosecuting organized retail crime.

34 Sec. 14. BARBERING AND COSMETOLOGY BOARD

	<u>2026-27</u>
FTE positions	36.5
Lump sum appropriation	\$ 3,262,300
Fund sources:	
Barbering and cosmetology fund	\$ 3,262,300

40 Of the amount appropriated in the lump sum appropriation in fiscal year 2026-2027,
 41 \$235,000 shall be used to fill three FTE positions, including one licensing specialist, one
 42 customer service representative and one quality assurance specialist.

43 Sec. 15. BOARD OF BEHAVIORAL HEALTH EXAMINERS

	<u>2026-27</u>
FTE positions	27.0
Lump sum appropriation	\$ 2,766,900
Fund sources:	
Board of behavioral health examiners fund	\$ 2,766,900

50 Sec. 16. STATE BOARD FOR CHARTER SCHOOLS

	<u>2026-27</u>
FTE positions	25.0
Lump sum appropriation	\$ 2,811,100
Fund sources:	
State general fund	\$ 2,811,100

56 Sec. 17. DEPARTMENT OF CHILD SAFETY

	<u>2026-27</u>
FTE positions	3,283.1
Operating lump sum appropriation	\$179,221,300
<u>Additional operating resources</u>	
Attorney general legal services	29,914,500

1	Caseworkers	139,316,600
2	Office of child welfare	
3	investigations	11,314,600
4	Training resources	9,150,000
5	<u>Out-of-home placements</u>	
6	Congregate group care	134,429,700
7	Extended foster care	26,860,400
8	Extended foster care service	
9	model fund deposit	10,742,000
10	Foster home placement	40,547,300
11	Foster home recruitment,	
12	study and supervision	32,753,600
13	Kinship care	15,184,600
14	<u>Permanent placements</u>	
15	Adoption services	282,440,400
16	Permanent guardianship subsidy	18,686,800
17	<u>Support services</u>	
18	DCS child care subsidy	61,675,400
19	In-home mitigation	44,414,300
20	Out-of-home support services	107,284,600
21	Preventive services	28,412,700
22	<u>Comprehensive health plan</u>	
23	Comprehensive health plan	
24	services	172,360,900
25	Comprehensive health plan	
26	administration	24,291,000
27	Comprehensive health plan	
28	premium tax	<u>3,528,400</u>
29	Total appropriation and expenditure	
30	authority – department of	
31	child safety	\$1,372,529,100
32	Fund sources:	
33	State general fund	\$ 508,279,500
34	Federal child care and	
35	development fund block grant	40,516,000
36	Federal temporary assistance	
37	for needy families block	
38	grant	160,985,500
39	Child abuse prevention fund	1,459,300
40	Children and family services	
41	training program fund	207,500
42	Child safety expenditure	
43	authority	459,833,600
44	Child welfare licensing fee fund	1,067,400
45	Comprehensive health plan	
46	expenditure authority fund –	
47	expenditure authority	200,180,300

48 Additional operating resources

49 The department of child safety shall provide training to any new child safety FTE
50 positions before assigning any client caseload duties to any of these employees.

51 The legislature intends that the department of child safety use its funding to
52 achieve a one hundred percent investigation rate.

53 All expenditures made by the department of child safety for attorney general legal
54 services shall be funded only from the attorney general legal services line item. Monies in
55 department of child safety line items intended for this purpose shall be transferred to the
56 attorney general legal services line item before expenditure.

57 On or before September 1, 2026, the department of child safety shall submit a report
58 to the joint legislative budget committee and the governor's office of strategic planning and
59 budgeting on the actual operating expenses for the guardian case management system in fiscal
60 year 2025-2026 and the proposed system operating expenses for the system in fiscal year 2026-
61 2027.

1 Out-of-home placements

2 The department of child safety may transfer up to ten percent of the total amount of
3 federal temporary assistance for needy families block grant monies appropriated to the
4 department of economic security and the department of child safety to the social services
5 block grant. Before transferring federal temporary assistance for needy families block grant
6 monies to the social services block grant, the department of child safety shall report the
7 proposed amount of the transfer to the director of the joint legislative budget committee.
8 This report may be in the form of an expenditure plan that is submitted at the beginning of
9 the fiscal year and updated, if necessary, throughout the fiscal year.

10 The amount appropriated for kinship care shall be used for a stipend of \$300 per
11 month for a relative caretaker, including a grandparent, any level of great-grandparent or
12 any non-grandparent relative, or a caretaker of fictive kinship, if a dependent child is
13 placed in the care of a relative caretaker or caretaker of fictive kinship pursuant to
14 department guidelines. The department shall provide the stipend on behalf of all children
15 placed with an unlicensed kinship foster care parent. The unlicensed kinship foster care
16 parent is not required to file an application to receive the stipend. Before changing the
17 eligibility for the program or the amount of the stipend, the department shall submit a
18 report for review by the joint legislative budget committee detailing the proposed changes.

19 On or before March 31, 2027, the department of child safety shall report to the joint
20 legislative budget committee the number of children who are part of the kinship stipend
21 program and reside with a nonrelative caretaker of fictive kinship.

22 Support services

23 The preventive services line item appropriation includes \$264,400 from the state
24 general fund to draw down \$1,322,000 in additional federal monies associated with the
25 community-based child abuse prevention block grant. If grant monies are no longer available,
26 the appropriation is reduced by the amounts of \$264,400 from the general fund and \$1,322,000
27 from child safety expenditure authority.

28 The department shall notify the director of the joint legislative budget committee
29 and the governor's office of strategic planning and budgeting if the nurturing parenting and
30 family connections programs are favorably reviewed by the federal government and qualify for
31 federal reimbursement.

32 Comprehensive health plan

33 Of the amount appropriated in the comprehensive health plan services line item in
34 fiscal year 2024-2025 by Laws 2024, chapter 209, section 25, as amended by Laws 2025, chapter
35 233, section 1, \$43,787,500 is exempt from the provisions of section 35-190, Arizona Revised
36 Statutes, relating to lapsing of appropriations, until June 30, 2027.

37 Department-wide

38 The amount appropriated for any line item may not be transferred to another line item
39 or to the operating budget unless the transfer is reviewed by the joint legislative budget
40 committee, except that transfers between any two line items relating to the comprehensive
41 health plan or between any two out-of-home placements line items are not subject to review.

42 Child safety expenditure authority includes all department funding sources excluding
43 the state general fund, the federal child care and development fund block grant, the federal
44 temporary assistance for needy families block grant, the child abuse prevention fund
45 established by section 8-550.01, Arizona Revised Statutes, the children and family services
46 training program fund established pursuant to section 8-503.01, Arizona Revised Statutes, and
47 the comprehensive health plan expenditure authority fund established pursuant to section
48 8-512.02, Arizona Revised Statutes.

49 On or before December 1, 2026, the department of child safety shall submit a report
50 to the joint legislative budget committee on the department's efforts to implement the family
51 first prevention services act of 2018 (P.L. 115-123). The report must quantify the
52 department's efforts in at least the following areas, including any associated fiscal
53 impacts:

54 1. Reducing the number of children placed for more than two weeks in congregate care
55 settings, excluding qualified residential treatment programs, facilities for pregnant and
56 parenting youth, supervised independent living and specialized programs for victims of sex
57 trafficking.

58 2. Assisting congregate care providers in attaining status as qualified residential
59 treatment programs.

60 3. Identifying alternative placements, including therapeutic foster homes, for
61 children who would otherwise be placed in congregate care.

1 4. Expanding evidence-based, in-home parent skill-based programs and mental health
2 and substance abuse prevention and treatment services.

3 Benchmarks

4 For the purposes of this section:

5 1. "Backlog case":

6 (a) Means any nonactive case for which documentation has not been entered in the
7 child welfare automated system for at least sixty days and for which services have not been
8 authorized for at least sixty days and any case that has had an investigation, has been
9 referred to another unit and has had no contact for at least sixty days.

10 (b) Includes any case for which the investigation has been open without any
11 documentation or contact for at least sixty days, any case involving in-home services for
12 which there has been no contact or services authorized for at least sixty days and any case
13 involving foster care in which there has been no contact or any documentation entered in the
14 child welfare automated system for at least sixty days.

15 2. "Long-term case" means any case in which the child has been in an out-of-home
16 placement for at least eighteen months.

17 3. "Open report" means a report that is under investigation or awaiting closure by a
18 supervisor.

19 On or before February 28, 2027 and August 31, 2027, the department of child safety
20 shall present a report to the joint legislative budget committee on the progress made during
21 July 2026 through December 2026 and January 2027 through June 2027, respectively, in meeting
22 the caseload standard and reducing the number of backlog and long-term cases. Each report
23 must include the number of backlog cases, the number of open reports, the number of long-term
24 cases and the caseworker workload in comparison to the previous six months. Each report must
25 provide the number of backlog cases by disposition, including the number of backlog cases in
26 the investigation phase, the number of backlog cases associated with out-of-home placements
27 and the number of backlog cases associated with in-home cases.

28 To determine the caseworker workload, the department shall report the number of case-
29 carrying caseworkers at each field office and the number of investigations, in-home cases and
30 long-term cases assigned to each field office.

31 For backlog cases, the department's benchmark is 1,000 cases.

32 For open reports, the department's benchmark is fewer than 8,000 open reports.

33 For long-term cases, the department's benchmark is 3,323 cases.

34 If the department of child safety has not submitted a required report within thirty
35 days after the report is due, the director of the joint legislative budget committee shall
36 inform the general accounting office of the department of administration, which shall
37 withhold two percent of the department of child safety's operating lump sum semiannual budget
38 allocation until the department of child safety submits the required report.

39 Sec. 18. STATE BOARD OF CHIROPRACTIC EXAMINERS

		<u>2026-27</u>
41	FTE positions	6.0
42	Lump sum appropriation	\$ 660,600
43	Fund sources:	
44	Board of chiropractic examiners	
45	fund	\$ 660,600

46 On or before September 1, 2026, the state board of chiropractic examiners shall
47 provide a report to the joint legislative budget committee and the governor's office of
48 strategic planning and budgeting that details the board's proposal to resolve the imbalance
49 between ongoing revenues and ongoing expenditures.

50 Sec. 19. ARIZONA COMMERCE AUTHORITY

		<u>2026-27</u>
52	FTE positions	100.0
53	Operating lump sum appropriation	\$ 10,000,000
54	Arizona competes fund deposit	500,000
55	Advanced air mobility	2,000,000
56	Asia trade offices	750,000
57	Economic development marketing	
58	and attraction	500,000
59	Frankfurt, Germany trade office	500,000
60	Israel trade office	300,000
61	Mexico trade offices	<u>500,000</u>

1	Total appropriation – Arizona commerce	
2	authority	\$ 15,050,000
3	Fund sources:	
4	State general fund	\$ 13,050,000
5	Advanced air mobility fund	2,000,000
6	Pursuant to section 43-409, Arizona Revised Statutes, of the amounts listed above,	
7	\$10,500,000 of the state general fund withholding tax revenues is allocated in fiscal year	
8	2026-2027 to the Arizona commerce authority, of which \$10,000,000 is credited to the Arizona	
9	commerce authority fund established by section 41-1506, Arizona Revised Statutes, and	
10	\$500,000 is credited to the Arizona competes fund established by section 41-1545.01, Arizona	
11	Revised Statutes.	
12	On or before December 1, 2026, the authority shall submit a report to the joint	
13	legislative budget committee on the location, activities and annual expenses of each trade	
14	office operated by the authority during the prior fiscal year.	
15	Sec. 20. ARIZONA COMMUNITY COLLEGES	
16		<u>2026-27</u>
17	<u>Equalization aid</u>	
18	Cochise	\$ 12,715,600
19	Graham	24,422,600
20	Navajo	13,698,200
21	Yuma/La Paz	<u>2,019,800</u>
22	Total – equalization aid	\$ 52,856,200
23	<u>Operating state aid</u>	
24	Cochise	\$ 3,708,100
25	Coconino	1,404,400
26	Gila	147,100
27	Graham	1,872,900
28	Mohave	1,226,800
29	Navajo	1,564,900
30	Pinal	1,261,800
31	Santa Cruz	51,300
32	Yavapai	683,900
33	Yuma/La Paz	<u>2,562,200</u>
34	Total – operating state aid	\$ 14,483,400
35	<u>STEM and workforce programs state aid</u>	
36	Cochise	\$ 976,000
37	Coconino	305,200
38	Gila	86,900
39	Graham	492,300
40	Maricopa	8,818,600
41	Mohave	500,000
42	Navajo	350,400
43	Pima	1,973,000
44	Pinal	727,900
45	Santa Cruz	40,500
46	Yavapai	762,500
47	Yuma/La Paz	<u>870,400</u>
48	Total – STEM and workforce programs	
49	state aid	\$ 15,903,700
50	Rural aid	
51	Cochise	\$ 2,451,300
52	Coconino	838,100
53	Gila	226,600
54	Graham	1,241,300
55	Mohave	1,313,400
56	Navajo	944,700
57	Pinal	1,884,700
58	Santa Cruz	100,800
59	Yavapai	1,988,600
60	Yuma/La Paz	<u>3,010,500</u>
61	Total – rural aid	\$ 14,000,000

1	Rural county reimbursement subsidy	\$ 1,082,900
2	Additional Gila workforce	
3	development aid	200,000
4	Diné college remedial education	<u>1,000,000</u>
5	Total appropriation – Arizona community	
6	colleges	\$ 99,526,200
7	Fund sources:	
8	State general fund	\$ 99,526,200
9	Of the \$1,082,900 appropriated to the rural county reimbursement subsidy line item,	
10	Apache county receives \$699,300 and Greenlee county receives \$383,600.	
11	On or before October 15, 2027, the Diné college board of regents shall submit to the	
12	governor, the president of the senate, the speaker of the house of representatives, the	
13	secretary of state and the joint legislative budget committee a report that details the	
14	course completion rate for students who received remedial education during the 2026-2027	
15	academic year.	
16	Sec. 21. REGISTRAR OF CONTRACTORS	
17		<u>2026-27</u>
18	FTE positions	103.6
19	Operating lump sum appropriation	\$ 13,310,600
20	Office of administrative	
21	hearings costs	<u>1,017,600</u>
22	Total appropriation – registrar of	
23	contractors	\$ 14,328,200
24	Fund sources:	
25	Registrar of contractors fund	\$ 14,328,200
26	Sec. 22. CORPORATION COMMISSION	
27		<u>2026-27</u>
28	FTE positions	303.0
29	Operating lump sum appropriation	\$ 38,107,800
30	Corporation filings, same-day	
31	service	417,800
32	Utilities audits, studies,	
33	investigations and hearings	<u>1,000,000*</u>
34	Total appropriation – corporation commission	\$ 39,525,600
35	Fund sources:	
36	Arizona arts trust fund	\$ 57,200
37	Investment management regulatory	
38	and enforcement fund	1,370,400
39	Public access fund	8,235,100
40	Securities regulatory and	
41	enforcement fund	8,283,100
42	Utility regulation revolving fund	21,579,800
43	Sec. 23. STATE DEPARTMENT OF CORRECTIONS	
44		<u>2026-27</u>
45	FTE positions	9,592.0
46	Operating lump sum appropriation	\$ 974,906,000
47	Private prison contracted	
48	services	273,126,400
49	<u>Jensen v. Thornell</u> compliance	<u>451,390,400</u>
50	Total appropriation – state department	
51	of corrections	\$1,699,422,800
52	Fund sources:	
53	State general fund	\$1,659,746,100
54	State education fund for	
55	correctional education	703,200
56	Alcohol abuse treatment fund	555,800
57	Penitentiary land fund	3,472,000
58	State charitable, penal and	
59	reformatory institutions	
60	land fund	1,670,600
61	Corrections fund	21,218,500

1	Transition program fund	2,400,300
2	Prison construction and	
3	operations fund	9,656,300

4 Private prison vendors that contract with this state may use staff vacancy savings to
5 pay for overtime costs without incurring a penalty or staffing offset.

6 Before placing any inmates in out-of-state provisional beds, the state department of
7 corrections shall place inmates in all available prison beds in facilities that are located
8 in this state and that house Arizona inmates, unless the out-of-state provisional beds are of
9 a comparable security level and price.

10 The state department of corrections shall forward to the president of the senate, the
11 speaker of the house of representatives, the chairpersons of the senate and house of
12 representatives appropriations committees and the director of the joint legislative budget
13 committee a monthly report comparing department expenditures for the month and year-to-date
14 as compared to prior year expenditures on or before the thirtieth of the following
15 month. The report must be in the same format as the prior fiscal year and include an
16 estimate of potential shortfalls, potential surpluses that may be available to offset these
17 shortfalls and a plan, if necessary, for eliminating any shortfall without a supplemental
18 appropriation. The report must include the number of filled and vacant correctional officer
19 and medical staff positions departmentwide and by prison complex.

20 On or before November 1, 2026, the state department of corrections shall provide a
21 report on bed capacity to the joint legislative budget committee. The report must reflect
22 the bed capacity for each security classification by gender at each state-run and private
23 institution, divided by rated and total beds. The report must include bed capacity data for
24 June 30, 2025 and June 30, 2026 and the projected capacity for June 30, 2027, as well as the
25 reasons for any change within that time period. Within the total bed count, the department
26 shall provide the number of temporary and special use beds. The report must also address the
27 department's rationale for eliminating any permanent beds rather than reducing the level of
28 temporary beds. The report must also include any plans to vacate beds but not permanently
29 remove the beds from the bed count. If the department develops a plan after the department's
30 November 1, 2026 report to open or close one hundred or more state-operated or private prison
31 rated beds, the department shall submit a plan detailing the proposed bed changes for review
32 by the joint legislative budget committee before implementing these changes.

33 One hundred percent of land earnings and interest from the penitentiary land fund
34 shall be distributed to the state department of corrections in compliance with the enabling
35 act and the Constitution of Arizona to be used to support state penal institutions.

36 On or before December 30, the state department of corrections shall submit a report
37 to the joint legislative budget committee on the progress made in meeting the staffing needs
38 for correctional officers. Each report must include the number of filled correctional
39 officer positions, the number of vacant correctional officer positions, the number of people
40 in training, the number of separations and the number of hours of overtime worked for the
41 prior fiscal year. The report must detail these amounts both departmentwide and by prison
42 complex.

43 Twenty-five percent of land earnings and interest from the state charitable, penal
44 and reformatory institutions land fund shall be distributed to the state department of
45 corrections in compliance with the enabling act and the Constitution of Arizona to be used to
46 support state penal institutions.

47 Before spending any state education fund for correctional education monies in excess
48 of \$703,200, the state department of corrections shall report the intended use of the monies
49 to the director of the joint legislative budget committee.

50 Before implementing any changes in contracted rates for Jensen v. Thornell
51 compliance, the state department of corrections shall submit its expenditure plan for review
52 by the joint legislative budget committee.

53 On or before January 31, 2027, the state department of corrections shall submit a
54 report to the joint legislative budget committee on the status of all inmate health care
55 performance measures that are tracked by the department for contract monitoring
56 purposes. The report must include:

57 1. The total number of performance measures, by facility, for which the department
58 is not in substantial compliance.

59 2. An explanation for each instance of noncompliance.

60 3. The department's plan to comply with the performance measures.

1 On or before August 1, 2026, the state department of corrections shall transfer to
 2 the public safety personnel retirement system via the department of administration its
 3 estimated required annual contribution to the corrections officer retirement plan for fiscal
 4 year 2026-2027.

5 The department shall use the amount appropriated in the private prison contracted
 6 services line item to pay private prison contractors for housing and providing medical care
 7 to Arizona inmates. Before spending these monies for any other purpose, the department shall
 8 submit an expenditure plan for review by the joint legislative budget committee.

9 The amount appropriated in the private prison contracted services line item includes
 10 \$3,767,200 for the purpose of awarding a correctional officer salary increase. The state
 11 department of corrections shall increase the contracted rates in fiscal year 2026-2027 to
 12 provide an amount sufficient for a four percent salary increase to each correctional officer
 13 employed in a private prison that contracts with this state.

14 The department's lump sum appropriation includes funding to convert the onetime
 15 stipend for corrections officers equal to four percent of the correctional officer's annual
 16 salary as appropriated in fiscal year 2025-2026 into a four percent annual salary increase in
 17 fiscal year 2026-2027.

18 Notwithstanding any other law, projects related to the purchase and deployment of
 19 body-worn cameras and the associated equipment to support body-worn camera deployment at the
 20 department are exempt from the review and approval by the information technology
 21 authorization committee required by section 18-121, Arizona Revised Statutes.

22 Of the amount appropriated in the Jensen v. Thornell compliance line item, the
 23 department is authorized to distribute not more than \$45,097,700 to a contracted health care
 24 provider contingent on the execution of a signed amendment to the current contracted health
 25 care provider contract that includes the following:

26 1. Increases the health care staffing level in accordance with the department's
 27 directives.

28 2. Adopts quarterly reporting requirements from the health care provider to the
 29 department, the governor's office of strategic planning and budgeting staff and the joint
 30 legislative budget committee staff that includes the prior quarter staffing levels by
 31 position type, number of FTE positions, current progress towards outlined staffing goals and
 32 justification of why the staffing levels outlined in paragraph 1 of this section are or are
 33 not being met.

34 3. Adopts a quarterly distribution schedule based on the health care provider
 35 meeting and maintaining staffing levels outlined in paragraph 1 of this section.

36 4. Adds automatic sanctioning or fines associated with failure to fill staffing
 37 vacancies consistent with the staffing levels outlined in paragraph 1 of this section.

38 Of the amount appropriated to the department from the operating lump sum in fiscal
 39 year 2025-2026, \$2,000,000 is exempt from the provisions of section 35-190, Arizona Revised
 40 Statutes, relating to lapsing of appropriations. This amount may be used to upgrade the
 41 Arizona correctional information system.

42 Of the amount appropriated to the department from the operating lump sum in fiscal
 43 year 2025-2026 by Laws 2025, chapter 233, section 23, \$10,900,000 may be used in fiscal year
 44 2026-2027 for compensatory or holiday liability accruals incurred in fiscal year 2025-2026.

45 Of the amount appropriated in the operating lump sum in fiscal year 2026-2027,
 46 \$300,000 is to be used for a onetime increase for a braille transcription program. The
 47 program ~~[must]~~ ~~[may]~~ prioritize inmates closest to reentry.

48 Sec. 24. ARIZONA CRIMINAL JUSTICE COMMISSION

	<u>2026-27</u>
49 FTE positions	11.0
50 Operating lump sum appropriation [\$ 1,472,900][\$ 1,505,400]	
51 Major incident regional law	
52 enforcement task force	600,000
53 State aid to county attorneys	973,700
54 State aid to indigent defense	700,000
55 State aid for juvenile dependency	
56 proceedings fund deposit	2,000,000
57 Law enforcement crime victim	
58 notification fund deposit	2,594,800
59 Victim compensation and assistance	<u>8,469,700</u>
60 Total appropriation – Arizona criminal	
61	

1	justice commission	[\$ 16,811,100] [\$ 16,843,600]
2	Fund sources:	
3	State general fund	\$ 6,850,000
4	Criminal justice enhancement fund	802,100
5	Resource center fund	646,600
6	State aid to county attorneys fund	973,700
7	State aid to indigent defense fund	700,000
8	Peace officer training equipment fund	32,500]
9	Victim compensation and assistance	
10	fund	6,838,700

11 The amount appropriated for the major incident regional law enforcement task force in
 12 fiscal year 2026-2027 shall be distributed evenly to the sheriff's offices of the original
 13 five major incident division task forces located in Cochise county, Coconino county, Navajo
 14 county, Pinal county and Yuma county.

15 All victim compensation and assistance fund monies received by the Arizona criminal
 16 justice commission in excess of \$6,838,700 in fiscal year 2026-2027 are appropriated to the
 17 crime victims program. Before spending any victim compensation and assistance fund monies in
 18 excess of \$6,838,700 in fiscal year 2026-2027, the Arizona criminal justice commission shall
 19 report the intended use of the monies to the joint legislative budget committee.

20 All monies received by the Arizona criminal justice commission in excess of \$973,700
 21 in fiscal year 2026-2027 from the state aid to county attorneys fund established by section
 22 11-539, Arizona Revised Statutes, are appropriated to the state aid to county attorneys
 23 program. Before spending any state aid to county attorneys fund monies in excess of \$973,700
 24 in fiscal year 2026-2027, the Arizona criminal justice commission shall report the intended
 25 use of the monies to the joint legislative budget committee.

26 Sec. 25. ARIZONA STATE SCHOOLS FOR THE DEAF AND THE BLIND

27		<u>2026-27</u>
28	FTE positions	562.2
29	Administration/statewide	\$ 7,657,200
30	Phoenix day school for the deaf	10,277,000
31	Tucson campus	12,997,100
32	Preschool/outreach programs	7,200,300
33	School bus/agency vehicle	
34	replacement	369,000
35	Cooperative services	15,346,300
36	Supplemental early childhood	
37	services	<u>50,000</u>
38	Total appropriation – Arizona state schools	
39	for the deaf and the blind	\$ 53,896,900
40	Fund sources:	
41	State general fund	\$ 25,545,100
42	Schools for the deaf and	
43	the blind fund	12,955,500
44	Cooperative services fund	15,346,300
45	Health services lottery	
46	monies fund	50,000

47 Before spending any schools for the deaf and the blind fund monies in excess of
 48 \$12,955,500 in fiscal year 2026-2027, the Arizona state schools for the deaf and the blind
 49 shall report to the joint legislative budget committee the intended use of the monies.

50 Before spending any cooperative services fund monies in excess of \$15,346,300 in
 51 fiscal year 2026-2027, the Arizona state schools for the deaf and the blind shall report to
 52 the joint legislative budget committee the intended use of the monies.

53 The monies appropriated in the supplemental early childhood services line item in
 54 fiscal year 2026-2027 must be spent to continue the current contracts with multiple providers
 55 that are providing supplemental early childhood listening and spoken language services,
 56 including parent coaching services, to eligible infants and toddlers from birth to three
 57 years of age and their families. Contractors shall ensure that the services are provided by
 58 or overseen by a certified auditory verbal educator or therapist in a natural environment, a
 59 clinical setting, an educational setting or a virtual setting.

60 On or before September 1, 2026, the Arizona state schools for the deaf and the blind
 61 shall submit a report to the joint legislative budget committee and the governor's office of

1 strategic planning and budgeting that details the schools' budgetary and operational changes
 2 since fiscal year 2025-2026. The report must include any budgetary or operational changes
 3 regarding the Arizona state schools for the deaf and blind's closure of the Tucson campus,
 4 the termination of the schools' residential program, the relocation of campus-based Arizona
 5 state schools for the deaf programs, the termination of campus-based Arizona state school for
 6 the blind programs, the reduction of Arizona state schools for the deaf and the blind staff
 7 and any plans for the disposition of land owned by the schools at the Tucson campus.

8 Sec. 26. COMMISSION FOR THE DEAF AND THE HARD OF HEARING

		<u>2026-27</u>
9		
10	FTE positions	21.0
11	Operating lump sum appropriation	\$ 4,695,800
12	Support services for the	
13	deaf-blind	<u>350,000</u>
14	Total appropriation – commission for the	
15	deaf and the hard of hearing	\$ 5,045,800
16	Fund sources:	
17	Telecommunication fund for	
18	the deaf	\$ 5,045,800

19 Sec. 27. STATE BOARD OF DENTAL EXAMINERS

		<u>2026-27</u>
20		
21	FTE positions	13.0
22	Lump sum appropriation	\$ 2,150,900
23	Fund sources:	
24	Dental board fund	\$ 2,150,900

25 Sec. 28. OFFICE OF ECONOMIC OPPORTUNITY

		<u>2026-27</u>
26		
27	FTE positions	5.0
28	Lump sum appropriation	\$ 531,900
29	Fund sources:	
30	State general fund	\$ 531,900

31 Sec. 29. DEPARTMENT OF ECONOMIC SECURITY

		<u>2026-27</u>
32		
33	FTE positions	[5,234.8] [5,047.8]
34	Operating lump sum appropriation	\$381,228,600
35	<u>Administration</u>	
36	Attorney general legal services	13,099,900
37	<u>Aging and adult services</u>	
38	Adult services	15,731,900
39	Civil legal aid	3,000,000*
40	Community and emergency services	3,724,000
41	Coordinated homeless services	3,522,600
42	Coordinated hunger services	2,254,600
43	Domestic violence prevention	14,004,000
44	Long-term care ombudsman	1,000,000
45	Produce incentive program	2,000,000*
46	<u>Benefits and medical eligibility</u>	
47	Public Law 119-21 implementation -	
48	SNAP	10,800,000
49	Summer food benefits administration	1,767,300
50	Temporary assistance for needy	
51	families – cash benefits	22,736,400
52	Tribal pass-through funding	4,680,300
53	<u>Child support enforcement</u>	
54	Child support –	
55	clerk of the court and	
56	family law services	8,539,700
57	<u>Developmental disabilities</u>	
58	DDD premium tax payment	102,012,200
59	Case management – medicaid	132,664,700
60	Home and community based	
61	services – medicaid	3,576,435,700

1	Institutional services –	
2	medicaid	53,584,900
3	Physical and behavioral	
4	health services – medicaid	1,098,810,200
5	Medicare clawback payments	8,888,400
6	Targeted case management – medicaid	25,383,100
7	State match transfer from AHCCCS	1,841,698,500
8	Case management – state-only	6,446,100
9	Home and community based	
10	services – state-only	14,089,000
11	High-need client supplement	26,320,000
12	Arizona early intervention program	16,119,000
13	Listening and spoken language -	
14	Arizona early intervention program	150,000*
15	State-funded long-term care	
16	services	46,084,300
17	<u>Employment and rehabilitation services</u>	
18	Out-of-school time grant program	
19	fund deposit	3,000,000*
20	JOBS	11,005,600
21	Child care subsidy	261,837,300
22	Independent living rehabilitation	
23	services	1,289,400
24	Reentry employment services	3,000,000
25	Rehabilitation services	7,249,100
26	Older individuals who are blind	
27	program	150,000
28	Workforce innovation	
29	and opportunity act	
30	services	<u>85,824,200</u>
31	Total appropriation and expenditure	
32	authority – department of	
33	economic security	\$7,810,131,000
34	Fund sources:	
35	State general fund	\$2,143,879,400
36	Federal child care and	
37	development fund block grant	229,994,900
38	Federal temporary assistance for	
39	needy families block grant	66,561,100
40	Health services lottery monies fund	1,800,000
41	Long-term care system fund	35,517,100
42	Public assistance collections	
43	fund	441,800
44	Special administration fund	4,645,400
45	Spinal and head injuries trust	
46	fund	2,385,400
47	Statewide cost allocation plan	
48	fund	1,000,000
49	Child support enforcement	
50	administration fund	17,615,600
51	Domestic violence services fund	4,000,300
52	Workforce investment act grant	87,109,200
53	Child support enforcement	
54	administration fund	
55	expenditure authority	45,547,500
56	Developmental disabilities	
57	medicaid expenditure	
58	authority	5,169,633,300

1 Aging and adult services

2 Of the amount appropriated for the adult services line item, \$5,000,000 is exempt
3 from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
4 appropriations.

5 Of the amount appropriated for the adult services line item, the department shall
6 distribute \$500,000 to the inter tribal area agency on aging and \$500,000 to the Navajo
7 Nation area agency on aging.

8 Monies in the civil legal aid line item shall be distributed to nonprofit
9 organizations to provide statewide general civil legal aid services consistent with the terms
10 and restrictions of the legal services corporation as of federal fiscal year 2026.

11 Of the monies appropriated by Laws 2025, chapter 233, section 29 to the department of
12 economic security for the coordinated homeless services line item, \$15,500,000 is exempt from
13 the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
14 appropriations, until June 30, 2027.

15 All domestic violence services fund monies in excess of \$4,000,300 received by the
16 department of economic security are appropriated for the domestic violence prevention line
17 item. Before spending these increased monies, the department shall report the intended use
18 of monies in excess of \$4,000,300 to the joint legislative budget committee.

19 On or before December 15, 2026, the department of economic security shall report to
20 the joint legislative budget committee the amount of state and federal monies available
21 statewide for domestic violence prevention funding. The report must include, at a minimum,
22 the amount of monies available and the state fiscal agent receiving those monies.

23 Monies appropriated by Laws 2025, chapter 233, section 29 to the department of
24 economic security for the homeless veterans services line item are exempt from the provisions
25 of section 35-190, Arizona Revised Statutes, relating to lapsing of appropriations, until
26 June 30, 2027.

27 Monies appropriated by Laws 2025, chapter 233, section 29 to the department of
28 economic security for the homeless veterans strategic plan line item are exempt from the
29 provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
30 appropriations, until June 30, 2027.

31 Benefits and medical eligibility

32 The operating lump sum appropriation may be spent on Arizona health care cost
33 containment system eligibility determinations based on the results of the Arizona random
34 moment sampling survey.

35 The amount appropriated for the Public Law 119-21 implementation - SNAP line item is
36 exempt from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing
37 of appropriations, until June 30, 2028.

38 The amount appropriated for the summer food benefits administration line item is
39 exempt from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing
40 or appropriations, until October 31, 2027.

41 Child support enforcement

42 All state shares of retained earnings, fees and federal incentives in excess of
43 \$17,615,600 received by the division of child support enforcement are appropriated for
44 operating expenses. New FTE positions are authorized with the increased funding. Before
45 spending these increased monies, the department of economic security shall report the
46 intended use of the monies to the joint legislative budget committee.

47 Developmental disabilities

48 On or before September 1, 2027, the department of economic security shall report to
49 the president of the senate, the speaker of the house of representatives, the chairpersons of
50 the senate and house of representatives appropriations committees and the director of the
51 joint legislative budget committee any new placement into a state-owned ICF-IID or the
52 Arizona training program at the Coolidge campus in fiscal year 2026-2027 and the reason for
53 this placement, rather than a placement into a privately run facility for persons with
54 developmental disabilities, was deemed as the most appropriate placement. The department
55 shall also report if no new placements were made. On or before September 1, 2027, the
56 department shall also report to the director of the joint legislative budget committee the
57 total costs associated with the Arizona training program at Coolidge in fiscal year 2026-
58 2027.

59 The department of economic security shall report to the joint legislative budget
60 committee on or before March 1 of each year on preliminary actuarial estimates of the
61 capitation rate changes for the following fiscal year along with the reasons for the

1 estimated changes. For any actuarial estimates that include a range, the total range from
2 minimum to maximum may not be more than two percent. Before implementing any changes in
3 capitation rates for the long-term care system, the department shall submit a report for
4 review by the joint legislative budget committee. Before the department implements any
5 change in policy affecting the amount, sufficiency, duration and scope of health care
6 services and who may provide services, the department shall prepare a fiscal impact analysis
7 on the potential effects of this change on the following year's capitation rates. If the
8 fiscal impact analysis demonstrates that this change will result in additional state costs of
9 \$500,000 or more for any fiscal year, the department shall submit the policy change for
10 review by the joint legislative budget committee.

11 Before implementing developmental disabilities or long-term care statewide provider
12 rate adjustments that are not already specifically authorized by the legislature, court
13 mandates or changes to federal law, the department of economic security shall submit a report
14 for review by the joint legislative budget committee that includes, at a minimum, the
15 estimated cost of the provider rate adjustment and the ongoing source of funding for the
16 adjustment, if applicable.

17 On or before March 1, 2027, the department of economic security shall provide to the
18 governor, the president of the senate, the speaker of the house of representatives, the
19 chairpersons of the senate and house of representatives appropriations committees and the
20 director of the joint legislative budget committee a report on the utilization of covered
21 services under the developmental disabilities program by disability classification. The
22 report must include the total expenditures for each covered service by primary diagnosis in
23 fiscal year 2025-2026.

24 Before transferring any monies in or out of the case management –medicaid and case
25 management – state-only and developmental disabilities administration line items and before
26 transferring any monies in or out of the operating lump sum item related to the developmental
27 disabilities program and its administration, the department of economic security shall submit
28 a report for review by the joint legislative budget committee, except that transfers from the
29 state match transfer from AHCCCS line item into those line items do not require a report for
30 review.

31 On or before January 31, 2027, the department of economic security shall submit a
32 report to the joint legislative budget committee regarding expenditures from the high-need
33 client supplement line item in the previous fiscal year. The report must include the number
34 of clients and total amounts spent from the line item in each setting type along with
35 expenditures for those clients in other line items. The report must also include cost
36 effectiveness spending in other line items.

37 Employment and rehabilitation services

38 On or before December 31, 2026 and June 30, 2027, the department of economic security
39 shall submit a report to the joint legislative budget committee regarding federal child care
40 monies. The report must include, at a minimum, the actual revenues delineated by fund
41 source, the actual year-to-date expenditures by purpose and fund source and the beginning and
42 ending balances for all fund sources for the preceding six months. The report must also
43 include projected annual revenues, expenditures and balances for the current year and the
44 budget year.

45 The department of economic security shall forward to the joint legislative budget
46 committee a monthly report listing data on the child care population served. The report must
47 include, at a minimum, in each program the number of unduplicated children enrolled in child
48 care within the department of economic security and the department of child safety by program
49 and the average amount paid per child plus quality-related spending.

50 All workforce investment act grant monies that are received by this state in excess
51 of \$87,109,200 are appropriated to the workforce innovation and opportunity act services line
52 item. Before spending these increased monies, the department of economic security shall
53 report the intended use of monies in excess of \$87,109,200 to the joint legislative budget
54 committee.

55 Department-wide

56 The above appropriations are in addition to monies granted to this state by the
57 federal government for the same purposes but are deemed to include the sums deposited in the
58 state treasury to the credit of the department of economic security pursuant to section
59 42-5029, Arizona Revised Statutes.

60 The department of economic security shall forward to the president of the senate, the
61 speaker of the house of representatives, the chairpersons of the senate and house of

1 representatives appropriations committees and the director of the joint legislative budget
 2 committee a monthly report comparing total expenditures for the month and year-to-date as
 3 compared to prior year totals on or before the thirtieth of the following month. The report
 4 must include an estimate of potential shortfalls in entitlement programs and potential
 5 federal and other monies, such as the statewide assessment for indirect costs, and any
 6 projected surplus in state-supported programs that may be available to offset these
 7 shortfalls and a plan, if necessary, for eliminating any shortfall without a supplemental
 8 appropriation.

9 Sec. 30. STATE BOARD OF EDUCATION

10		<u>2026-27</u>
11	FTE positions	23.0
12	Operating lump sum appropriation	\$ 3,224,900
13	Arizona empowerment scholarship	
14	account appeals	<u>237,900</u>
15	Total appropriation –	
16	state board of education	\$ 3,462,800
17	Fund sources:	
18	State general fund	\$ 3,462,800

19 Sec. 31. SUPERINTENDENT OF PUBLIC INSTRUCTION

20		<u>2026-27</u>
21	FTE positions	232.9
22	Operating lump sum appropriation	\$ 15,584,600
23	<u>Formula programs</u>	
24	Basic state aid	6,988,177,800
25	Onetime additional assistance	
26	supplement	29,000,000
27	Onetime FRPL group B	
28	weight supplement	37,000,000
29	State aid supplement	75,000,000
30	Special education fund	36,029,200
31	Classroom site fund	1,129,954,100
32	Instructional improvement fund	80,425,700
33	<u>Property tax relief</u>	
34	Additional state aid	551,969,500
35	<u>Non-formula programs</u>	
36	Accountability and achievement	
37	testing	16,450,300
38	Adult education	4,912,100
39	Alternative teacher development	
40	program	1,000,000
41	Arizona English language	
42	learner fund	4,960,400
43	College credit by examination	
44	incentive program	3,772,100
45	College placement exam fee waiver	1,265,800
46	Computer science professional	
47	development program	1,000,000
48	CTED certification exam fee	
49	reimbursement	1,000,000
50	CTED completion grants	1,000,000
51	CTED soft capital and equipment	1,000,000
52	Early literacy	17,394,000
53	Education learning and	
54	accountability system	5,534,100
55	English learner administration	11,643,000
56	Geographic literacy	100,000
57	Gifted assessments	850,000
58	Jobs for Arizona graduates	500,000
59	Onetime school meal grants	2,000,000
60	Public school campus community	
61	gardens	600,000*

1	School safety program	82,036,100
2	State block grant for vocational	
3	education	11,861,900
4	Student level data access	358,900
5	Teacher certification	2,416,700
6	Tribal college dual enrollment	
7	program	<u>325,000</u>
8	Total appropriation and expenditure	
9	authority – superintendent	
10	of public instruction	\$9,115,121,300
11	Fund sources:	
12	State general fund	\$7,649,389,900
13	Education sales tax fund	7,000,000
14	Permanent state school fund	80,226,500
15	Special education fund	5,000,000
16	Teacher certification fund	2,560,700
17	Tribal college dual enrollment	
18	program fund	325,000
19	Department of education empowerment	
20	scholarship account fund	358,900
21	Expenditure authority	1,370,260,300
22	<u>Operating lump sum</u>	

23 Any monies available to the department of education pursuant to section 42-5029.02,
 24 subsection A, paragraph 8, Arizona Revised Statutes, for the failing schools tutoring fund
 25 established by section 15-241, Arizona Revised Statutes, in excess of the expenditure
 26 authority amounts are allocated for the purposes of section 42-5029.02, subsection A,
 27 paragraph 8, Arizona Revised Statutes.

28 Any monies available to the department of education pursuant to section 42-5029.02,
 29 subsection A, paragraph 6, Arizona Revised Statutes, for character education matching grants
 30 pursuant to section 15-154.01, Arizona Revised Statutes, in excess of the expenditure
 31 authority amounts are allocated for the purposes of section 42-5029.02, subsection A,
 32 paragraph 6, Arizona Revised Statutes.

33 Basic state aid

34 The appropriation for basic state aid provides basic state support to school
 35 districts for maintenance and operations funding as provided by section 15-973, Arizona
 36 Revised Statutes, and includes an estimated \$80,226,500 in expendable income derived from the
 37 permanent state school fund and from state trust lands pursuant to section 37-521, subsection
 38 B, Arizona Revised Statutes, for fiscal year 2026-2027.

39 Monies derived from the permanent state school fund and any other non-state general
 40 fund revenue source that is dedicated to fund basic state aid shall be spent, whenever
 41 possible, before spending state general fund monies.

42 Except as required by section 37-521, Arizona Revised Statutes, all monies received
 43 during the fiscal year from national forests, interest collected on deferred payments on the
 44 purchase of state lands, income from investing permanent state school funds as prescribed by
 45 the enabling act and the Constitution of Arizona and all monies received by the
 46 superintendent of public instruction from whatever source, except monies received pursuant to
 47 sections 15-237 and 15-531, Arizona Revised Statutes, when paid into the state treasury are
 48 appropriated for apportionment to the various counties in accordance with law. An
 49 expenditure may not be made except as specifically authorized above.

50 Any monies available to the department of education pursuant to section 42-5029.02,
 51 subsection A, paragraph 5, Arizona Revised Statutes, for the increased cost of basic state
 52 aid under section 15-971, Arizona Revised Statutes, due to added school days in excess of the
 53 expenditure authority amounts are allocated for the purposes of section 42-5029.02,
 54 subsection A, paragraph 5, Arizona Revised Statutes.

55 The monies appropriated for the onetime additional assistance supplement line item
 56 includes \$23,142,000 for a onetime district additional assistance supplement and \$5,858,000
 57 for a onetime charter additional assistance supplement. The department of education shall
 58 distribute the amount for the onetime district additional assistance supplement to school
 59 districts on a proportional basis based on the district additional assistance funding that
 60 each school district in this state receives in fiscal year 2026-2027 and increase the budget
 61 limits accordingly pursuant to section 15-947, Arizona Revised Statutes. A school district

1 may budget the monies received from the onetime additional assistance supplement in either
2 the school district's maintenance and operation fund or unrestricted capital outlay
3 fund. The department of education shall distribute the amount for a onetime charter
4 additional assistance supplement to charter schools on a proportional basis based on the
5 charter additional assistance funding that each charter school in this state receives in
6 fiscal year 2026-2027.

7 The department of education shall distribute the appropriated amount for the onetime
8 FRPL group B weight supplement line item to school districts and charter schools on a pro
9 rata basis using the weighted student count for FRPL pupils for the school district or
10 charter school pursuant to section 15-943, paragraph 2, subdivision (b), Arizona Revised
11 Statutes, and shall increase the budget limits accordingly pursuant to section 15-947,
12 Arizona Revised Statutes. A school district may budget the monies received from the onetime
13 FRPL group B weight supplement in either the school district's maintenance and operation fund
14 or unrestricted capital outlay fund.

15 The department of education shall allocate the appropriated amount for the state aid
16 supplement to districts and charter schools on a pro rata basis using the weighted student
17 count for the school district or charter school for the fiscal year pursuant to section
18 15-943, paragraph 2, subdivision (a), Arizona Revised Statutes, and increase the budget
19 limits pursuant to section 15-947, Arizona Revised Statutes, accordingly. The weighted
20 student count for a school district that serves as the district of attendance for nonresident
21 pupils shall be increased to include nonresident pupils who attend school in the district.

22 Other programs

23 Any monies available to the department of education for the classroom site fund
24 pursuant to section 37-521, subsection B, paragraph 4, Arizona Revised Statutes, and section
25 42-5029.02, subsection A, paragraph 11, Arizona Revised Statutes, in excess of expenditure
26 authority amounts are allocated for the purposes of section 37-521, subsection B, paragraph
27 4, Arizona Revised Statutes, and section 42-5029.02, subsection A, paragraph 11, Arizona
28 Revised Statutes.

29 Any monies available to the department of education from the instructional
30 improvement fund established by section 15-979, Arizona Revised Statutes, in excess of the
31 expenditure authority amounts are allocated for the purposes of section 15-979, Arizona
32 Revised Statutes.

33 Before making any changes to the achievement testing program that will increase
34 program costs, the department of education and the state board of education shall submit the
35 estimated fiscal impact of those changes to the joint legislative budget committee for
36 review.

37 Any monies available to the department of education for accountability purposes
38 pursuant to section 42-5029.02, subsection A, paragraph 7, Arizona Revised Statutes, in
39 excess of the expenditure authority amounts are allocated for the purposes of section
40 42-5029.02, subsection A, paragraph 7, Arizona Revised Statutes.

41 The department of education may use the appropriated amount for accountability and
42 achievement testing in fiscal year 2026-2027 for costs of the English language proficiency
43 assessments required by section 15-756.05, Arizona Revised Statutes.

44 Monies appropriated for CTED completion grants are intended to help fund program
45 completion for students who complete at least fifty percent of a career technical education
46 program before graduating from high school and who successfully complete the career technical
47 education district program after graduating from high school. The application procedures
48 shall award grant funding only after an eligible student has successfully completed a career
49 technical education district program.

50 If the appropriated amount for CTED completion grants is insufficient to fund all
51 grant requests from career technical education districts, the department of education shall
52 reduce grant amounts on a proportional basis in order to cap total statewide allocations at
53 \$1,000,000.

54 The appropriated amount for CTED completion grants is exempt from the provisions of
55 section 35-190, Arizona Revised Statutes, relating to lapsing of appropriations, until June
56 30, 2028.

57 The department of education shall distribute the appropriated amount for CTED soft
58 capital and equipment to career technical education districts with fewer than two thousand
59 average daily membership pupils for soft capital and equipment expenses. The appropriated
60 amount shall be allocated on a pro rata basis based on the average daily membership of
61 eligible career technical education districts.

1 The department of education shall use the appropriated amount for English learner
2 administration to provide English language acquisition services for the purposes of section
3 15-756.07, Arizona Revised Statutes, and for the costs of providing English language
4 proficiency assessments, scoring and ancillary materials as prescribed by the department of
5 education to school districts and charter schools for the purposes of title 15, chapter 7,
6 article 3.1, Arizona Revised Statutes. The department may use a portion of the appropriated
7 amount to hire staff or contract with a third party to carry out the purposes of section
8 15-756.07, Arizona Revised Statutes. Notwithstanding section 41-192, Arizona Revised
9 Statutes, the superintendent of public instruction also may use a portion of the appropriated
10 amount to contract with one or more private attorneys to provide legal services in connection
11 with the case of Flores v. State of Arizona, No. CIV 92-596-TUC-RCC.

12 The department of education shall use the appropriated amount for geographic literacy
13 to issue a grant to a statewide geographic alliance for strengthening geographic literacy in
14 this state.

15 The department of education shall use the appropriated amount for jobs for Arizona
16 graduates to issue a grant to a nonprofit organization for a JOBS for Arizona graduates
17 program.

18 The department of education shall distribute the appropriated amount for onetime
19 school meal grants to school districts and charter schools that participate in the national
20 school lunch program or school breakfast program established under the national school lunch
21 and child nutrition acts (42 United States Code section 1751 through 1793) for grants to
22 reduce or eliminate copayments that would otherwise be charged to children eligible for
23 reduced-price meals. If the appropriated amount is insufficient to cover the grant awards
24 for all eligible grantees, the department shall reduce each grant proportionately to ensure
25 all eligible grantees receive proportional grants.

26 The amount appropriated for the school safety program in fiscal year 2022-2023
27 pursuant to Laws 2022, chapter 313, section 31, as amended by Laws 2024, chapter 209, section
28 1, included an increase of \$50,000,000 for additional school safety grants. In allocating
29 the \$50,000,000 increase, the department of education shall first distribute monies to
30 schools on the school safety program waiting list to receive grants for the costs of placing
31 school resource officers on school campuses. The awarded grants may not supplant funding
32 provided by local governments for school resource officers. If the total cost of funding
33 grants for school resource officers is less than \$50,000,000, the department may allocate the
34 remaining monies to grants to schools for the costs of placing school counselors and social
35 workers on school campuses pursuant to section 15-154, Arizona Revised Statutes.

36 Any monies available to the department of education for school safety pursuant to
37 section 42-5029.02, subsection A, paragraph 6, Arizona Revised Statutes, in excess of the
38 expenditure authority amounts are allocated for the purposes of section 42-5029.02,
39 subsection A, paragraph 6, Arizona Revised Statutes.

40 ~~[Of the amount appropriated by Laws 2025, chapter 233, section 31 for the school~~
41 ~~safety program, \$2,000,000 shall be used to fund the school safety and threat identification~~
42 ~~pilot program established by law.]~~

43 Of the amount appropriated by Laws 2025, chapter 233, section 31 for the school
44 safety program, \$100,000 shall be used to fund the child sexual abuse and assault awareness
45 and prevention pilot program established by law.

46 After review by the joint legislative budget committee, in fiscal year 2026-2027, the
47 department of education may use a portion of its fiscal year 2026-2027 state general fund
48 appropriations for basic state aid, additional state aid or the special education fund to
49 fund a shortfall in funding for basic state aid, additional state aid or the special
50 education fund, if any, that occurred in fiscal year 2025-2026.

51 The department of education shall provide an updated report on its budget status
52 every three months for the first half of each fiscal year and every month thereafter to the
53 president of the senate, the speaker of the house of representatives, the chairpersons of the
54 senate and house of representatives appropriations committees, the director of the joint
55 legislative budget committee and the director of the governor's office of strategic planning
56 and budgeting. Each report must include, at a minimum, the department's current funding
57 surplus or shortfall projections for basic state aid and other major formula-based programs
58 and is due thirty days after the end of the applicable reporting period.

59 Within fifteen days after each apportionment of state aid that occurs pursuant to
60 section 15-973, subsection B, Arizona Revised Statutes, the department of education shall

1 post on its website the amount of state aid apportioned to each recipient and the underlying
2 data.

3 Sec. 32. DEPARTMENT OF EMERGENCY AND MILITARY AFFAIRS

	<u>2026-27</u>
FTE positions	68.1
Administration	\$ 2,946,000
Emergency management	902,700
Emergency management matching funds	1,563,600
Military affairs	2,157,300
National guard matching funds	3,533,300
National guard tuition reimbursement	<u>1,000,000</u>
Total appropriation – department of emergency and military affairs	\$ 12,102,900

15 Fund sources:

State general fund	\$ 12,102,900
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17 The \$3,533,300 national guard matching funds appropriation is exempt from the
18 provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
19 appropriations, except that all fiscal year 2026-2027 monies remaining unexpended and
20 unencumbered on December 31, 2027 revert to the state general fund.

21 The appropriated amount for the national guard tuition reimbursement line item is
22 exempt from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing
23 of appropriations, until September 30, 2027.

24 Of the \$13,300,000 appropriated to the department by Laws 2022, chapter 313, section
25 32 in fiscal year 2022-2023 for a onetime maintenance backfill, the department may use any
26 remaining unexpended and unencumbered monies for the construction of the Arizona army
27 national guard surprise readiness center in the city of Surprise.

28 Sec. 33. DEPARTMENT OF ENVIRONMENTAL QUALITY

	<u>2026-27</u>
FTE positions	360.7
Operating lump sum appropriation	\$ 73,837,600
Safe drinking water program	2,027,700
Geothermal energy research	1,500,000
Iron King mine Humboldt smelter cleanup	2,000,000
Emissions control contractor payment	31,989,000
Voluntary vehicle repair program support	2,170,200
Air permit portal	371,200
Water quality fee fund deposit	<u>9,500,000</u>
Total appropriation – department of environmental quality	\$ 123,395,700

44 Fund sources:

State general fund	\$ 2,000,000
Air quality fund	15,320,700
Emergency response fund	132,800
Emissions inspection fund	36,200,000
Hazardous waste management fund	2,689,300
Indirect cost fund	19,603,200
Permit administration fund	7,536,400
Recycling fund	8,242,100
Safe drinking water program fund	2,027,700
Solid waste fee fund	3,907,600
Underground storage tank fund	3,700,000
Water quality fee fund	22,035,900

58 The department of environmental quality shall report annually on the progress of
59 WQARF activities, including emergency response, priority site remediation, cost recovery
60 activity, revenue and expenditure activity and other WQARF-funded program activity. The
61 department shall submit the fiscal year 2026-2027 report to the joint legislative budget

1 committee on or before September 1, 2026. This report must also include a budget for the
 2 WQARF program that is developed in consultation with the WQARF advisory board. This budget
 3 shall specify the monies budgeted for each listed site during fiscal year 2026-2027. In
 4 addition, the department and the WQARF advisory board shall prepare and submit to the joint
 5 legislative budget committee, on or before October 1, 2026, a report in a table format
 6 summarizing the current progress on remediation of each listed site on the WQARF
 7 registry. The table shall include the stage of remediation for each site at the end of
 8 fiscal year 2025-2026, indicate whether the current stage of remediation is anticipated to be
 9 completed in fiscal year 2026-2027 and indicate the anticipated stage of remediation at each
 10 listed site at the end of fiscal year 2026-2027, assuming fiscal year 2026-2027 funding
 11 levels. The department and the WQARF advisory board may include other relevant information
 12 about the listed sites in the table.

13 All permit administration fund monies received by the department of environmental
 14 quality in excess of \$7,536,400 in fiscal year 2026-2027 are appropriated to the
 15 department. Before spending permit administration fund monies in excess of \$7,536,400 in
 16 fiscal year 2026-2027, the department shall report the intended use of the monies to the
 17 joint legislative budget committee.

18 All monies in the department of environmental quality indirect cost fund established
 19 by section 49-115, Arizona Revised Statutes, including the beginning balance, that are in
 20 excess of \$19,603,200 in fiscal year 2026-2027 are appropriated to the department. Before
 21 spending indirect cost fund monies in excess of \$19,603,200 in fiscal year 2026-2027, the
 22 department shall report the intended use of the monies to the joint legislative budget
 23 committee.

24 The operating lump sum appropriation includes \$776,600 from the water quality fee
 25 fund established by section 49-210, Arizona Revised Statutes, for two FTE positions to
 26 process an increase in permit applications resulting from revised aquifer water quality
 27 standards. The department of environmental quality may only spend these monies if matching
 28 amounts of aquifer protection permit program fees collected pursuant to section 49-241.02,
 29 Arizona Revised Statutes, are deposited in the water quality fee fund established by section
 30 49-210, Arizona Revised Statutes, by the end of fiscal year 2026-2027.

31 Sec. 34. GOVERNOR'S OFFICE OF EQUAL OPPORTUNITY

		<u>2026-27</u>
	FTE positions	5.0
	Lump sum appropriation	\$ 317,400
	Fund sources:	
	Personnel division fund	\$ 317,400

37 Sec. 35. STATE BOARD OF EQUALIZATION

		<u>2026-27</u>
	FTE positions	7.0
	Lump sum appropriation	\$ 734,700
	Fund sources:	
	State general fund	\$ 734,700

43 Sec. 36. BOARD OF EXECUTIVE CLEMENCY

		<u>2026-27</u>
	FTE positions	15.5
	Lump sum appropriation	\$ 1,639,300
	Fund sources:	
	State general fund	\$ 1,639,300

49 On or before November 1, 2026, the board of executive clemency shall report to the
 50 directors of the joint legislative budget committee and the governor's office of strategic
 51 planning and budgeting the total number and types of cases the board reviewed in fiscal year
 52 2025-2026.

53 Sec. 37. ARIZONA EXPOSITION AND STATE FAIR BOARD

		<u>2026-27</u>
	FTE positions	184.0
	Lump sum appropriation	\$ 19,762,800
	Fund sources:	
	Arizona exposition and state fair fund	\$ 19,762,800

60 Of the monies appropriated in the Arizona exposition and state fair board lump sum
 61 appropriation, \$2,000,000 shall be spent for enhanced state fair operations. Pursuant to

1 section 41-1252, Arizona Revised Statutes, before spending monies appropriated in the lump
 2 sum appropriation on capital projects, the board shall submit a report for review by the
 3 joint committee on capital review on the scope, purpose and estimated cost of the capital
 4 improvements.

5 The \$2,000,000 appropriated to the Arizona exposition and state fair board by Laws
 6 2025, chapter 233, section 37 in fiscal year 2025-2026 for enhanced state fair operations is
 7 exempt from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing
 8 of appropriations, until June 30, 2027.

9 Sec. 38. ARIZONA DEPARTMENT OF FORESTRY AND FIRE MANAGEMENT

10		<u>2026-27</u>
11	FTE positions	215.5
12	Operating lump sum appropriation	\$ 6,303,100
13	Environmental county grants	250,000
14	Inmate firefighting crews	902,700
15	Postrelease firefighting crews	1,332,700
16	Fire suppression	10,200,000
17	State fire marshal	1,844,400
18	State fire school	291,700
19	Hazardous vegetation removal	3,039,300
20	US forest service land thinning	1,703,400
21	Wildfire mitigation	<u>27,354,900</u>

22 Total appropriation – Arizona department
 23 of forestry and fire management \$ 53,222,200

24 Fund sources:
 25 State general fund \$ 53,222,200

26 Of the amount appropriated in the fire suppression line item, \$10,000,000 shall be
 27 used for the purposes prescribed by and are subject to the restrictions outlined in Laws
 28 2021, first special session, chapter 1, section 1, as amended by Laws 2022, chapter 1,
 29 section 1. Of the amount appropriated in the fire suppression line item, \$10,000,000 is
 30 exempt from the provisions of section 35-190, Arizona Revised Statutes, relating to the
 31 lapsing of appropriations, through June 30, 2029.

32 The appropriation for the hazardous vegetation removal line item is exempt from the
 33 provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
 34 appropriations, until June 30, 2028.

35 The appropriation for the wildfire mitigation line item is exempt from the provisions
 36 of section 35-190, Arizona Revised Statutes, relating to lapsing of appropriations, until
 37 June 30, 2029.

38 Sec. 39. ARIZONA GAME AND FISH DEPARTMENT

39		<u>2026-27</u>
40	FTE positions	273.5
41	Operating lump sum appropriation	\$ 45,460,200
42	Pittman-Robertson/Dingell-Johnson	
43	act	<u>3,058,000</u>
44	Total appropriation – Arizona game and fish	
45	department	\$ 48,518,200
46	Fund sources:	
47	Capital improvement fund	\$ 1,001,200
48	Game and fish fund	42,033,600
49	Wildlife endowment fund	16,200
50	Watercraft licensing fund	5,071,100
51	Game, nongame, fish and	
52	endangered species fund	396,100

53 Sec. 40. DEPARTMENT OF GAMING

54		<u>2026-27</u>
55	FTE positions	130.8
56	Operating lump sum appropriation	\$ 13,590,000
57	Arizona breeders' award	250,000
58	Casino operations certification	2,346,100
59	County fairs livestock and	
60	agriculture promotion	6,029,500
61	Division of racing	2,372,700

1	Contract veterinarian	175,000
2	Horseracing integrity and safety	
3	act assessment	2,000,000
4	Racing regulation fund deposit	1,900,000
5	Problem gambling	<u>4,000,000</u>
6	Total appropriation – department of gaming	\$ 32,663,300

7	Fund sources:	
8	State general fund	\$ 8,104,500
9	Tribal-state compact fund	2,346,100
10	Arizona benefits fund	17,290,000
11	State lottery fund	300,000
12	Racing regulation fund	4,622,700

13 The amount appropriated to the county fairs livestock and agriculture promotion line
 14 item is for deposit in the county fairs livestock and agriculture promotion fund established
 15 by section 5-113, Arizona Revised Statutes, and to be administered by the office of the
 16 governor.

17 On or before August 1, 2026, the department of gaming shall report to the directors
 18 of the joint legislative budget committee and the governor's office of strategic planning and
 19 budgeting on the expected amount and purpose of expenditures from the event wagering fund
 20 established by section 5-1318, Arizona Revised Statutes, for fiscal year 2026-2027. The
 21 report must include the projected line item detail and the number of filled full-time
 22 equivalent positions.

23 On or before the final day of each quarter of fiscal year 2026-2027, the department
 24 of gaming shall report to the members of the joint legislative budget committee on the number
 25 of equine deaths and injuries that occurred as a result of a horse race and the commercial
 26 live racing facility where each incident occurred. The report must include the number of
 27 prerace inspections performed by a veterinarian employed by or contracted with this state.

28 The amount appropriated for the horseracing integrity and safety act assessment line
 29 item shall be used by the department of gaming during fiscal year 2026-2027 to pay the
 30 calendar year 2026 assessment levied by the horseracing integrity and safety authority.

31 Sec. 41. OFFICE OF THE GOVERNOR

32		<u>2026-27</u>
33	Operating lump sum appropriation	\$ 8,144,700*
34	Foster youth education success	
35	fund deposit	<u>1,500,000</u>
36	Total appropriation – office of the governor	\$ 9,644,700

37	Fund sources:	
38	State general fund	\$ 9,644,700

39 Included in the operating lump sum appropriation of \$8,144,700 for fiscal year 2026-
 40 2027 is \$10,000 for the purchase of mementos and items for visiting officials.

41 Sec. 42. GOVERNOR'S OFFICE OF STRATEGIC PLANNING AND BUDGETING

42		<u>2026-27</u>
43	FTE positions	22.0
44	Lump sum appropriation	\$ 2,854,500*

45	Fund sources:	
46	State general fund	\$ 2,854,500

47 Sec. 43. DEPARTMENT OF HEALTH SERVICES

48		<u>2026-27</u>
49	FTE positions	1,129.5
50	Operating lump sum appropriation	\$ 66,388,500

51	<u>Public health/family health</u>	
52	Adult cystic fibrosis care	105,200
53	AIDS reporting and surveillance	1,000,000
54	Alzheimer's disease research	4,125,000
55	Behavioral health care provider	
56	loan repayment program	1,000,000
57	Biomedical research support	2,000,000
58	Breast and cervical cancer and	
59	bone density screening	1,369,400
60	Cooling centers for heat relief	400,000
61	County tuberculosis provider	

1	care and control	590,700
2	Dementia services program and	
3	Alzheimer's disease state plan	700,000
4	Enhanced residential treatment	250,000
5	Folic acid program	400,000
6	Funeral services regulation	460,600
7	High-risk perinatal services	2,343,400
8	Newborn screening program	15,967,000
9	Nonrenal disease management	198,000
10	Nursing care special projects	200,000
11	Poison control centers funding	990,000
12	Radiation protection system grants	1,500,000
13	Renal dental care and nutrition	
14	supplements	300,000
15	Renal transplant drugs	183,000
16	<u>Arizona state hospital</u>	
17	Arizona state hospital –	
18	operating	82,070,500
19	Arizona state hospital –	
20	restoration to competency	900,000
21	Arizona state hospital –	
22	sexually violent persons	<u>12,940,100</u>
23	Total appropriation – department of	
24	health services	\$196,381,400
25	Fund sources:	
26	State general fund	\$122,263,600
27	Arizona state hospital fund	3,395,700
28	Arizona state hospital land fund	1,596,600
29	Child fatality review fund	196,500
30	Disease control research fund	1,000,000
31	DHS indirect cost fund	13,822,200
32	Emergency medical services	
33	operating fund	4,278,400
34	Environmental laboratory licensure	
35	revolving fund	1,013,100
36	Federal child care and development	
37	fund block grant	1,286,500
38	Health services licensing fund	23,641,400
39	Health services lottery monies fund	2,600,000
40	Newborn screening program fund	16,386,100
41	Nursing care institution resident	
42	protection revolving fund	238,200
43	Tobacco tax and health care	
44	fund – medically needy account	700,000
45	Vital records electronic systems	
46	fund	3,963,100
47	<u>Public health/family health</u>	

48 Of the amount appropriated for the operating lump sum, \$100,000 shall be used for a
 49 suicide prevention coordinator to assist school districts and charter schools in suicide
 50 prevention efforts. On or before September 1, 2027, the department of health services, in
 51 consultation with the department of education, shall report to the governor, the president of
 52 the senate, the speaker of the house of representatives, the director of the joint
 53 legislative budget committee and the director of the governor's office of strategic planning
 54 and budgeting on the suicide prevention coordinator's accomplishments in fiscal year 2026-
 55 2027.

56 The department of health services may use up to four percent of the amount
 57 appropriated for nonrenal disease management for the administrative costs to implement the
 58 program.

59 The department of health services shall distribute monies appropriated for the
 60 biomedical research support line item to a nonprofit medical research institute headquartered
 61 in this state that specializes in biomedical research focusing on applying genomic

1 technologies and sequencing to clinical care, that has served as a resource to this state to
 2 conduct molecular epidemiologic analyses to assist with disease outbreak investigations and
 3 that collaborates with universities, hospitals and health science research centers and other
 4 public and private bioscience and related industries in this state. The recipient of these
 5 monies shall commission an audit of the expenditure of these monies and shall submit a copy
 6 of the audit to the department of health services on or before February 1, 2028.

7 The department of health services shall distribute monies appropriated for
 8 Alzheimer's disease research through a grant to a charitable organization that is qualified
 9 under section 501(c)(3) of the internal revenue code and that meets the following criteria:

10 1. Is headquartered in this state.

11 2. Has been operating in this state for at least the last ten years.

12 3. Has participating member institutions that work together to end Alzheimer's
 13 disease within a statewide collaborative model by using their complementary strengths in
 14 brain imaging, computer science, genomics, basic and cognitive neurosciences and clinical and
 15 neuropathology research.

16 4. Has participating member institutions that educate residents of this state about
 17 Alzheimer's disease, research progress and resources to help patients, families and
 18 professionals manage the disease.

19 The terms of the grant made to the charitable organization may not impose any
 20 requirements that were not imposed in prior grant agreements entered into between the
 21 department of health services and the charitable organization.

22 The amount appropriated in the cooling centers for heat relief line item is exempt
 23 from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
 24 appropriations, until October 31, 2027.

25 The amount appropriated to the radiation protection system grants line item shall be
 26 used by the department to establish and administer a grant program to assist rural hospitals
 27 with the cost of installing radiation protection systems in cardiac catheterization procedure
 28 rooms in which real-time x-ray imaging procedure occur.

29 Arizona state hospital

30 In addition to the appropriation for the department of health services, earnings on
 31 state lands and interest on the investment of the permanent state land funds are appropriated
 32 to the Arizona state hospital in compliance with the enabling act and the Constitution of
 33 Arizona.

34 Department-wide

35 The department of health services shall electronically forward to the president of
 36 the senate, the speaker of the house of representatives, the chairpersons of the senate and
 37 house of representatives appropriations committees and the director of the joint legislative
 38 budget committee a monthly report comparing total expenditures for the month and year-to-date
 39 as compared to prior year totals on or before the thirtieth of the following month. Each
 40 report must include an estimate of potential shortfalls in programs, potential federal and
 41 other monies, such as the statewide assessment for indirect costs, that may be available to
 42 offset these shortfalls, and a plan, if necessary, for eliminating any shortfall without a
 43 supplemental appropriation.

44 Sec. 44. ARIZONA HISTORICAL SOCIETY

	<u>2026-27</u>
FTE positions	54.9
Operating lump sum appropriation	\$ 2,394,900
Field services and grants	66,900
Papago park museum	<u>572,600</u>
Total appropriation – Arizona historical	
society	\$ 3,034,400

52 Fund sources:

State general fund	\$ 3,034,400
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54 If the Arizona historical society donations fund unrestricted balance is less than
 55 \$300,000 in fiscal year 2026-2027, the Arizona historical society may use not more than
 56 \$549,600 from the state parks revenue fund established in section 41-511.21, Arizona Revised
 57 Statutes, for operating expenditures. The Arizona historical society shall notify the joint
 58 legislative budget committee if the balance of the Arizona historical society donations fund
 59 is less than \$300,000 in fiscal year 2026-2027 and shall submit a report to the joint
 60 legislative budget committee on the intended uses of any monies from the state parks revenue
 61 fund before spending any monies for operating expenditures.

1 Sec. 45. PRESCOTT HISTORICAL SOCIETY

2		<u>2026-27</u>
3	FTE positions	13.0
4	Lump sum appropriation	\$ 1,074,300
5	Fund sources:	
6	State general fund	\$ 1,074,300

7 Sec. 46. ARIZONA DEPARTMENT OF HOMELAND SECURITY

8		<u>2026-27</u>
9	FTE positions	26.0
10	Statewide information security	
11	and privacy operations and	
12	controls	\$ 11,145,200
13	Multi-factor authentication	850,000
14	Cyber ready Arizona	<u>11,500,000</u>
15	Total appropriation – Arizona department of	
16	homeland security	\$ 23,495,200
17	Fund sources:	
18	State general fund	\$ 10,000,000
19	Information technology fund	11,995,200
20	Highway patrol fund	1,500,000

21 Of the amount appropriated for the cyber ready Arizona line item, the Arizona
 22 department of homeland security may spend up to \$500,000 for administration and not more than
 23 \$11,000,000 to purchase cybersecurity tool licenses. With the exception of the \$500,000
 24 allowed for administration, monies in the cyber ready Arizona line item may not be used to
 25 support permanent FTE positions at any state agency or political subdivision of this
 26 state. In addition to any existing recipient class, the department may consider grant
 27 applications from [water and] wastewater facilities.

28 Sec. 47. BOARD OF HOMEOPATHIC AND INTEGRATED MEDICINE EXAMINERS

29		<u>2026-27</u>
30	FTE positions	1.0
31	Lump sum appropriation	\$ 64,200
32	Fund sources:	
33	Board of homeopathic and	
34	integrated medicine	
35	examiners' fund	\$ 64,200

36 Sec. 48. ARIZONA DEPARTMENT OF HOUSING

37		<u>2026-27</u>
38	FTE positions	3.0
39	Lump sum appropriation	\$ 360,700
40	Fund sources:	
41	Housing trust fund	\$ 360,700

42 Sec. 49. INDUSTRIAL COMMISSION OF ARIZONA

43		<u>2026-27</u>
44	FTE positions	215.6
45	Operating lump sum appropriation	\$ 23,213,100
46	Municipal firefighter reimbursement	
47	administration	<u>90,100</u>
48	Total appropriation – industrial commission	
49	of Arizona	\$ 23,303,200
50	Fund sources:	
51	State general fund	\$ 90,100
52	Administrative fund	23,213,100

53 The legislature intends that the state general fund appropriation be used only for
 54 administrative costs of title 23, chapter 11, Arizona Revised Statutes, and that this
 55 appropriation does not convey any responsibility for firefighter cancer compensation and
 56 benefits claims to this state.

57 Sec. 50. DEPARTMENT OF INSURANCE AND FINANCIAL INSTITUTIONS

58		<u>2026-27</u>
59	FTE positions	[132.4] [141.4]
60	Operating lump sum appropriation	\$ 15,451,700
61	Arizona vehicle theft task force	[4,452,600] [4,552,600]

1	Automobile theft authority	
2	operating budget	[797,100] [697,100]
3	Local grants	1,388,900
4	Reimbursable programs	<u>50,000</u>
5	Total appropriation – department of insurance	
6	and financial institutions	\$ 22,140,300
7	Fund sources:	
8	State general fund	\$ 1,580,300
9	Automobile theft authority fund	6,837,300
10	Financial services fund	6,257,500
11	Financial surveillance fund	7,414,900
12	Department revolving fund	50,300

13 Monies in the Arizona vehicle theft task force line item shall be used by the
 14 department of insurance and financial institutions to pay seventy-five percent of the
 15 personal services and employee-related expenditures [~~and one hundred percent of overtime~~
 16 ~~expenditures~~] for city, town and county sworn officers who participate in the Arizona vehicle
 17 theft task force.

18 Local grants shall be awarded with consideration given to areas with greater
 19 automobile theft problems and shall be used to combat economic automobile theft operations.

20 The department of insurance and financial institutions shall submit a report to the
 21 joint legislative budget committee before spending any monies for the reimbursable programs
 22 line item. The department shall show sufficient monies collected to cover the expenses
 23 indicated in the report.

24 Of the department fees required by statute to be deposited in the financial
 25 surveillance fund established by section 20-156, Arizona Revised Statutes, the legislature
 26 intends that the department of insurance and financial institutions assess and set the fees
 27 at a level to ensure that the available resources in the financial surveillance fund,
 28 including any carryforward balance, will equal or exceed the amount appropriated from the
 29 financial surveillance fund.

30 Of the department fees required by statute to be deposited in the state general fund,
 31 the legislature intends that the department assess and set the fees at rates that equal or
 32 exceed those expended in fiscal year 2025-2026.

33 The operating lump sum appropriation includes a \$1,000,000 increase from the
 34 financial surveillance fund for the department's financial institutions division.

35 Sec. 51. ARIZONA JUDICIARY

36		<u>2026-27</u>
37	<u>Supreme court</u>	
38	FTE positions	208.0
39	Operating lump sum appropriation	\$ 19,435,000
40	Fair jury improvement	
41	fund deposit	1,620,000
42	Automation	25,114,100
43	County reimbursements	187,900
44	Court appointed special advocate	
45	and vulnerable persons	6,840,800
46	Courthouse security	752,100
47	Domestic relations	726,700
48	State foster care review board	3,680,500
49	Commission on judicial conduct	802,800
50	Judicial nominations and	
51	performance review	641,900
52	Model court	660,800
53	State aid	5,962,100
54	Probation electronic monitoring	
55	system operating costs	<u>1,300,000</u>
56	Total appropriation – supreme court	\$ 67,724,700
57	Fund sources:	
58	State general fund	\$ 30,599,500
59	Confidential intermediary and	
60	fiduciary fund	702,400
61	Court appointed special advocate	

1	and vulnerable persons fund	8,348,600
2	Criminal justice enhancement fund	4,779,700
3	Defensive driving school fund	4,498,500
4	Judicial collection enhancement	
5	fund	15,849,400
6	State aid to the courts fund	2,946,600

7 On or before September 1, 2026, the supreme court shall report to the joint
8 legislative budget committee and the governor's office of strategic planning and budgeting on
9 current and future automation projects coordinated by the administrative office of the
10 courts. The report must include a list of court automation projects that receive or are
11 anticipated to receive state monies in the current or next two fiscal years as well as a
12 description of each project, the number of FTE positions, the entities involved and the goals
13 and anticipated results for each automation project. The report must be submitted in one
14 summary document. The report must indicate each project's total multiyear cost by fund
15 source and budget line item, including any prior year, current year and future year
16 expenditures.

17 Pursuant to section 41-1904, Arizona Revised Statutes, as of January 1, 2027, the
18 annual salary for the chief justice of the supreme court is \$242,000 and the annual salary
19 for the other justices of the supreme court is \$235,000.

20 Automation expenses of the judiciary shall be funded only from the automation line
21 item. Monies in the operating lump sum appropriation or other line items intended for
22 automation purposes shall be transferred to the automation line item before expenditure.

23 Included in the operating lump sum appropriation for the supreme court is \$1,000 for
24 the purchase of mementos and items for visiting officials.

25 Of the \$187,900 appropriated for county reimbursements, state grand jury is limited
26 to \$97,900 and capital postconviction relief is limited to \$90,000.

27 The amount appropriated for probation electronic monitoring system operating costs in
28 fiscal year 2026-2027 shall be used for the continued operation of a statewide mobile
29 electronic monitoring system for sex offenders on probation supervision and may only be used
30 for contracted statewide mobile electronic monitoring platform services, including:

- 31 1. Approved mobile devices and data services.
- 32 2. Software licensing and maintenance.
- 33 3. Officer training.
- 34 4. Contractor compliance intervention services directly related to operation of the
35 program.

36 The administrative office of the courts may authorize participating criminal justice
37 and supervision agencies to use the statewide mobile electronic monitoring platform and
38 related services, which may include the state department of corrections, county sheriff's
39 offices, probation departments, pretrial services, diversion programs and specialty
40 courts. Beginning in fiscal year 2026-2027, the administrative office of the courts shall
41 submit quarterly expenditure, enrollment, compliance and utilization reports for the system
42 to the governor, the president of the senate and the speaker of the house of representatives.

43 [If any monies remain from the appropriation from the probation electronic monitoring system
44 operating costs line item in fiscal year 2026-2027 after satisfying all obligations pursuant
45 to this section, the administrative office of the courts may use the remaining monies to
46 operate the system for other violent offender populations.]

47	<u>Court of appeals</u>	
48	FTE positions	163.8
49	Division one	\$ 16,988,900
50	Division two	<u>8,805,400</u>
51	Total appropriation — court of appeals	\$ 25,794,300

52	Fund sources:	
53	State general fund	\$ 25,794,300

54 Of the 163.8 FTE positions for fiscal year 2026-2027, 112.3 FTE positions are for
55 division one and 51.5 FTE positions are for division two.

56 Pursuant to section 41-1904, Arizona Revised Statutes, as of January 1, 2027, the
57 annual salary for a judge of the court of appeals is \$220,000.

58	<u>Superior court</u>	
59	FTE positions	241.5
60	Operating lump sum appropriation	\$ 5,308,000
61	Judges' compensation	34,092,000

1	Centralized service payments	4,687,600
2	Adult standard probation	29,108,300
3	Adult intensive probation	16,362,300
4	Community punishment	2,310,300
5	Court-ordered removals	315,000
6	Interstate compact	605,100
7	Drug court	1,096,400
8	General adjudication personnel	
9	and support fund deposit	2,000,000
10	Juvenile standard probation	4,001,500
11	Juvenile intensive probation	6,087,200
12	Juvenile treatment services	20,803,000
13	Juvenile family counseling	500,000
14	Juvenile crime reduction	3,313,000
15	Juvenile diversion consequences	9,215,300
16	Probation incentive payments	1,000,000
17	Special water master	<u>511,100</u>
18	Total appropriation – superior court	\$141,316,100
19	Fund sources:	
20	State general fund	\$129,301,600
21	Criminal justice enhancement fund	5,494,900
22	Drug treatment and education fund	504,200
23	Judicial collection enhancement	
24	fund	6,015,400

25 Operating budget

26 All expenditures made by the administrative office of the courts to administer
 27 superior court line items shall be funded only from the superior court operating
 28 budget. Monies in superior court line items intended for this purpose shall be transferred
 29 to the superior court operating budget before expenditure.

30 Judges

31 Of the 241.5 FTE positions, 183 FTE positions represent superior court judges. This
 32 FTE position clarification does not limit the counties' ability to add judges pursuant to
 33 section 12-121, Arizona Revised Statutes.

34 All monies in the judges' compensation line item shall be used to pay for fifty
 35 percent of superior court judges' salaries, elected officials' retirement plan costs and
 36 related state benefit costs for judges pursuant to section 12-128, Arizona Revised
 37 Statutes. Monies in the operating lump sum appropriation or other line items intended for
 38 this purpose shall be transferred to the judges' compensation line item before expenditure.

39 Pursuant to section 41-1904, Arizona Revised Statutes, as of January 1, 2027, the
 40 annual salary for a superior court judge is \$210,000.

41 Probation

42 Monies appropriated to juvenile treatment services and juvenile diversion
 43 consequences line items shall be deposited in the juvenile probation services fund
 44 established by section 8-322, Arizona Revised Statutes.

45 Receipt of state probation monies by the counties is contingent on the county
 46 maintenance of fiscal year 2019-2020 expenditure levels for each probation program. State
 47 probation monies are not intended to supplant county dollars for probation programs.

48 On or before November 1, 2026, the administrative office of the courts shall report
 49 to the joint legislative budget committee and the governor's office of strategic planning and
 50 budgeting the fiscal year 2025-2026 actual, fiscal year 2026-2027 estimated and fiscal year
 51 2027-2028 requested amounts for each of the following:

52 1. On a county-by-county basis, the number of authorized and filled case carrying
 53 probation positions and non-case carrying probation positions, distinguishing between adult
 54 standard, adult intensive, juvenile standard and juvenile intensive. The report must
 55 indicate the level of state probation funding, other state funding, county funding and
 56 probation surcharge funding for those positions.

57 2. Total receipts and expenditures by county and fund source for the adult standard,
 58 adult intensive, juvenile standard and juvenile intensive probation line items, including the
 59 amount of personal services spent from each revenue source of each account.

60 All centralized service payments made by the administrative office of the courts on
 61 behalf of counties shall be funded only from the centralized service payments line

1 item. Centralized service payments include only training, motor vehicle payments, CORP
 2 review board funding, LEARN funding, research, operational reviews and GPS vendor payments.
 3 This footnote does not apply to treatment or counseling services payments made from the
 4 juvenile treatment services and juvenile diversion consequences line items. Monies in the
 5 operating lump sum appropriation or other line items intended for centralized service
 6 payments shall be transferred to the centralized service payments line item before
 7 expenditure.

8 All monies in the adult standard probation, adult intensive probation, community
 9 punishment, interstate compact, juvenile standard probation, juvenile intensive probation,
 10 juvenile treatment services, juvenile diversion consequences, juvenile crime reduction and
 11 probation incentive payments line items shall be used only as pass-through monies to county
 12 probation departments. Monies in the operating lump sum appropriation or other line items
 13 intended as pass-through for the purpose of administering a county probation program shall be
 14 transferred to the appropriate probation line item before expenditure.

15 On or before November 1, 2026, the administrative office of the courts shall submit a
 16 report to the joint legislative budget committee on the county-approved salary adjustments
 17 provided to probation officers since the last report on November 1, 2025. The administrative
 18 office shall also submit a copy of the report to the governor's office of strategic planning
 19 and budgeting. The report must include, for each county, the:

- 20 1. Approved percentage salary increase by year.
- 21 2. Net increase in the amount allocated to each probation department by the
 22 administrative office of the courts for each applicable year.
- 23 3. Average number of probation officers by applicable year.
- 24 4. Average salary of probation officers for each applicable year.

25 Sec. 52. DEPARTMENT OF JUVENILE CORRECTIONS

		<u>2026-27</u>
26		
27	FTE positions	583.5
28	Lump sum appropriation	\$ 46,105,800
29	Fund sources:	
30	State general fund	\$ 32,808,000
31	State charitable, penal and	
32	reformatory institutions	
33	land fund	4,054,400
34	Criminal justice enhancement fund	1,028,000
35	State education fund for committed	
36	youth	1,491,400
37	Department of juvenile corrections	
38	local cost sharing fund	6,724,000

39 Twenty-five percent of land earnings and interest from the state charitable, penal
 40 and reformatory institutions land fund shall be distributed to the department of juvenile
 41 corrections, in compliance with section 25 of the enabling act and the Constitution of
 42 Arizona, to be used to support state juvenile institutions and reformatories.

43 The department's lump sum appropriation includes funding to convert the onetime
 44 stipend for youth correctional officers equal to four percent of the annual salary
 45 appropriated in fiscal year 2025-2026 into a four percent annual salary increase in fiscal
 46 year 2026-2027.

47 Sec. 53. STATE LAND DEPARTMENT

		<u>2026-27</u>
48		
49	FTE positions	145.7
50	Operating lump sum appropriation	\$ 19,861,000
51	CAP user fees	1,408,000
52	Due diligence program	<u>5,000,000</u>
53	Total appropriation – state land department	\$ 26,269,000
54	Fund sources:	
55	State general fund	\$ 12,030,000
56	Off-highway vehicle recreation	
57	fund	177,600
58	Due diligence fund	5,000,000
59	Trust land management fund	9,061,400

60 The appropriation includes \$1,408,000 for CAP user fees in fiscal year 2026-
 61 2027. For fiscal year 2026-2027, from municipalities that assume their allocation of central

1 Arizona project water for every dollar received as reimbursement to this state for past
 2 central Arizona water conservation district payments, \$1 reverts to the state general fund in
 3 the year that the reimbursement is collected.

4 Sec. 54. LEGISLATURE

5 2026-27

6 Senate

7 Lump sum appropriation \$ 18,064,300*

8 Fund sources:

9 State general fund \$ 18,064,300

10 Included in the lump sum appropriation of \$18,064,300 for fiscal year 2026-2027 is
 11 \$5,000 for the purchase of mementos and items for visiting officials.

12 House of representatives

13 Lump sum appropriation \$ 21,795,300*

14 Fund sources:

15 State general fund \$ 21,795,300

16 Included in the lump sum appropriation of \$21,795,300 for fiscal year 2026-2027 is
 17 \$5,000 for the purchase of mementos and items for visiting officials.

18 Legislative council

19 FTE positions 63.0

20 Lump sum appropriation \$ 9,422,400*

21 Fund sources:

22 State general fund \$ 9,422,400

23 Ombudsman-citizens aide office

24 FTE positions 12.0

25 Lump sum appropriation \$ 1,608,900*

26 Fund sources:

27 State general fund \$ 1,608,900

28 The legislature intends that the ombudsman-citizens aide prioritize investigating and
 29 processing complaints relating to the department of child safety.

30 The operating budget includes \$137,500 and 1 FTE position to address complaints
 31 relating to the administration of the Arizona empowerment scholarship account program
 32 established by section 15-2402, Arizona Revised Statutes.

33 Joint legislative budget committee

34 FTE positions 29.0

35 Lump sum appropriation \$ 3,071,000*

36 Fund sources:

37 State general fund \$ 3,071,000

38 Auditor general

39 FTE positions 236.8

40 Operating lump sum appropriation \$26,709,000*

41 State employee health plan

42 special audit 500,000

43 Total appropriation - auditor general \$ 27,209,000

44 Fund sources:

45 State general fund \$ 26,709,000

46 Special employee health

47 insurance trust fund 500,000

48 Of the amount appropriated for the operating lump sum appropriation, the auditor
 49 general shall use \$3,300,000 for additional agency performance audits and school district
 50 audits.

51 The auditor general shall use the monies in the state employee health plan special
 52 audit line item for a special audit of the state employee health plan. The auditor general
 53 shall contract with an independent third party to conduct the special audit. The special
 54 audit must include the state employee health plan's application of best practices in health
 55 insurance cost containment and must include a forensic audit of a sample of claims from
 56 fiscal year 2025-2026.

57 Sec. 55. DEPARTMENT OF LIQUOR LICENSES AND CONTROL

58 2026-27

59 FTE positions ~~[53.7]~~ [59.2]

60 Lump sum appropriation \$ 7,052,800

61 Fund sources:

1 Sec. 60. STATE NATURAL RESOURCE CONSERVATION BOARD

2		<u>2026-27</u>
3	Natural resource conservation	
4	district fund deposit	<u>\$ 650,000</u>
5	Total appropriation – state natural resource	
6	conservation board	\$ 650,000
7	Fund sources:	
8	State general fund	\$ 389,400
9	Environmental special plate fund	260,600

10 Of the amount appropriated for deposit in the natural resource conservation district
 11 fund established by section 41-6014, Arizona Revised Statutes, in fiscal year 2026-2027,
 12 \$30,000 shall be used to provide grants to natural resource conservation districts
 13 environmental education centers.

14 The \$100,000 appropriated to the natural resource conservation board by Laws 2025,
 15 chapter 233, section 60 in fiscal year 2025-2026 for the lump sum appropriation is exempt
 16 from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
 17 appropriations.

18 Sec. 61. NATUROPATHIC PHYSICIANS MEDICAL BOARD

19		<u>2026-27</u>
20	FTE positions	2.0
21	Lump sum appropriation	\$ 221,800
22	Fund sources:	
23	Naturopathic physicians medical	
24	board fund	\$ 221,800

25 Sec. 62. ARIZONA NAVIGABLE STREAM ADJUDICATION COMMISSION

26		<u>2026-27</u>
27	FTE positions	2.0
28	Lump sum appropriation	\$ 343,900
29	Fund sources:	
30	State general fund	\$ 143,900
31	Arizona water banking fund	200,000

32 Sec. 63. ARIZONA STATE BOARD OF NURSING

33		<u>2026-27</u>
34	FTE positions	70.0
35	Operating lump sum appropriation	\$ 7,158,000
36	Certified nursing assistant	
37	credentialing program	<u>557,000</u>
38	Total appropriation – Arizona state	
39	board of nursing	\$ 7,715,000
40	Fund sources:	
41	Board of nursing fund	\$ 7,715,000

42 Sec. 64. BOARD OF EXAMINERS OF NURSING CARE INSTITUTION ADMINISTRATORS
43 AND ASSISTED LIVING FACILITY MANAGERS

44		<u>2026-27</u>
45	FTE positions	7.0
46	Lump sum appropriation	\$ 611,600
47	Fund sources:	
48	Nursing care institution	
49	administrators' licensing and	
50	assisted living facility	
51	managers' certification fund	\$ 611,600

52 Of the amount appropriated in the lump sum appropriation, \$30,000 may be used to pay
 53 outstanding costs of services provided by the department of administration-central services
 54 bureau in prior years.

55 Sec. 65. BOARD OF OCCUPATIONAL THERAPY EXAMINERS

56		<u>2026-27</u>
57	FTE positions	2.0
58	Lump sum appropriation	\$ 298,000
59	Fund sources:	
60	Occupational therapy fund	\$ 298,000

1	Sec. 66. STATE BOARD OF DISPENSING OPTICIANS	
2		<u>2026-27</u>
3	FTE positions	1.0
4	Lump sum appropriation	\$ 229,700
5	Fund sources:	
6	Board of dispensing opticians fund	\$ 229,700
7	Sec. 67. STATE BOARD OF OPTOMETRY	
8		<u>2026-27</u>
9	FTE positions	2.0
10	Lump sum appropriation	\$ 288,000
11	Fund sources:	
12	Board of optometry fund	\$ 288,000
13	Sec. 68. ARIZONA BOARD OF OSTEOPATHIC EXAMINERS IN MEDICINE AND SURGERY	
14		<u>2026-27</u>
15	FTE positions	15.0
16	Lump sum appropriation	\$ 1,926,100
17	Fund sources:	
18	Arizona board of osteopathic	
19	examiners in medicine	
20	and surgery fund	\$ 1,926,100
21	Sec. 69. ARIZONA STATE PARKS BOARD	
22		<u>2026-27</u>
23	FTE positions	180.0
24	Operating lump sum appropriation	\$ 18,443,100
25	Broadband infrastructure operations	
26	and maintenance	242,100
27	State parks store	1,530,200
28	Kartchner caverns state park	2,587,700
29	Water and wastewater infrastructure	
30	operations and maintenance	<u>541,000</u>
31	Total appropriation – Arizona state parks	
32	board	\$ 23,344,100
33	Fund sources:	
34	State parks revenue fund	\$ 21,797,200
35	State parks store fund	1,530,200
36	Off-highway vehicle recreation fund	16,700
37	In addition to the operating lump sum appropriation, an amount equal to the revenue	
38	share agreement with the United States forest service for Fool Hollow Lake recreation area	
39	and Catalina state park is appropriated to the Arizona state parks board from the state parks	
40	revenue fund established by section 41-511.21, Arizona Revised Statutes.	
41	If monies are available for land and water conservation grant funding to the Arizona	
42	state parks board for capital projects in fiscal year 2026-2027, the board shall report its	
43	revised expenditure plans to the joint committee on capital review and the governor's office	
44	of strategic planning and budgeting.	
45	If federal historic preservation fund grant monies are unavailable to the state	
46	historic preservation office in federal fiscal year 2026-2027, the Arizona state parks board	
47	may spend up to \$1,400,000 of the monies in the state parks revenue fund established by	
48	section 41-511.21, Arizona Revised Statutes, to pay for the state historic preservation	
49	office's operating expenses. Before spending any monies from the state parks revenue fund	
50	for state historic preservation office operating expenses, the Arizona state parks board	
51	shall report its expenditure plan to the joint legislative budget committee.	
52	The \$10,000,000 appropriated to the Arizona state parks board by Laws 2023, chapter	
53	199, section 6 in fiscal year 2023-2024 for a veterans memorial state park is exempt from the	
54	provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of	
55	appropriations, until June 30, 2028.	
56	Sec. 70. STATE PERSONNEL BOARD	
57		<u>2026-27</u>
58	FTE positions	2.0
59	Lump sum appropriation	\$ 369,900

1	Fund sources:	
2	Personnel division fund –	
3	personnel board subaccount	\$ 369,900
4	Sec. 71. ARIZONA STATE BOARD OF PHARMACY	
5		<u>2026-27</u>
6	FTE positions	26.4
7	Operating lump sum appropriation	\$ 3,693,900
8	Prescriber report card	<u>50,000</u>
9	Total appropriation – Arizona state	
10	board of pharmacy	\$ 3,743,900
11	Fund sources:	
12	Arizona state board of pharmacy	
13	fund	\$ 3,743,900
14	Sec. 72. BOARD OF PHYSICAL THERAPY	
15		<u>2026-27</u>
16	FTE positions	4.5
17	Lump sum appropriation	\$ 624,400
18	Fund sources:	
19	Board of physical therapy fund	\$ 624,400
20	Sec. 73. ARIZONA PIONEERS' HOME	
21		<u>2026-27</u>
22	FTE positions	107.3
23	Lump sum appropriation	\$ 9,160,800
24	Fund sources:	
25	Miners' hospital for miners with	
26	disabilities land fund	\$ 2,897,000
27	State charitable fund	6,263,800
28	Earnings on state lands and interest on the investment of the permanent land funds	
29	are appropriated for the Arizona pioneers' home and the state hospital for miners with	
30	disabilities in compliance with the enabling act and the Constitution of Arizona.	
31	Sec. 74. STATE BOARD OF PODIATRY EXAMINERS	
32		<u>2026-27</u>
33	FTE positions	1.0
34	Lump sum appropriation	\$ 204,200
35	Fund sources:	
36	Podiatry fund	\$ 204,200
37	Sec. 75. STATE BOARD FOR PRIVATE POSTSECONDARY EDUCATION	
38		<u>2026-27</u>
39	FTE positions	4.0
40	Lump sum appropriation	\$ 557,500
41	Fund sources:	
42	Board for private postsecondary	
43	education fund	\$ 557,500
44	Sec. 76. STATE BOARD OF PSYCHOLOGIST EXAMINERS	
45		<u>2026-27</u>
46	FTE positions	5.5
47	Lump sum appropriation	\$ 872,600
48	Fund sources:	
49	Behavioral analyst licensing	
50	and regulation account	\$ 396,400
51	Board of psychologist examiners	
52	fund	476,200
53	Sec. 77. DEPARTMENT OF PUBLIC SAFETY	
54		<u>2026-27</u>
55	FTE positions	2,192.7
56	Operating lump sum appropriation	\$297,214,000
57	ACTIC	2,132,700
58	AZPOST	8,145,000
59	Border drug interdiction	18,103,200
60	Local border support	13,232,900
61	Civil air patrol maintenance and	

1	operations	[144,000]	[250,000]
2	GIITEM		26,014,800
3	GIITEM subaccount		2,396,400
4	Major incident division		16,197,700*
5	Motor vehicle fuel		5,454,600
6	Onetime vehicle replacement		15,540,300
7	Pharmaceutical diversion and		
8	drug theft task force		668,400
9	Public safety equipment		2,890,000
10	Scrap metal dealer enforcement		
11	and compliance		250,000
12	Victims of crimes grants		<u>9,300,000</u>
13	Total appropriation – department of public		
14	safety	[417,664,000]	[417,790,000]
15	Fund sources:		
16	State general fund		\$305,292,600
17	State highway fund		10,000,000
18	Arizona highway patrol fund	[59,312,600]	[59,418,600]
19	Criminal justice enhancement fund		2,964,300
20	Department of public safety		
21	forensics fund		22,512,400
22	Gang and immigration intelligence		
23	team enforcement mission border		
24	security and law enforcement		
25	subaccount		2,396,400
26	Motorcycle safety fund		198,900
27	Motor vehicle liability insurance		
28	enforcement fund		968,300
29	Risk management revolving fund		1,155,200
30	Parity compensation fund		4,549,000
31	Public safety equipment fund		2,894,000
32	Concealed weapons permit fund		3,393,900
33	Fingerprint clearance card fund		2,046,400

34 Of the \$26,014,800 appropriated to the GIITEM line item, \$14,160,900 shall be used
 35 for one hundred department of public safety GIITEM personnel. The additional staff shall
 36 include at least fifty sworn department of public safety positions to be used for immigration
 37 enforcement and border security and fifty department of public safety positions to assist
 38 GIITEM in various efforts, including:

39 1. Strictly enforcing all federal laws relating to illegal aliens and arresting
 40 illegal aliens.

41 2. Responding to or assisting any county sheriff or attorney in investigating
 42 complaints of employment of illegal aliens.

43 3. Enforcing Arizona's law known as the Legal Arizona Workers Act, strictly
 44 enforcing Arizona's SB 1070, Arizona's "Support Our Law Enforcement and Safe Neighborhoods
 45 Act" and investigating crimes of identity theft in the context of hiring illegal aliens and
 46 the unlawful entry into this country.

47 4. Taking strict enforcement action.

48 Any change in the GIITEM mission or allocation of monies shall be approved by the
 49 joint legislative budget committee. The department shall submit an expenditure plan to the
 50 joint legislative budget committee for review before expending any monies not identified in
 51 the department's previous expenditure plans.

52 Of the \$26,014,800 appropriated to the GIITEM line item, only \$1,203,400 is deposited
 53 in the GIITEM fund established by section 41-1724, Arizona Revised Statutes, and is
 54 appropriated for the purposes of that section. The \$1,203,400 is exempt from the provisions
 55 of section 35-190, Arizona Revised Statutes, relating to lapsing of appropriations. This
 56 state recognizes that states have inherent authority to arrest a person for any immigration
 57 violation.

58 Any monies remaining in the department of public safety joint account on June 30,
 59 2027 revert to the funds from which they were appropriated. The reverted monies shall be
 60 returned in direct proportion to the amounts appropriated.

1 On or before September 1, 2026, the department of public safety shall submit an
 2 expenditure plan for the local border support line item to the joint legislative budget
 3 committee and the governor's office of strategic planning and budgeting.

4 The \$13,232,900 appropriated for the local border support line item shall be used to
 5 fund local law enforcement officer positions for border drug interdiction to deter and
 6 apprehend any individuals who are charged with drug trafficking, human smuggling, illegal
 7 immigration and other border-related crimes. The monies shall also be used for grants to
 8 cities, towns and counties for costs associated with prosecuting and detaining individuals
 9 who are charged with drug trafficking, human smuggling, illegal immigration and other
 10 border-related crimes. The department may fund all capital-related equipment.

11 The appropriation made for the onetime vehicle replacement line item is exempt from
 12 the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
 13 appropriations, until June 30, 2029.

14 The appropriation made by Laws 2025, chapter 233, section 77 in fiscal year 2025-2026
 15 for the Yuma county family advocacy center distribution line item is exempt from the
 16 provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
 17 appropriations. The department must enter into a new agreement with the recipient of the
 18 monies appropriated by the Yuma county family advocacy center line item to distribute any
 19 remaining funding from the appropriation.

20 Of the amount appropriated in the total appropriation for the department of public
 21 safety, \$190,242,200 is designated for personal services and \$82,210,200 is designated for
 22 employee-related expenditures. The department shall submit an expenditure plan to the joint
 23 legislative budget committee for review before spending these monies for other than personal
 24 services or employee-related expenditures.

25 Sec. 78. STATE REAL ESTATE DEPARTMENT

26		<u>2026-27</u>
27	FTE positions	37.0
28	Lump sum appropriation	\$ 3,259,400
29	Fund sources:	
30	State general fund	\$ 3,259,400

31 The state real estate department's lump sum appropriation includes an ongoing
 32 increase of \$140,100 beginning in fiscal year 2026-2027 for maintenance and operations
 33 expenses relating to the department's IT system. The legislature intends that this amount
 34 not be included in the calculation of the department's total appropriated budget for the
 35 purposes of section 32-2103, Arizona Revised Statutes, or otherwise result in the increase of
 36 any fee or assessment levied by the department.

37 Sec. 79. RESIDENTIAL UTILITY CONSUMER OFFICE

38		<u>2026-27</u>
39	FTE positions	14.5
40	Operating lump sum appropriation	\$ 1,806,200
41	Professional witnesses	<u>145,000*</u>
42	Total appropriation – residential utility	
43	consumer office	\$ 1,951,200
44	Fund sources:	
45	Residential utility consumer	
46	office revolving fund	\$ 1,951,200

47 Sec. 80. BOARD OF RESPIRATORY CARE EXAMINERS

48		<u>2026-27</u>
49	FTE positions	4.0
50	Lump sum appropriation	\$ 420,500
51	Fund sources:	
52	Board of respiratory care	
53	examiners fund	\$ 420,500

54 Sec. 81. ARIZONA STATE RETIREMENT SYSTEM

55		<u>2026-27</u>
56	FTE positions	222.9
57	Lump sum appropriation	\$ 28,966,100
58	Fund sources:	
59	Arizona state retirement system	
60	administration account	27,166,100
61	Long-term disability trust fund	

1	administration account	1,800,000
2	Sec. 82. DEPARTMENT OF REVENUE	
3		<u>2026-27</u>
4	FTE positions	892.8
5	Operating lump sum appropriation	\$ 74,388,200
6	BRITS operational support	8,005,200
7	E-commerce compliance and outreach	981,200
8	Unclaimed property administration	
9	and audit	1,473,900
10	TPT simplification	1,085,400
11	Tax fraud prevention	<u>3,170,800</u>
12	Total appropriation – department of revenue	\$ 89,104,700
13	Fund sources:	
14	State general fund	\$ 60,371,900
15	Department of revenue	
16	administrative fund	27,077,000
17	Liability setoff program	
18	revolving fund	939,100
19	Tobacco tax and health care fund	716,700
20	If the total value of properties retained by unclaimed property contract auditors	
21	exceeds \$1,473,900, the excess amount is transferred from the state general fund to the	
22	department of revenue administrative fund established by section 42-1116.01, Arizona Revised	
23	Statutes, and is appropriated to the department for costs and fees for contract auditors and	
24	for preparing and delivering notices and communications to holders and property owners under	
25	the unclaimed property program.	
26	If the department of revenue incurs legal expenses to protect the unclaimed property	
27	program from legal challenges, the amount of unclaimed property legal expenses is transferred	
28	from the state general fund to the department of revenue administrative fund established by	
29	section 42-1116.01, Arizona Revised Statutes, and is appropriated to the department for	
30	unclaimed property legal expenses. The department may not transfer more than \$1,500,000 from	
31	the general fund in fiscal year 2026-2027 for unclaimed property legal expenses.	
32	The department of revenue shall report the department's general fund revenue	
33	enforcement goals for fiscal year 2026-2027 to the joint legislative budget committee on or	
34	before September 30, 2026. On or before September 30, 2027, the department shall provide an	
35	annual progress report to the joint legislative budget committee as to the effectiveness of	
36	the department's overall enforcement and collections program for fiscal year 2026-2027. The	
37	reports must compare projected and actual state general fund, total state tax, total county	
38	tax and total municipal tax revenue enforcement collections for fiscal year 2025-2026 and	
39	fiscal year 2026-2027, including the amount of projected and actual enforcement collections	
40	for all tax types. The reports must also include the total number of transaction privilege	
41	tax delinquent accounts, the total dollar value of those accounts classified by age of	
42	account and the total dollar amount of delinquent account write-offs determined to be	
43	uncollectible for fiscal year 2025-2026.	
44	The department may not transfer any monies to or from the tax fraud prevention line	
45	item without prior review by the joint legislative budget committee.	
46	The operating lump sum appropriation includes \$2,000,000 and 25 FTE positions for	
47	additional audit and collections staff.	
48	On or before November 1, 2026, the department shall report the results of private	
49	fraud prevention investigation services during fiscal year 2025-2026 to the joint legislative	
50	budget committee. The report must include the total number of fraudulent returns prevented	
51	and the total dollar amount of fraudulent returns prevented during fiscal year 2025-2026.	
52	Sec. 83. DEPARTMENT OF STATE – SECRETARY OF STATE	
53		<u>2026-27</u>
54	FTE positions	144.1
55	Operating lump sum appropriation	\$ 15,339,400
56	Access voter information database	2,000,000
57	Address confidentiality program	
58	fund deposit	400,000
59	Election services	4,000,000
60	Electronic records repository	70,300
61	Library grants-in-aid	651,400*

1	Statewide radio reading service	
2	for the blind	97,000
3	Uniform state laws commission	<u>99,000</u>
4	Total appropriation – department of	
5	state – secretary of state	\$ 22,657,100
6	Fund sources:	
7	State general fund	\$ 18,857,100
8	Election systems improvement fund	2,000,000
9	Records services fund	1,800,000

10 Included in the operating lump sum appropriation of \$15,339,400 for fiscal year 2026-
11 2027 is \$5,000 for the purchase of mementos and items for visiting officials.

12 Included in the operating lump sum appropriation of \$15,339,400 for fiscal year
13 2026-2027 is \$1,800,000 from the records services fund established by section 41-151.12,
14 Arizona Revised Statutes. This appropriation may be used for the payment of obligations
15 incurred in fiscal year 2025-2026.

16 The operating lump sum appropriation includes \$100,000 for additional support for the
17 talking book library.

18 The operating lump sum appropriation includes \$250,000 for additional support for the
19 address confidentiality program.

20 The operating lump sum appropriation includes \$100,000 for additional support for
21 secretary of state legal expenses. The secretary of state may spend these monies for legal
22 services from the attorney general, to hire one FTE position to serve as legal advisor to the
23 secretary of state or for legal expenses for conflict counsel. The secretary of state may
24 make expenditures or incur indebtedness to employ outside or private attorneys if all of the
25 following are true:

- 26 1. The secretary of state is named as a defendant.
- 27 2. The secretary of state believes a conflict exists that prevents the attorney
28 general from representing the secretary of state.
- 29 3. The secretary of state either remains a nominal party or is defending the
30 constitutionality of a law or referendum enacted by the legislature.

31 Monies for the address confidentiality program fund deposit line item may not be
32 transferred to another line item.

33 Before transferring any monies in or out of the election services line item, the
34 secretary of state shall submit a report for review by the joint legislative budget
35 committee.

36 Before spending monies from the election services line item, the secretary of state
37 shall submit a report on the expected amount and purpose of expenditures for the costs of the
38 2026 primary election and 2026 general election to the president of the senate, the speaker
39 of the house of representatives, the joint legislative budget committee and the director of
40 the governor's office of strategic planning and budgeting.

41 The secretary of state may use not more than \$250,000 from the election services line
42 item for direct costs.

43 On or before January 31, 2027, the secretary of state shall submit a report to the
44 joint legislative budget committee and the governor's office of strategic planning and
45 budgeting detailing the actual expenditures from the election services line item for the 2026
46 primary election and the 2026 general election. The report must include the actual
47 expenditures by purpose.

48 Of the amount appropriated to the secretary of state for the electronic records
49 repository line item in fiscal year 2024-2025 by Laws 2024, chapter 209, section 90, \$450,000
50 from the record services fund is exempt from the provisions of section 35-190, Arizona
51 Revised Statutes, relating to lapsing of appropriations, until June 30, 2027.

52 Monies in the access voter information database line item may be used only for the
53 exclusive purpose of developing and administering the statewide database of voter
54 registration information required by section 16-168, Arizona Revised Statutes. The secretary
55 of state may not transfer any monies in or out of the access voter information database line
56 item.

57 Sec. 84. STATE BOARD OF TAX APPEALS

58		<u>2026-27</u>
59	FTE positions	4.0
60	Lump sum appropriation	\$ 319,300
61	Fund sources:	

1	State general fund	\$ 319,300
2	Sec. 85. STATE BOARD OF TECHNICAL REGISTRATION	
3		<u>2026-27</u>
4	FTE positions	26.0
5	Lump sum appropriation	\$ 2,812,900
6	Fund sources:	
7	Technical registration fund	\$ 2,812,900
8	Sec. 86. OFFICE OF TOURISM	
9		<u>2026-27</u>
10	FTE positions	31.0
11	Tourism fund deposit	\$ 7,283,700
12	Arizona promotion	819,000
13	Wine promotion	<u>100,000</u>
14	Total appropriation – office of tourism	\$ 8,202,700
15	Fund sources:	
16	State general fund	\$ 8,202,700
17	Sec. 87. DEPARTMENT OF TRANSPORTATION	
18		<u>2026-27</u>
19	FTE positions	4,096.0
20	Operating lump sum appropriation	\$272,540,000
21	Attorney general legal services	3,940,400
22	Highway maintenance	198,687,500
23	ADOT fleet vehicles and heavy	
24	equipment maintenance	26,814,600
25	ADOT fleet vehicles and heavy	
26	equipment maintenance contingency	1,000,000
27	State fleet operations	38,350,500
28	State fleet vehicle replacement	13,611,300
29	Livestock control and wildlife	
30	crossing	1,500,000
31	Construction management system	
32	replacement	6,844,600
33	ADOT fleet vehicle and heavy	
34	equipment replacement	22,400,000
35	Highway damage recovery account	7,999,000
36	Statewide litter removal	3,106,800
37	Radio lifecycle replacement	1,656,100
38	Preventive surface treatments	36,142,000
39	Authorized third parties	<u>2,252,700</u>
40	Total appropriation – department of	
41	transportation	\$636,845,500
42	Fund sources:	
43	Air quality fund	\$ 894,000
44	Arizona highway user revenue fund	822,600
45	Highway damage recovery account	7,999,000
46	Ignition interlock device fund	380,600
47	Motor vehicle liability	
48	insurance enforcement fund	2,202,200
49	State fleet operations fund	38,350,500
50	State vehicle replacement fund	13,611,300
51	State aviation fund	2,611,400
52	State highway fund	540,466,400
53	Department fleet operations fund	27,814,600
54	Vehicle inspection and certificate	
55	of title enforcement fund	1,692,900
56	<u>Motor vehicle division</u>	

57 On or before February 1, 2027, the Arizona strategic enterprise technology office
58 shall submit, on behalf of the department of transportation, an annual progress report to the
59 joint legislative budget committee staff. The annual report must provide updated plans for
60 spending the department-dedicated portion of the authorized third-party electronic service
61 partner's fee retention on the motor vehicle modernization project in fiscal year 2026-2027,

1 including any amounts for stabilization, maintenance, ongoing operations, support and
 2 enhancements for the motor vehicle modernization solution, maintenance of legacy mainframe
 3 processing and support capability, and other system projects outside the scope of the motor
 4 vehicle modernization project.

5 On or before August 1, 2026, the department of transportation shall report to the
 6 director of the joint legislative budget committee the state's share of fees retained by the
 7 service Arizona vendor in the prior fiscal year. The report must include the amount spent by
 8 the service Arizona vendor on behalf of this state in the prior fiscal year and a list of the
 9 projects funded with those monies.

10 The department of transportation shall submit an annual report to the joint
 11 legislative budget committee on progress in improving motor vehicle division wait times and
 12 vehicle registration renewal by mail turnaround times in a format similar to prior years. The
 13 report is due on or before July 31, 2027 for fiscal year 2026-2027.

14 Other

15 Of the total amount appropriated, \$198,687,500 in fiscal year 2026-2027 for highway
 16 maintenance is exempt from the provisions of section 35-190, Arizona Revised Statutes,
 17 relating to lapsing of appropriations, except that all unexpended and unencumbered monies of
 18 the appropriation revert to the state highway fund established by section 28-6991, Arizona
 19 Revised Statutes, on August 31, 2027.

20 The amount appropriated to the preventive surface treatments line item is exempt from
 21 the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
 22 appropriations, except that all unexpended and unencumbered monies of the appropriation
 23 revert to the state highway fund established by section 28-6991, Arizona Revised Statutes, on
 24 August 31, 2027.

25 Of the total amount appropriated, the department of transportation shall pay
 26 \$21,233,800 in fiscal year 2026-2027 from all funds to the department of administration for
 27 its risk management payment.

28 All expenditures made by the department of transportation for attorney general legal
 29 services shall be funded only from the attorney general legal services line item. Monies in
 30 the operating lump sum appropriation or other line items intended for this purpose shall be
 31 transferred to the attorney general legal services line item before expenditure.

32 In accordance with section 35-142.01, Arizona Revised Statutes, reimbursements for
 33 monies expended from the highway maintenance line item may not be credited to the account out
 34 of which the expenditure was incurred. The department shall deposit all reimbursements for
 35 monies expended from the highway maintenance line item in the highway damage recovery account
 36 established by section 28-6994, Arizona Revised Statutes.

37 The amount appropriated in the operating lump sum includes a \$2,000,000 reduction
 38 below the fiscal year 2023-2024 level from the state highway fund established by section
 39 28-6991, Arizona Revised Statutes, in fiscal year 2026-2027 from the department's enforcement
 40 and compliance division.

41 Expenditures made by the department of transportation for ADOT fleet vehicle and
 42 heavy equipment replacement shall be funded only from the ADOT fleet vehicle and heavy
 43 equipment replacement line item. Monies in the operating lump sum appropriation or other
 44 line items intended for this purpose shall be transferred to the ADOT fleet vehicle and heavy
 45 equipment replacement line item before expenditure.

46 The department of transportation may use not more than \$73,300 from the state highway
 47 fund established by section 28-6993, Arizona Revised Statutes, in fiscal year 2026-2027 to
 48 pay prior year invoices.

49 Sec. 88. STATE TREASURER

50		<u>2026-27</u>
51	FTE positions	38.4
52	Operating lump sum appropriation	\$ 4,721,600
53	Justice of the peace salaries	2,872,200
54	Law enforcement/boating safety	
55	fund grants	<u>2,183,800</u>
56	Total appropriation – state treasurer	\$ 9,777,600
57	Fund sources:	
58	State general fund	\$ 3,214,700
59	Law enforcement and boating	
60	safety fund	2,183,800
61	State treasurer's operating fund	4,379,100

On or before June 30, 2027, the state treasurer shall report to the joint legislative budget committee staff on the state treasurer's current fiscal year and estimated next fiscal year expenditures of interest earnings spent pursuant to sections 35-315 and 35-318, Arizona Revised Statutes, for the state treasurer's banking service contract, external investment management agreement, administrative and information technology costs and any other costs.

The \$50,000 appropriated to the state treasurer in fiscal year 2025-2026 by Laws 2025, chapter 233, section 118 for distribution to Pinal county for signage relating to the prohibition of illegal dumping may also be used to expand and support the Pinal county community cleanup free dump day program, including any operational costs, landfill access fees, staffing, public outreach and temporary waste disposal events that are intended to reduce illegal dumping within the unincorporated areas of Pinal county.

Sec. 89. GOVERNOR'S OFFICE ON TRIBAL RELATIONS

		<u>2026-27</u>
	FTE positions	3.0
	Lump sum appropriation	\$ 66,900
	Fund sources:	
	State general fund	\$ 66,900

Sec. 90. ARIZONA BOARD OF REGENTS

		<u>2026-27</u>
	FTE positions	30.9
	Operating lump sum appropriation	\$ 3,291,100
	Adaptive athletics	160,000
	Arizona promise program	20,000,000
	Spouses of military veterans	
	tuition scholarships	10,000,000
	Arizona teachers academy	15,000,000
	Arizona teachers incentive program	90,000
	Arizona teacher student loan program	426,000
	Arizona transfer articulation	
	support system	213,700
	Leveraging educational assistance	
	partnership program	1,220,800
	Washington, D.C. internships	300,000
	Western interstate commission	
	office	153,000
	WICHE student subsidies	<u>4,078,000</u>
	Total appropriation – Arizona board of regents	\$ 54,932,600
	Fund sources:	
	State general fund	\$ 54,932,600

The Arizona board of regents shall distribute monies appropriated for the adaptive athletics line item to each university under the jurisdiction of the board to maintain and operate an intercollegiate adaptive athletics program that provides opportunities for competitive wheelchair and adaptive sports to students and community members with disabilities. The monies may be spent only when the university collects matching monies of gifts, grants and donations for the intercollegiate adaptive athletics program from sources other than this state. Universities may spend the monies only on scholarships, equipment, uniforms, travel expenses and tournament fees for participants in the intercollegiate adaptive athletics program. The monies may not be used for administrative costs, personal services or employee-related expenditures.

On or before December 1, 2027, the Arizona board of regents shall submit a report to the director of the joint legislative budget committee and the director of the governor's office of strategic planning and budgeting on the Arizona promise program that includes all of the following for fiscal year 2026-2027:

1. The total number of students receiving promise scholarships by each eligible postsecondary institution.

2. The total number of students enrolled at each eligible postsecondary institution that are eligible to receive federal Pell grants.

3. A list of the programs of study in which promise scholarship recipients are enrolled, including the number of recipients enrolled in each program.

1 4. The average promise scholarship award amount for each eligible postsecondary
2 institution.

3 5. A geographic representation of promise scholarship recipients based on the high
4 school attended.

5 6. The average grade point average of promise scholarships recipients by each
6 eligible postsecondary institution.

7 On or before October 1, 2027, the Arizona board of regents shall submit a report to
8 the director of the joint legislative budget committee and the director of the governor's
9 office of strategic planning and budgeting on spouses of military veterans tuition
10 scholarships that includes all of the following for fiscal year 2026-2027:

11 1. The amount distributed to each eligible postsecondary institution.

12 2. The total number of award recipients by each eligible postsecondary institution.

13 3. The average award amount for each eligible postsecondary institution.

14 In order to be eligible to receive state matching monies under the leveraging
15 educational assistance partnership program for grants to students, each participating
16 institution, public or private, shall provide an amount of institutional matching monies that
17 equals the amount of monies provided by this state to the institution for the leveraging
18 educational assistance partnership program. Administrative expenses incurred by the Arizona
19 board of regents shall be paid from institutional matching monies and may not exceed twelve
20 percent of the monies appropriated in fiscal year 2026-2027.

21 The Arizona board of regents shall distribute monies appropriated for Washington,
22 D.C. internships for program fees and housing costs in equal amounts to each of the three
23 universities under the jurisdiction of the board for the purpose of providing student
24 internships, short-term programs and regional programs in partnership with a third-party
25 organization. Short-term programs include one-week seminars and learning opportunities
26 shorter than one academic semester. The third-party organization must meet the following
27 requirements:

28 1. Have partnerships with Washington, D.C.-based organizations to provide full-time,
29 semester-long student internships and short-term programs.

30 2. Have the ability to place as many students in internships and short-term programs
31 as needed by the universities.

32 3. Have experience placing students in internships for at least ten consecutive
33 years.

34 4. Have dedicated staff to ensure that student interns have access to internships
35 and short-term programs in their areas of interest.

36 Within ten days after the acceptance of the universities' semiannual all funds budget
37 reports, the Arizona board of regents shall submit a current year expenditure plan to the
38 joint legislative budget committee for review. The expenditure plan shall include the use of
39 all projected tuition and fee revenues by expenditure category, including operating expenses,
40 plant fund, debt service and financial aid. The plan shall include the amount by which each
41 expenditure category is projected to increase over the prior year and shall provide as much
42 detail as the university budget requests. The plan shall include the total revenue and
43 expenditure amounts from all tuition and student fee revenues, including base tuition,
44 differential tuition, program fees, course fees, summer session fees and other miscellaneous
45 and mandatory student fee revenues.

46 Sec. 91. ARIZONA STATE UNIVERSITY

47		<u>2026-27</u>
48	FTE positions	7,420.4
49	Operating lump sum appropriation	\$1,146,967,700
50	Biomedical informatics	3,828,100
51	Eastern Europe cultural	
52	collaborative	250,000
53	Arizona financial aid trust	5,985,800
54	Downtown Phoenix campus	<u>135,878,500</u>
55	Total appropriation – Arizona state	
56	university	\$1,292,910,100
57	Fund sources:	
58	State general fund	\$ 385,150,600
59	University collections fund	907,759,500
60	The state general fund appropriation may not be used for alumni association funding.	

1 The increased state general fund appropriation from Laws 2014, chapter 18 may not be
2 used for medical marijuana research.

3 Other than scholarships awarded through the Arizona financial aid trust, the
4 appropriated monies may not be used for scholarships or any student newspaper.

5 The appropriated monies may not be used by the Arizona state university college of
6 law legal clinic for any lawsuits involving inmates of the state department of corrections in
7 which this state is the adverse party.

8 Arizona state university shall use monies appropriated for the eastern Europe
9 cultural collaborative to facilitate cultural and academic exchanges between university
10 faculty and students and academic institutions in eastern Europe.

11 Any appropriated monies allocated by the university for the school of civic and
12 economic thought and leadership shall be used to operate a single stand-alone academic entity
13 within Arizona state university. The appropriated monies may not supplant any existing state
14 funding or private or external donations to the existing centers or to the school. The
15 appropriated monies and all private and external donations for the school, including any
16 remaining balances from prior fiscal years, shall be deposited in a separate account, shall
17 be used only for the direct operation of the school and may not be used for indirect costs of
18 the university. On or before October 1, 2026, the school shall submit a report to the
19 president of the senate, the speaker of the house of representatives, the chairpersons of the
20 senate education committee and the house of representatives education committee and the
21 director of the joint legislative budget committee that includes at least the following
22 information for the school:

- 23 1. The total amount of funding received from all sources.
- 24 2. A description of faculty positions and courses offered.
- 25 3. The total undergraduate and graduate student enrollment.
- 26 4. Significant community events, initiatives or publications.

27 The chairpersons of the senate education committee and the house of representatives
28 education committee may request the director of the school to appear before the committees to
29 report on the school's annual achievements.

30 The legislature intends that appropriated monies allocated by the university for the
31 school of civic and economic thought and leadership in fiscal year 2026-2027 be consistent
32 with the amount appropriated in fiscal year 2025-2026, except that the university may
33 allocate to the school the lump sum reduction of no more than 2.5 percent as prescribed by
34 this act.

35 Any unencumbered balances remaining in the university collections fund on June 30,
36 2026 and all collections received by the university during the fiscal year are appropriated
37 for operating expenses, capital outlay and fixed charges. Earnings on state lands and
38 interest on the investment of the permanent land funds are appropriated in compliance with
39 the enabling act and the Constitution of Arizona. No part of this appropriation may be spent
40 for supplemental life insurance or supplemental retirement.

41 Sec. 92. NORTHERN ARIZONA UNIVERSITY

42		<u>2026-27</u>
43	FTE positions	2,308.4
44	Operating lump sum appropriation	\$230,429,700
45	Arizona financial aid trust	1,326,000
46	Biomedical research funding	3,000,000
47	NAU – Yuma	3,083,100
48	Teacher training	<u>2,292,700</u>
49	Total appropriation – Northern Arizona	
50	university	\$240,131,500
51	Fund sources:	
52	State general fund	\$114,681,000
53	University collections fund	125,450,500

54 The state general fund appropriation may not be used for alumni association funding.

55 The increased state general fund appropriation from Laws 2014, chapter 18 may not be
56 used for medical marijuana research.

57 Other than scholarships awarded through the Arizona financial aid trust, the
58 appropriated monies may not be used for scholarships or any student newspaper.

59 The appropriated amount for the teacher training line item shall be distributed to
60 the Arizona K-12 center for program implementation and mentor training for the Arizona mentor
61 teacher program prescribed by the state board of education.

1 Any unencumbered balances remaining in the university collections fund on June 30,
 2 2026 and all collections received by the university during the fiscal year are appropriated
 3 for operating expenses, capital outlay and fixed charges. Earnings on state lands and
 4 interest on the investment of the permanent land funds are appropriated in compliance with
 5 the enabling act and the Constitution of Arizona. No part of this appropriation may be spent
 6 for supplemental life insurance or supplemental retirement.

7 The biomedical research funding shall be distributed to a nonprofit medical research
 8 foundation in this state that collaborates with universities, hospitals and biotechnology and
 9 health research centers. A nonprofit foundation that receives monies shall submit an
 10 expenditure and performance report to northern Arizona university. The university shall
 11 transmit the report to the joint legislative budget committee and the director of the
 12 governor's office of strategic planning and budgeting on or before February 1, 2027. The
 13 report must include at least the following:

14 1. The type and amount of expenditures from all state sources of monies, including
 15 the amount leveraged for local, state, federal and private grants.

16 2. A description of each grant received as well as the percentage and locations of
 17 positions funded solely or partly by state monies and the nonprofit foundation's projects
 18 with which those positions are associated.

19 3. Performance measures, including:

20 (a) Outcomes that are specifically related to the use of state monies.

21 (b) Progress that has been made toward achieving each outcome, including activities,
 22 resources and other evidence of the progress.

23 (c) Reportable inventions or discoveries related to each outcome.

24 (d) Publications, presentations and narratives related to each outcome and how the
 25 expenditures from all state sources of monies that the nonprofit foundation received have
 26 benefited this state.

27 Any appropriated monies allocated by the university for the economic policy institute
 28 may not supplant any existing state funding or private or external donations to the institute
 29 or to the university. The appropriated monies and all private and external donations for the
 30 institute, including any remaining balances from prior fiscal years, shall be deposited in a
 31 separate account, shall be used only for the direct operation of the institute and may not be
 32 used for indirect costs of the university. On or before October 1, 2026, the institute shall
 33 submit to the president of the senate, the speaker of the house of representatives, the
 34 chairpersons of the senate education committee and the house of representatives education
 35 committee and the director of the joint legislative budget committee a report that includes
 36 at least the following information for the institute:

37 1. The total amount of funding received from all sources.

38 2. A description of the faculty positions and courses offered.

39 3. The total undergraduate and graduate student participation.

40 4. Significant community events, initiatives or publications.

41 The chairpersons of the senate education committee and the house of representatives
 42 education committee may request the director of the institute to appear before the committees
 43 to report on the institute's annual achievements.

44 The legislature intends that appropriated monies allocated by the university for the
 45 economic policy institute in fiscal year 2026-2027 be consistent with the amount appropriated
 46 in fiscal year 2025-2026, except that the university may allocate to the school the lump sum
 47 reduction of not more than 2.5 percent as prescribed by this act.

48 Sec. 93. UNIVERSITY OF ARIZONA

49		<u>2026-27</u>
50	<u>Main campus</u>	
51	FTE positions	6,573.0
52	Operating lump sum appropriation	\$611,515,400
53	Agriculture	38,925,400
54	Arizona cooperative extension	15,345,700
55	Arizona financial aid trust	2,729,400
56	Arizona geological survey	1,217,800
57	College of veterinary medicine	21,237,200
58	Kazakhstan studies program	250,000
59	Mining, mineral and natural	
60	resources educational museum	439,300
61	School of mining	4,187,000

1	Sierra Vista campus	2,864,600
2	Water adjudication	500,000*
3	Veterinary diagnostic laboratory	<u>2,606,200</u>
4	Total – main campus	\$701,818,000
5	Fund sources:	
6	State general fund	\$257,827,400
7	University collections fund	443,990,600
8	<u>Health sciences center</u>	
9	FTE positions	857.1
10	Operating lump sum appropriation	\$68,535,700
11	AZ REACH	500,000
12	Clinical rural rotation	353,600
13	Clinical teaching support	8,587,000
14	Liver research institute	440,400
15	Phoenix medical campus	40,525,700
16	Telemedicine network	<u>1,670,000</u>
17	Total – health sciences center	\$120,612,400
18	Fund sources:	
19	State general fund	\$ 75,928,400
20	University collections fund	<u>44,684,000</u>
21	Total appropriation - university of	
22	Arizona	\$822,430,400
23	Fund sources:	
24	State general fund	\$333,755,800
25	University collections fund	488,674,600
26	The state general fund appropriation may not be used for alumni association funding.	
27	The increased state general fund appropriation from Laws 2014, chapter 18 may not be	
28	used for medical marijuana research.	
29	Other than scholarships awarded through the Arizona financial aid trust, the	
30	appropriated monies may not be used for scholarships or any student newspaper.	
31	The university of Arizona shall use not more than \$1,200,000 of the state general	
32	fund monies appropriated to the operating lump sum appropriation to operate the Arizona	
33	perinatal and pediatric psychiatry access hotline.	
34	The university of Arizona may not use monies appropriated for the Arizona geological	
35	survey line item for any other purpose and may not transfer the monies appropriated for the	
36	Arizona geological survey to the operating budget or any other line item.	
37	The legislature intends that \$8,000,000 of the amount appropriated to the health	
38	sciences center operating lump sum appropriation line item be used to expand the college of	
39	medicine Phoenix campus and to develop and administer a primary care physician scholarship	
40	program at the college of medicine Phoenix campus and the college of medicine Tucson	
41	campus. The legislature intends that the \$8,000,000 not be annualized in future years.	
42	Any appropriated monies allocated by the university for the center for the philosophy	
43	of freedom may not supplant any existing state funding or private or external donations to	
44	the center or the philosophy department of the university of Arizona. The appropriated	
45	monies and all private and external donations for the center, including any remaining	
46	balances from prior fiscal years, shall be deposited in a separate account, shall be used	
47	only for the direct operation of the center and may not be used for indirect costs of the	
48	university. On or before October 1, 2026, the center shall submit a report to the president	
49	of the senate, the speaker of the house of representatives, the chairpersons of the senate	
50	education committee and the house of representatives education committee and the director of	
51	the joint legislative budget committee that includes at least the following information for	
52	the center:	
53	1. The total amount of funding received from all sources.	
54	2. A description of faculty positions and courses offered.	
55	3. The total undergraduate and graduate student participation.	
56	4. Significant community events, initiatives or publications.	
57	The chairpersons of the senate education committee and the house of representatives	
58	education committee may request the director of the center to appear before the committees to	
59	report on the center's annual achievements.	
60	The legislature intends that appropriated monies allocated by the university for the	
61	center for the philosophy of freedom in fiscal year 2026-2027 be consistent with the amount	

1 appropriated in fiscal year 2025-2026, except that the university may allocate to the school
2 the lump sum reduction of not more than 2.5 percent as prescribed by this act.

3 The amount appropriated to the college of veterinary medicine line item shall be
4 distributed to the college of veterinary medicine to increase the number of students that are
5 residents of this state. Before spending these monies, the university of Arizona shall report
6 to the joint legislative budget committee all of the following information for the college of
7 veterinary medicine:

8 1. The current number of students who are residents of this state.

9 2. The current number of students who are not residents of this state.

10 The university of Arizona shall use monies appropriated for the Kazakhstan studies
11 program to facilitate academic exchanges between university students and academic
12 institutions in Kazakhstan.

13 The amount appropriated for the water adjudication line item shall be used to assist
14 claimants in the general stream adjudication of water rights pursuant to section 15-1647,
15 Arizona Revised Statutes.

16 The amount appropriated for the AZ REACH line item shall be used to provide medical
17 care transfer services for hospitals with less than twenty beds.

18 One hundred percent of the land earnings and interest from the school of mines land
19 fund shall be distributed to the university of Arizona school of mining and mineral resources
20 in compliance with the enabling act and the Constitution of Arizona.

21 Any unencumbered balances remaining in the university collections fund on June 30,
22 2026 and all collections received by the university during the fiscal year are appropriated
23 for operating expenses, capital outlay and fixed charges. Earnings on state lands and
24 interest on the investment of the permanent land funds are appropriated in compliance with
25 the enabling act and the Constitution of Arizona. No part of this appropriation may be spent
26 for supplemental life insurance or supplemental retirement.

27 Sec. 94. DEPARTMENT OF VETERANS' SERVICES

28		<u>2026-27</u>
29	FTE positions	792.3
30	Operating lump sum appropriation	\$ 3,098,800
31	Arizona state veterans' homes	60,986,900
32	Arizona state veterans' cemeteries	989,800
33	Rural tribal nations veteran	
34	benefit counseling	2,262,400
35	Veterans' benefit counseling	3,787,600
36	Veterans' support services	1,226,100
37	Veterans' trauma treatment	
38	services	<u>450,000</u>
39	Total appropriation – department of	
40	veterans' services	\$ 72,801,600
41	Fund sources:	
42	State general fund	\$ 11,814,700
43	State home for veterans' trust	
44	fund	60,986,900

45 Monies appropriated for the rural tribal nations veteran benefit counseling line item
46 shall be used for veterans' services officers to provide services in rural tribal nations in
47 this state that have communities that are located one hundred miles or more from the nearest
48 United States department of veterans' affairs service center.

49 The amount appropriated for veterans' support services line item shall be distributed
50 to a nonprofit veterans' services organization that provides support services among this
51 state's military and veteran population. The department may spend up to \$76,500 of this
52 appropriation to hire a program specialist to liaise between the department and the selected
53 nonprofit organization. Before the expenditure of the monies, the department shall submit an
54 expenditure report to the joint legislative budget committee that includes the status of
55 non-state matching grant monies.

56 Monies appropriated for the veterans' trauma treatment services line item shall be
57 used to provide grants to contractors as defined in section 36-2901, Arizona Revised
58 Statutes, that provide trauma treatment services training to any of the following health
59 professionals licensed pursuant to title 32, Arizona Revised Statutes:

60 1. Physicians.

61 2. Registered nurse practitioners.

1 3. Physician assistants.

2 4. Psychologists.

3 5. Behavioral health professionals who are either licensed for individual practice
4 or supervised by a psychologist, registered nurse practitioner or behavioral health
5 professional licensed pursuant to title 32, Arizona Revised Statutes, for independent
6 practice.

7 The department may spend the \$1,000,000 appropriated in fiscal year 2022-2023 by Laws
8 2022, chapter 313, section 119 for the Arizona state veterans' homes line item for tribal
9 members in veterans' homes.

10 Sec. 95. ARIZONA STATE VETERINARY MEDICAL EXAMINING BOARD

11			<u>2026-27</u>
12	FTE positions		8.0
13	Lump sum appropriation	\$	939,500
14	Fund sources:		
15	Veterinary medical examining		
16	board fund	\$	939,500

17 Sec. 96. WATER INFRASTRUCTURE FINANCE AUTHORITY OF ARIZONA

18			<u>2026-27</u>
19	Small drinking water systems		
20	fund deposit		500,000
21	Fund sources:		
22	Water supply development		
23	revolving fund	\$	500,000

24 Sec. 97. DEPARTMENT OF WATER RESOURCES

25			<u>2026-27</u>
26	FTE positions		210.0
27	Operating lump sum appropriation	\$	16,243,300
28	Adjudication support		1,957,900
29	Arizona water protection fund		
30	deposit		750,000
31	Assured and adequate water supply		
32	administration		2,591,200
33	Rural water studies		1,317,700
34	Conservation and drought program		443,300
35	Automated groundwater monitoring		427,000
36	Colorado River legal expenses		500,000*
37	Colorado River litigation fund		
38	deposit		6,000,000
39	Water supply and demand assessment		<u>3,614,400</u>
40	Total appropriation – department of water		
41	resources	\$	33,844,800
42	Fund sources:		
43	State general fund	\$	25,077,500
44	Water resources fund		1,724,900
45	Assured and adequate water		
46	supply administration fund		301,300
47	Water supply development revolving fund		741,100
48	Arizona system conservation fund		6,000,000

49 Monies in the assured and adequate water supply administration line item may be used
50 only for the exclusive purposes prescribed in sections 45-108, 45-576, 45-577, 45-578 and
51 45-579, Arizona Revised Statutes. The department of water resources may not transfer any
52 monies into or out of the assured and adequate water supply administration line item.

53 The legislature intends that monies in the rural water studies line item be spent
54 only to assess local water use needs and to develop plans for sustainable future water
55 supplies in rural areas outside this state's active management areas and not be made
56 available for other department operating expenses.

Monies in the adjudication support line item may be used only for the exclusive purposes prescribed in section 45-256, Arizona Revised Statutes, and section 45-257, subsection B, paragraph 4, Arizona Revised Statutes. The department of water resources may not transfer any monies into or out of the adjudication support line item.

The department of water resources may not transfer any monies from the Colorado River legal expenses line item without prior review by the joint legislative budget committee.

Fiscal Year 2019-2020 Appropriation Adjustment

Sec. 98. Appropriation reduction; superintendent of public instruction;
fiscal year 2019-2020

On July 31, 2026, in addition to any other appropriation made in fiscal year 2019-2020, the sum of \$(344,300) is reduced from the appropriation made from the state general fund in fiscal year 2019-2020 to the superintendent of public instruction for the high-quality teacher professional development pilot program.

Fiscal Year 2020-2021 Appropriation Adjustments

Sec. 99. Appropriation reduction; superintendent of public instruction;
fiscal year 2020-2021

On July 31, 2026, in addition to any other appropriation made in fiscal year 2020-2021, the sum of \$(400,000) is reduced from the appropriation made from the state general fund in fiscal year 2020-2021 to the superintendent of public instruction for the high-quality teacher professional development pilot program.

Fiscal Year 2021-2022 Appropriation Adjustments

Sec. 100. Appropriation reductions; fiscal year 2021-2022

On July 31, 2026, notwithstanding any other law, the following amounts are reduced from the monies appropriated from the state general fund in fiscal year 2021-2022 to the following state agencies for operating lump sum and line item appropriations:

1. Superintendent of public instruction
High-quality teacher professional
development pilot program \$ (400,000)
2. Department of administration
Retirement of defeasance of financing
agreements \$(5,037,800)

Fiscal Year 2023-2024 Appropriation Adjustment

Sec. 101. Appropriation reduction; superintendent of public instruction;
fiscal year 2023-2024

On July 31, 2026, in addition to any other appropriation made in fiscal year 2023-2024, the sum of \$(100,000) is reduced from the appropriation made from the state general fund in fiscal year 2023-2024 to the superintendent of public instruction for live, remote instructional courses.

Fiscal Year 2024-2025 Appropriation Adjustment

Sec. 102. Appropriation reduction; superintendent of public instruction;
fiscal year 2024-2025

On July 31, 2026, in addition to any other appropriation made in fiscal year 2024-2025, the sum of \$(100,000) is reduced from the appropriation made from the state general fund in fiscal year 2024-2025 to the superintendent of public instruction for live, remote instructional courses.

Fiscal Year 2025-2026 Appropriation Adjustments

Sec. 103. Supplemental appropriation; board of behavioral health examiners;
fiscal year 2025-2026

In addition to any other appropriation made in fiscal year 2025-2026, the sum of \$150,000 is appropriated from the board of behavioral health examiners fund established by section 32-3254, Arizona Revised Statutes, in fiscal year 2025-2026 to the board of behavioral health examiners for operating costs.

Sec. 104. Supplemental appropriation; department of administration; intent;
fiscal year 2025-2026

A. In addition to any other appropriation made in fiscal year 2025-2026, the sum of \$2,018,700 is appropriated from the risk management revolving fund established by section 41-622, Arizona Revised Statutes, in fiscal year 2025-2026 to the department of administration for the following purposes:

1. To pay disallowed costs relating to excess retained earnings.
2. To pay disallowed costs relating to the statewide information technology charges.
3. For fund transfers in fiscal year 2024-2025.

1 4. To pay interest owed from prior year disallowed costs.

2 B. The legislature intends that the department of administration not enter into any
3 agreements to pay for any federal reimbursements related to excess balances in the special
4 employee health insurance trust fund established by section 38-654, Arizona Revised Statutes,
5 unless the proposed agreements have been reviewed by the joint legislative budget committee.

6 Sec. 105. Supplemental appropriation; Arizona health care cost containment
7 system administration; fiscal year 2025-2026

8 In addition to any other appropriation made in fiscal year 2025-2026, the sum of
9 \$104,728,400 is appropriated from the state general fund and \$471,741,800 from expenditure
10 authority in fiscal year 2025-2026 to the Arizona health care cost containment system
11 administration for adjustments in formula requirements.

12 Sec. 106. Supplemental appropriation; department of corrections; fiscal year
13 2025-2026

14 In addition to any other appropriation made in fiscal year 2025-2026, the sum of
15 \$4,100,000 is appropriated from the state general fund in fiscal year 2025-2026 to the state
16 department of corrections for operating expenses.

17 Sec. 107. Supplemental appropriation; department of veterans' services;
18 fiscal year 2025-2026

19 In addition to any other appropriation made in fiscal year 2025-2026, the sum of
20 \$3,000,000 is appropriated from the state general fund in fiscal year 2025-2026 to the
21 department of veterans' services for deposit in the state homes for veterans trust fund
22 established by section 41-608.01, Arizona Revised Statutes, for an operating costs shortfall.

23 Sec. 108. Supplemental appropriation; department of economic security; fiscal
24 year 2025-2026

25 In addition to any other appropriations made in fiscal year 2025-2026, the sum of
26 \$82,818,700 is appropriated from the state general fund and \$216,304,700 is appropriated from
27 the developmental disabilities medicaid expenditure authority in fiscal year 2025-2026 to the
28 department of economic security for adjustments in formula requirements.

29 Sec. 109. Supplemental appropriation; department of economic security; fiscal
30 year 2025-2026; exemption

31 A. In addition to any other appropriation made in fiscal year 2025-2026, the sum of
32 \$1,761,800 is appropriated from the state general fund in fiscal year 2025-2026 to the
33 department of economic security for summer food benefits administration.

34 B. The appropriation made in subsection A of this section is exempt from the
35 provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
36 appropriations, until October 31, 2026.

37 Sec. 110. Supplemental appropriation; department of public safety; fiscal
38 year 2025-2026; exemption

39 A. In addition to any other appropriation made in fiscal year 2025-2026, the sum of
40 \$4,750,000 is appropriated from the Arizona highway patrol fund established by section 41-
41 1752, Arizona Revised Statutes, to the department of public safety for operating expenses.

42 B. The appropriation made in subsection A of this section is exempt from the
43 provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
44 appropriations.

45 Sec. 111. Appropriations; reduction; fiscal years 2025-2026 and 2026-2027

46 A. In addition to any other appropriation made in fiscal year 2025-2026, the sum of
47 \$(250,000) is reduced from the appropriation made from the state general fund in fiscal year
48 2025-2026 to the Maricopa county community college district for wrestling scholarships.

49 B. In addition to any other appropriations made in fiscal year 2026-2027, the sum of
50 \$250,000 is appropriated from the state general fund in fiscal year 2026-2027 to the
51 superintendent of public instruction for the purposes of issuing a grant to a single Arizona
52 school that offers instruction to grades six through twelve and incorporates wrestling into
53 its mission.

54 Sec. 112. Supplemental appropriation; secretary of state; fiscal year 2025-
55 2026; report; exemption

56 A. In addition to any other appropriation made in fiscal year 2025-2026, the sum of
57 \$4,000,000 is appropriated from the state general fund in fiscal year 2025-2026 to the
58 secretary of state for costs of the 2026 primary election and 2026 general election.

59 B. Before spending the appropriation made in subsection A of this section, the
60 secretary of state shall submit a report on the expected amount and purpose of expenditures
61 for the costs of the 2026 primary election and 2026 general election to the president of the

1 senate, the speaker of the house of representatives, the joint legislative budget committee
2 and the director of the governor's office of strategic planning and budgeting.

3 C. On or before January 31, 2027, the secretary of state shall submit a report to
4 the joint legislative budget committee and the governor's office of strategic planning and
5 budgeting detailing the actual expenditures from the appropriation made in subsection A of
6 this section for the 2026 primary election and the 2026 general election. The report must
7 include the actual expenditures by purpose.

8 D. The appropriation made in subsection A of this section is exempt from the
9 provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
10 appropriations, except that all monies remaining unexpended and unencumbered on June 30, 2027
11 revert to the state general fund.

12 Sec. 113. Appropriation reduction; superintendent of public instruction;
13 fiscal year 2025-2026

14 In addition to any other appropriation made in fiscal year 2025-2026, the sum of
15 \$(31,859,000) is reduced from appropriations made from the state general fund in fiscal year
16 2025-2026 to the superintendent of public instruction for basic state aid formula costs.

17 Fiscal Year 2026-2027 Appropriation Distributions

18 Sec. 114. Department of economic security; loans; reimbursement; prohibition;
19 fiscal year 2026-2027

20 On or after April 1, 2027, the department of economic security may use up to
21 \$25,000,000 from the budget stabilization fund established by section 35-144, Arizona Revised
22 Statutes, for the purpose of providing funding for reimbursement grants. Before using the
23 monies from the budget stabilization fund, the department shall notify the director of the
24 joint legislative budget committee and the director of the governor's office of strategic
25 planning and budgeting. This appropriation must be fully reimbursed on or before September
26 1, 2027 and must be reimbursed in full as part of the closing process for fiscal year
27 2026-2027. The department shall notify the joint legislative budget committee of the
28 reimbursement on or before September 1, 2027. The appropriation may not be used for
29 additional programmatic expenditures.

30 Sec. 115. Appropriation reduction; state treasurer; fiscal year 2026-2027

31 The monies appropriated by Laws 2022, chapter 313, section 130 shall revert to the
32 state general fund on July 31, 2026.

33 Sec. 116. Lump sum reductions; fiscal year 2026-2027

34 A. In addition to any other appropriations made in fiscal year 2026-2027, the
35 operating lump sum appropriations from the state general fund in fiscal year 2026-
36 2027 in the following amounts from the following budget units are reduced:

37	1. Department of administration	\$ (235,200)
38	2. Department of administration division of	
39	school facilities	\$ (40,600)
40	3. Office of administrative hearings	\$ (24,600)
41	4. Arizona department of agriculture	\$ (390,500)
42	5. Attorney general - department of law	\$ (610,000)
43	6. State board of charter schools	\$ (70,300)
44	7. Arizona commerce authority	\$ (250,000)
45	8. Office of economic opportunity	\$ (13,300)
46	9. State board of education	\$ (80,600)
47	10. Superintendent of public instruction	\$ (343,500)
48	11. Department of emergency and	
49	military affairs	\$ (150,200)
50	12. State board of equalization	\$ (18,400)
51	13. Board of executive clemency	\$ (37,100)
52	14. Governor's office	\$ (203,600)
53	15. Governor's office of strategic planning	
54	and budgeting	\$ (71,400)
55	16. Arizona historical society	\$ (59,900)
56	17. Prescott historical society	\$ (26,900)
57	18. Arizona judiciary - supreme court	\$ (364,000)
58	19. Arizona judiciary - court of appeals	\$ (638,800)
59	20. Arizona judiciary - superior court	\$ (123,000)
60	21. State land department	\$ (265,600)
61	22. Joint legislative budget committee	\$ (76,800)

1	23. Legislative council	\$ (235,600)
2	24. Legislative ombudsman - citizens aide	\$ (40,200)
3	25. Senate	\$ (451,600)
4	26. House of representatives	\$ (544,900)
5	27. State mine inspector	\$ (39,700)
6	28. Arizona navigable stream	
7	adjudication commission	\$ (3,600)
8	29. State real estate department	\$ (78,000)
9	30. Department of revenue	\$(1,255,500)
10	31. Department of state - secretary	
11	of state	\$ (338,500)
12	32. State board of tax appeals	\$ (8,000)
13	33. Office of tourism	\$ (182,100)
14	34. State treasurer	\$ (8,600)
15	35. Governor's office on tribal relations	\$ (1,700)
16	36. Arizona board of regents	\$ (82,300)
17	37. Arizona state university	\$(8,096,000)
18	38. Northern Arizona university	\$(2,624,500)
19	39. University of Arizona - main campus	\$(4,725,900)
20	40. University of Arizona - health	
21	sciences center	\$(1,027,700)

22 C. The universities under the jurisdiction of the Arizona board of regents may not
 23 reduce the monies allocated from the operating lump sum appropriations to the Arizona state
 24 university school of civic and economic thought and leadership, the northern Arizona
 25 university economic policy institute and the university of Arizona center for the philosophy
 26 of freedom by more than 2.5 percent of the total amount allocated to the school, institute or
 27 center.

28 Sec. 117. Phoenix convention center; allocation; fiscal year 2026-2027

29 Pursuant to section 9-602, Arizona Revised Statutes, \$26,997,100 of state general
 30 fund revenue is allocated in fiscal year 2026-2027 to the Arizona convention center
 31 development fund established by section 9-601, Arizona Revised Statutes.

32 <<Sec. 118. Balance transfer; school safety program; school safety
 33 interoperability fund; fiscal year 2026-2027

34 [A. Of the amount appropriated by Laws 2025, chapter 233, section 31 for the school
 35 safety program, the department of education shall transfer \$2,000,000 to the school safety
 36 interoperability fund established by section 41-1733, Arizona Revised Statutes, in fiscal
 37 year 2026-2027.

38 B. In fiscal year 2026-2027, the department of administration shall distribute the
 39 \$2,000,000 transferred to the school safety interoperability fund pursuant to subsection A of
 40 this section to the sheriffs of the following counties in the following amounts to install
 41 and support the school safety projects authorized pursuant to section 41-1733, Arizona
 42 Revised Statutes:

- 43 1. \$170,800 to Apache county.
- 44 2. \$173,900 to Gila county.
- 45 3. \$173,900 to Graham county.
- 46 4. \$105,600 to Greenlee county.
- 47 5. \$124,200 to La Paz county.
- 48 6. \$326,100 to Mohave county.
- 49 7. \$335,400 to Navajo county.
- 50 8. \$217,400 to Santa Cruz county.
- 51 9. \$372,700 to Yavapai county.]]>>

52 Sec. 119. Appropriations; state treasurer; public safety expenditures; fiscal
 53 year 2026-2027

54 A. The following amounts are appropriated from the peace officer training equipment
 55 fund established by section 41-1731, Arizona Revised Statutes, in fiscal year 2026-2027 to
 56 the state treasurer to distribute to the following recipients for public safety training
 57 simulators:

- 58 1. \$354,000 to the state department of corrections.
- 59 2. \$354,000 to the Flagstaff police department.
- 60 3. \$684,000 to the Yavapai county sheriff's office.
- 61 4. \$354,000 to the Glendale police department.

1 ~~[B.] The following amounts are appropriated from the peace officer training equipment~~
2 ~~fund established by section 41-1731, Arizona Revised Statutes, in fiscal year 2026-2027 to~~
3 ~~the state treasurer to distribute to the following recipients for fire incident management~~
4 ~~efforts:~~

- 5 ~~1. \$49,700 to the Pinetop fire district.~~
- 6 ~~2. \$145,700 to the Vernon fire district.~~
- 7 ~~3. \$99,400 to the Surprise fire department.~~
- 8 ~~4. \$160,900 to the Gilbert fire and rescue department.~~
- 9 ~~5. \$49,700 to the Buckeye fire department.~~
- 10 ~~6. \$132,500 to the Goodyear fire department.~~
- 11 ~~7. \$49,700 to the Daisy Mountain fire district.~~
- 12 ~~8. \$552,400 to the Chandler fire department.~~
- 13 ~~9. \$261,000 to the Superstition fire department.]~~

14 ~~[C.] [B.]~~ The following amounts are appropriated from the peace officer training
15 equipment fund established by section 41-1731, Arizona Revised Statutes, in fiscal year 2026-
16 2027 to the state treasurer to distribute to the following recipients for records management
17 software:

- 18 1. \$349,500 to the department of public safety.
- 19 2. \$171,800 to the Pima county sheriff's office.
- 20 3. \$64,900 to the university of Arizona police department.
- 21 4. \$99,800 to the Graham county sheriff's office.
- 22 5. \$67,000 to the Oro Valley police department.
- 23 6. \$65,000 to the Marana police department.
- 24 7. \$500,000 to the Pinal county sheriff's office.
- 25 8. \$220,000 to the Maricopa county sheriff's office.
- 26 9. \$64,900 to the Arizona state university police department.
- 27 10. \$55,000 to the Paradise Valley police department.
- 28 11. \$100,000 to the Phoenix police department.
- 29 12. \$125,900 to the Scottsdale police department.
- 30 13. \$189,700 to the Tempe police department.
- 31 14. \$65,900 to the Buckeye police department.
- 32 15. \$215,800 to the Mesa police department.
- 33 16. \$111,700 to the Chandler police department.
- 34 17. \$83,900 to the Peoria police department.
- 35 18. \$69,200 to the Goodyear police department.
- 36 19. \$72,500 to the Avondale police department.
- 37 20. \$55,000 to the El Mirage police department.
- 38 21. \$102,000 to the Gilbert police department.
- 39 22. \$47,800 to the Coconino county sheriff's office.
- 40 23. \$52,800 to the northern Arizona university police department.
- 41 24. \$82,500 to the Flagstaff police department.
- 42 25. \$81,000 Yavapai county sheriff's office.
- 43 26. \$50,000 to the Prescott police department.
- 44 27. \$50,000 to the Prescott Valley police department.
- 45 28. \$200,000 to the Cochise county sheriff's office.
- 46 29. \$55,900 to the Navajo county sheriff's office.
- 47 30. \$38,600 to the Winslow police department.
- 48 31. \$25,000 to the Snowflake-Taylor police department.
- 49 32. \$21,700 to the Pinetop-Lakeside police department.
- 50 33. \$20,000 to the Holbrook police department.
- 51 34. \$21,700 to the Show Low police department.
- 52 35. \$200,000 to the Mohave county sheriff's office.
- 53 36. \$65,000 to the Gila county sheriff's office.
- 54 37. \$38,000 to the Payson police department.
- 55 38. \$20,000 to the Miami police department.
- 56 39. \$25,000 to the Globe police department.
- 57 40. \$89,900 to the La Paz county sheriff's office.
- 58 41. \$44,900 to the Greenlee county sheriff's office.

59 ~~[D.] [C.]~~ The sum of \$150,000 is appropriated from the peace officer training
60 equipment fund established by section 41-1731, Arizona Revised Statutes, in fiscal year 2026-

1 2027 to the state treasurer to distribute to the town of Paradise Valley for law enforcement
2 equipment purchases.

3 [D. The sum of \$1,000,000 is appropriated from the peace officer training equipment
4 fund established by section 41-1731, Arizona Revised Statutes, in fiscal year 2026-2027 to
5 the state treasurer to distribute to the Arizona criminal justice commission for the purpose
6 of providing grants to acquire or implement technology that enhances recruitment and
7 retention activities. State agencies with law enforcement functions, local law enforcement
8 agencies and tribal police agencies are eligible for grants. Grant monies awarded pursuant
9 to this subsection shall be used for recruitment technology-based tools that improve hiring
10 and retention outcomes, including platforms that support recruiter development, streamline
11 applicant engagement, provide real-time performance data or enhance the consistency and
12 effectiveness of training practices. The appropriation made in this subsection is exempt
13 from the provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
14 appropriations.

15 E. The sum of \$300,000 is appropriated from the peace officer training equipment
16 fund established by section 41-1731, Arizona Revised Statutes, in fiscal year 2026-2027 to
17 the state treasurer to distribute to the superintendent for public instruction for school
18 hardening grants.]

19 Sec. 120. Rio Nuevo multipurpose facility district; estimated distribution;
20 fiscal year 2026-2027

21 Pursuant to section 42-5031, Arizona Revised Statutes, a portion of the state
22 transaction privilege tax revenues will be distributed to a multipurpose facility
23 district. The Rio Nuevo multipurpose facility district is estimated to receive \$19,000,000
24 in fiscal year 2026-2027. The actual amount of the distribution will be made pursuant to
25 section 42-5031, Arizona Revised Statutes.

26 Fund Balance Transfers

27 Sec. 121. Fund balance transfers; fiscal year 2025-2026

28 Notwithstanding any other law, on or before June 30, 2026, the following amounts from
29 the following fund sources are transferred to the state general fund for the purposes of
30 providing adequate support and maintenance for agencies of this state:

31	1. Department of administration	
32	Construction insurance fund	\$5,500,000
33	Co-op state purchasing fund	\$3,000,000
34	Risk management revolving fund	\$6,100,000
35	2. Arizona commerce authority	
36	Arizona competes fund	\$10,000,000
37	3. Corporation commission	
38	Securities regulatory and	
39	enforcement fund	\$14,700,000
40	Utility regulation revolving fund	\$3,400,000
41	4. Department of environmental quality	
42	Recycling fund	\$1,500,000
43	Underground storage tank	
44	revolving fund	\$2,400,000
45	5. Arizona game and fish department	
46	Heritage land acquisition fund	\$5,000,000
47	Watercraft licensing fund	\$3,400,000
48	6. Industrial commission of Arizona	
49	Administrative fund	\$6,700,000
50	7. Department of insurance and financial	
51	institutions	
52	Automobile theft authority fund	\$3,800,000
53	Financial services fund	\$3,300,000
54	8. State land department	
55	Trust land management fund	\$9,000,000
56	9. Judiciary - supreme court	
57	Judicial collection enhancement	
58	fund	[\$8,000,000] <u>[\$1,000,000]</u>
59	<u>Court appointed special advocate</u>	
60	<u>and vulnerable persons fund</u>	<u>\$3,000,000</u>
61	<u>10. Judiciary - superior court</u>	

1	<u>Juvenile probation services fund</u>	<u>\$4,000,000]</u>
2	[10.] <u>[11.]</u> Arizona state parks board	
3	State parks revenue fund	\$8,600,000
4	[11.] <u>[12.]</u> Department of transportation	
5	Motor vehicle liability insurance	
6	enforcement fund	\$15,000,000
7	State match advantage for rural	
8	transportation fund	\$6,700,000
9	Vehicle inspection and	
10	certificate of title	
11	enforcement fund	\$3,500,000
12	[12.] <u>[13.]</u> Water infrastructure finance	
13	authority of Arizona	
14	Water supply development	
15	revolving fund	\$20,000,000

16 Sec. 122. Fund balance transfer; state highway fund; fiscal year 2026-2027

17 A. Notwithstanding any other law, on or before June 30, 2027, \$9,700,000 is
 18 transferred from the state highway fund established by section 28-6991, Arizona Revised
 19 Statutes, to the state general fund in fiscal year 2026-2027 for the purpose of providing
 20 adequate support and maintenance for agencies of this state.

21 B. The amount transferred from the state highway fund in subsection A of this
 22 section reflects interest income earned from investment of monies in the state highway fund
 23 from a portion of revenues derived from the tax levied by title 42, chapter 5, articles 1 and
 24 5, Arizona Revised Statutes, that were transferred to the state highway fund by Laws 2022,
 25 chapter 321, section 20, subsection A, paragraph 2.

26 Sec. 123. Appropriation; attorney general; state department of corrections;
 27 opioid remediation; fiscal year 2026-2027; exemption

28 A. In addition to any other appropriation made in fiscal year 2026-2027, the sum of
 29 \$40,000,000 is appropriated from the consumer remediation subaccount of the consumer
 30 restitution and remediation revolving fund established by section 44-1531.02, Arizona Revised
 31 Statutes, in fiscal year 2026-2027 to the attorney general. This amount consists of monies
 32 deposited in the subaccount pursuant to opioid claims-related litigation or settlements.

33 B. On or before July 8, 2026, the attorney general shall transfer the monies
 34 appropriated in subsection A of this section to the state department of corrections opioid
 35 remediation fund established pursuant to section 35-142, Arizona Revised Statutes. If
 36 sufficient monies are not available on July 8, 2026 to complete the transfer of all monies
 37 appropriated in subsection A of this section, on or before July 8, 2026, the attorney general
 38 shall transfer such monies as are then held in the consumer remediation subaccount of the
 39 consumer restitution and remediation revolving fund established by section 44-1531.02,
 40 Arizona Revised Statutes, and not otherwise appropriated by the legislature. If a partial
 41 transfer is made pursuant to the preceding sentence, then within three business days of
 42 receipt of additional monies into the consumer remediation subaccount of the consumer
 43 restitution and remediation revolving fund established by section 44-1531.02, Arizona Revised
 44 Statutes, the attorney general shall transfer such monies to the state department of
 45 corrections opioid remediation fund established pursuant to section 35-142, Arizona Revised
 46 Statutes, and shall repeat such transfer process on receipt of additional monies until the
 47 entirety of the amount appropriated in subsection A of this section has been transferred.

48 C. The state department of corrections shall use the monies in the state department
 49 of corrections opioid remediation fund only for past and current department costs for care,
 50 treatment, programs and other expenditures for individuals with opioid use disorder and any
 51 co-occurring substance use disorder or mental health conditions or for any other approved
 52 purposes as prescribed in a court order, a settlement agreement or the one Arizona
 53 distribution of opioid settlement funds agreement that is entered into by this state and
 54 other parties to the opioid litigation.

55 D. Except as provided in subsection C of this section, the attorney general shall
 56 not impose any conditions on the transfer of the monies in the state department of
 57 corrections opioid remediation fund.

58 E. If the attorney general does not transfer the full amount specified in subsection
 59 A of this section on or before the date specified in subsection B of this section, the
 60 general accounting office of the department of administration shall directly transfer the
 61 amount from the consumer remediation subaccount of the consumer restitution and remediation

1 revolving fund established by section 44-1531.02, Arizona Revised Statutes, to the state
2 department of corrections opioid remediation fund.

3 F. The appropriation made in subsection A of this section is exempt from the
4 provisions of section 35-190, Arizona Revised Statutes, relating to lapsing of
5 appropriations.

6 Payment Deferrals

7 Sec. 124. Reduction in school district state aid apportionment in fiscal year
8 2026-2027; appropriation in fiscal year 2027-2028

9 A. In addition to any other appropriation reductions made in fiscal year 2026-2027,
10 the department of education shall defer until after June 30, 2027 but not later than July 12,
11 2027 \$800,727,700 of the basic state aid and additional state aid entitlement that otherwise
12 would be apportioned to school districts during fiscal year 2026-2027 pursuant to section
13 15-973, Arizona Revised Statutes. The funding deferral required by this subsection does not
14 apply to charter schools or to school districts with a student count of less than four
15 thousand pupils. The department of education shall make the deferral by reducing the
16 apportionment of state aid for each month in the fiscal year by the same amount.

17 B. In addition to any other appropriations made in fiscal year 2027-2028, the sum of
18 \$800,727,700 is appropriated from the state general fund in fiscal year 2027-2028 to the
19 department of education and the superintendent of public instruction for basic state aid and
20 additional state aid entitlement for fiscal year 2027-2028. This appropriation shall be
21 disbursed after June 30, 2027 but not later than July 12, 2027 to the several counties for
22 the school districts in each county in amounts equal to the reductions in apportionment of
23 basic state aid and additional state aid that are required pursuant to subsection A of this
24 section for fiscal year 2026-2027.

25 C. School districts shall include in the revenue estimates they use for computing
26 their tax rates for fiscal year 2026-2027 the monies they will receive pursuant to subsection
27 B of this section.

28 Statewide Adjustments

29 Sec. 125. Appropriations; operating adjustments

2026-27

30		
31	1. Employer health insurance	
32	contribution reduction	\$(240,665,300)
33	Fund sources:	
34	State general fund	\$(194,788,900)
35	Other funds	(45,876,400)
36	2. Employer health insurance	
37	contribution rate increase	\$404,684,500
38	Fund sources:	
39	State general fund	\$324,684,500
40	Other funds	80,000,000
41	3. State fleet operations	
42	reduction	\$ (5,195,900)
43	Fund sources:	
44	State general fund	\$ (5,205,900)
45	Other funds	10,000
46	4. State fleet replacement	
47	reduction	\$ (5,122,400)
48	Fund sources:	
49	State general fund	\$ (2,422,400)
50	Other funds	(2,700,000)
51	5. State fleet operations	
52	increase	\$ 6,190,600
53	Fund sources:	
54	State general fund	\$ 5,690,600
55	Other funds	500,000
56	6. State fleet replacement	
57	increase	\$ 2,964,200
58	Fund sources:	
59	State general fund	\$ 1,964,200
60	Other funds	1,000,000
61	7. Agency risk management	

1	reduction	\$ (25,888,300)
2	Fund sources:	
3	State general fund	\$ (19,999,600)
4	Other funds	(5,888,700)
5	8. Agency risk management	
6	increase	\$ 12,897,300
7	Fund sources:	
8	State general fund	\$ 9,897,300
9	Other funds	3,000,000
10	9. Agency retirement adjustment	\$ (3,407,300)
11	Fund sources:	
12	State general fund	\$ (3,135,800)
13	Other funds	(271,500)
14	10. Agency rent adjustment	\$ 137,000
15	Fund sources:	
16	State general fund	\$ 87,000
17	Other funds	50,000
18	11. Agency accounting system	
19	charge adjustment	\$ 2,760,300
20	Fund sources:	
21	State general fund	\$ 1,260,300
22	Other funds	1,500,000

23 Employer health insurance contribution reduction

24 The amount appropriated is for a onetime employer contribution rate reduction for
 25 employee health insurance in fiscal year 2026-2027. The joint legislative budget committee
 26 staff, in consultation with the governor's office of strategic planning and budgeting staff,
 27 shall determine and the department of administration shall allocate to each agency or
 28 department an amount for the health insurance contribution adjustment. The joint legislative
 29 budget committee staff shall also determine and the department of administration shall
 30 allocate adjustments, as necessary, in expenditure authority to implement the reduction in
 31 employer health insurance contribution rates. The joint legislative budget committee staff
 32 shall use the overall allocation of state general fund and appropriated tuition monies for
 33 each university in determining that university's specific adjustment.

34 Employer health insurance contribution increase

35 The amount appropriated is for a onetime employer contribution rate increase for
 36 employee health insurance in fiscal year 2026-2027. The joint legislative budget committee
 37 staff, in consultation with the governor's office of strategic planning and budgeting staff,
 38 shall determine and the department of administration shall allocate to each agency or
 39 department an amount for the health insurance contribution adjustment. The joint legislative
 40 budget committee staff shall also determine and the department of administration shall
 41 allocate adjustments, as necessary, in expenditure authority to implement the increase in
 42 employer health insurance contribution rates. The joint legislative budget committee staff
 43 shall use the overall allocation of state general fund and appropriated tuition monies for
 44 each university in determining that university's specific adjustment.

45 State fleet operations reduction

46 The amount appropriated is for a state fleet operations reduction in fiscal year
 47 2026-2027. The joint legislative budget committee staff, in consultation with the governor's
 48 office of strategic planning and budgeting staff, shall determine and the department of
 49 administration shall allocate to each agency or department an amount for the state fleet
 50 operations reduction. The joint legislative budget committee staff shall also determine and
 51 the department of administration shall allocate adjustments, as necessary, in expenditure
 52 authority for the state fleet operations reduction.

53 State fleet replacement reduction

54 The amount appropriated is for a state fleet replacement reduction in fiscal year
 55 2026-2027. The joint legislative budget committee staff, in consultation with the governor's
 56 office of strategic planning and budgeting staff, shall determine and the department of
 57 administration shall allocate to each agency or department an amount for the state fleet
 58 replacement reduction. The joint legislative budget committee staff shall also determine and
 59 the department of administration shall allocate adjustments, as necessary, in expenditure
 60 authority for the state fleet replacement reduction.

61 State fleet operations increase

1 The amount appropriated is for a state fleet operations increase in fiscal year 2026-
2 2027. The joint legislative budget committee staff, in consultation with the governor's
3 office of strategic planning and budgeting staff, shall determine and the department of
4 administration shall allocate to each agency or department an amount for the state fleet
5 operations increase. The joint legislative budget committee staff shall also determine and
6 the department of administration shall allocate adjustments, as necessary, in expenditure
7 authority for the state fleet operations increase.

8 State fleet replacement increase

9 The amount appropriated is for a state fleet replacement increase in fiscal year
10 2026-2027. The joint legislative budget committee staff, in consultation with the governor's
11 office of strategic planning and budgeting staff, shall determine and the department of
12 administration shall allocate to each agency or department an amount for the state fleet
13 replacement increase. The joint legislative budget committee staff shall also determine and
14 the department of administration shall allocate adjustments, as necessary, in expenditure
15 authority for the state fleet replacement increase.

16 Agency risk management reduction

17 The amount appropriated is for agency risk management premium reduction in fiscal
18 year 2026-2027. The joint legislative budget committee staff, in consultation with the
19 governor's office of strategic planning and budgeting staff, shall determine and the
20 department of administration shall allocate to each agency or department an amount for the
21 risk management reduction. The joint legislative budget committee staff shall also determine
22 and the department of administration shall allocate reductions, as necessary, in expenditure
23 authority to allow implementation of the risk management reduction.

24 Agency risk management increase

25 The amount appropriated is for agency risk management premium adjustments in fiscal
26 year 2026-2027. The joint legislative budget committee staff, in consultation with the
27 governor's office of strategic planning and budgeting staff, shall determine and the
28 department of administration shall allocate to each agency or department an amount for the
29 risk management adjustments. The joint legislative budget committee staff shall also
30 determine and the department of administration shall allocate adjustments, as necessary, in
31 expenditure authority to allow implementation of the risk management adjustments.

32 Agency retirement adjustment

33 The amount appropriated is for retirement adjustments in fiscal year 2026-2027. The
34 joint legislative budget committee staff, in consultation with the governor's office of
35 strategic planning and budgeting staff, shall determine and the department of administration
36 shall allocate to each agency or department an amount for the agency retirement
37 adjustments. The joint legislative budget committee staff shall also determine and the
38 department of administration shall allocate adjustments, as necessary, in expenditure
39 authority to implement the agency retirement adjustment.

40 Agency rent adjustment

41 The amount appropriated is for agency rent adjustments for agencies relocating to and
42 within state-owned and lease-purchase buildings in fiscal year 2026-2027. The joint
43 legislative budget committee staff, in consultation with the governor's office of strategic
44 planning and budgeting staff, shall determine and the department of administration shall
45 allocate to each agency or department an amount for the agency rent adjustment. The joint
46 legislative budget committee staff shall also determine, and the department of administration
47 shall allocate adjustments, as necessary, in expenditure authority to allow implementation of
48 the agency rent adjustment.

49 Accounting system charge adjustment

50 The amount appropriated is for accounting system charge adjustments in fiscal year
51 2026-2027. The joint legislative budget committee staff, in consultation with the governor's
52 office of strategic planning and budgeting staff, shall determine and the department of
53 administration shall allocate to each agency or department an amount for the accounting
54 system charge adjustment. The joint legislative budget committee staff shall also determine,
55 and the department of administration shall allocate adjustments, as necessary, in expenditure
56 authority to allow implementation of accounting system charge adjustments.

Sec. 126. Department of law; general agency counsel charges; fiscal year 2026-2027

Pursuant to section 41-191.09, Arizona Revised Statutes, the following state agencies and departments are charged the following amounts in fiscal year 2026-2027 for general agency counsel provided by the department of law:

1. Department of administration	\$127,700
2. Office of administrative hearings	\$ 3,000
3. Arizona arts commission	\$ 3,100
4. Citizens clean elections commission	\$ 2,700
5. State department of corrections	\$ 2,000
6. Arizona criminal justice commission	\$ 8,700
7. Arizona state schools for the deaf and the blind	\$100,200
8. Commission for the deaf and the hard of hearing	\$ 4,100
9. Arizona early childhood development and health board	\$ 47,100
10. Department of education	\$132,000
11. Department of emergency and military affairs	\$ 30,000
12. Department of environmental quality	\$135,600
13. Arizona exposition and state fair board	\$ 20,900
14. Arizona department of forestry and fire management	\$ 13,400
15. Department of gaming	\$ 37,300
16. Department of health services	\$173,800
17. Arizona historical society	\$ 700
18. Arizona department of housing	\$ 19,300
19. Department of insurance and financial institutions	\$ 13,800
20. Department of juvenile corrections	\$ 9,400
21. State land department	\$ 2,100
22. Department of liquor licenses and control	\$ 11,400
23. Arizona state lottery commission	\$ 24,800
24. Arizona state parks board	\$ 45,800
25. State personnel board	\$ 600
26. Arizona pioneers' home	\$ 12,100
27. Department of public safety	\$677,400
28. Arizona board of regents	\$ 1,800
29. Arizona state retirement system	\$ 69,100
30. Department of revenue	\$ 4,900
31. Department of state – secretary of state	\$ 1,800
32. State treasurer	\$ 9,200
33. Department of veterans' services	\$ 52,700

Reporting Requirements and Definitions

Sec. 127. Agency spending and encumbrances; quarterly report; fiscal year 2026-2027

Within fifteen days of the last day after each quarter in fiscal year 2026-2027, the department of administration shall report to the director of the joint legislative budget committee and the director of the governor's office of strategic planning and budgeting the year-to-date expenditures and year-to-date encumbrances for operating and capital spending from the state general fund and other agency funds in fiscal year 2026-2027. The information shall be separately delineated by agency, budget fiscal year and fund source and shall classify each appropriation by agency lump sum, special line item or project.

Sec. 128. COVID-related expenditures; reporting requirements; intent

A. Within forty-five days after the last day of each calendar quarter through June 30, 2028, the office of the governor shall report to the president of the senate, the speaker of the house of representatives, the chairpersons of the senate and house of representatives appropriations committees and the director of the joint legislative budget committee the total planned allocations and actual expenditures from the coronavirus state fiscal recovery fund and the coronavirus capital projects fund as appropriated by section 9901 of the American rescue plan act of 2021 (P.L. 117-2).

1 B. Within forty-five days after the last day of each calendar quarter through June
2 30, 2028, the superintendent of public instruction shall report to the president of the
3 senate, the speaker of the house of representatives, the chairpersons of the senate and house
4 of representatives appropriations committees and the director of the joint legislative budget
5 committee the total planned allocations and actual expenditures of monies allocated to the
6 superintendent of public instruction from the elementary and secondary school emergency
7 relief fund as appropriated by section 2001 of the American rescue plan act of 2021 (P.L.
8 117-2).

9 C. Reports required pursuant to this section shall delineate expenditures by agency
10 and program and include descriptions of the purposes of the expenditures.

11 D. The legislature intends that the executive branch of state government report on
12 its planned and actual use of any major additional federal aid to this state through federal
13 legislation enacted by the end of fiscal year 2026-2027. The timing and frequency of these
14 reports should be the same as required by subsections A and B of this section. The
15 chairperson and vice chairperson of the joint legislative budget committee may provide
16 recommendations to the executive branch concerning federal legislation that would qualify
17 under this subsection.

18 Sec. 129. Legislative intent; expenditure reporting

19 The legislature intends that all departments, agencies and budget units receiving
20 appropriations under the terms of this act continue to report actual, estimated and requested
21 expenditures by budget programs and budget classes in a format that is similar to the budget
22 programs and budget classes used for budgetary purposes in prior years. A different format
23 may be used if deemed necessary to implement section 35-113, Arizona Revised Statutes, agreed
24 to by the director of the joint legislative budget committee and incorporated into the budget
25 preparation instructions adopted by the governor's office of strategic planning and budgeting
26 pursuant to section 35-112, Arizona Revised Statutes.

27 Sec. 130. Border security; federal reimbursement

28 Pursuant to section 35-142.01, subsection A, Arizona Revised Statutes, if a budget
29 unit receives federal monies in fiscal year 2026-2027 as reimbursement in whole or in part
30 for expenditures made by this state to secure its borders, the budget unit shall promptly
31 deposit the monies in the state general fund. The directors of the budget units that receive
32 reimbursements under this section shall notify the joint legislative budget committee, the
33 governor's office of strategic planning and budgeting and the state comptroller in writing of
34 the deposits.

35 Sec. 131. FTE positions; reporting; definition

36 Full-time equivalent (FTE) positions contained in this act are subject to
37 appropriation. The director of the department of administration shall account for the use of
38 all appropriated and nonappropriated FTE positions, excluding those in the universities. The
39 director of the department of administration shall submit the fiscal year 2026-2027 report on
40 or before October 1, 2027 to the director of the joint legislative budget committee. The
41 report must compare the level of appropriated FTE usage in each fiscal year to the
42 appropriated level. For the purposes of this section, "FTE positions" means the total number
43 of hours worked, including both regular and overtime hours as well as hours taken as leave,
44 divided by the number of hours in a work year. The director of the department of
45 administration shall notify the director of a budget unit if the budget unit's appropriated
46 FTE usage has exceeded its number of appropriated FTE positions. Each university shall
47 report to the director of the joint legislative budget committee in a manner comparable to
48 the department of administration reporting.

49 Sec. 132. Filled FTE positions; reporting

50 On or before October 1, 2026, each agency, including the judiciary and universities,
51 shall submit a report to the director of the joint legislative budget committee on the number
52 of filled appropriated and nonappropriated FTE positions, by fund source, as of September 1,
53 2026.

54 Sec. 133. Transfer of spending authority

55 The department of administration shall report monthly to the director of the joint
56 legislative budget committee any transfers of spending authority made pursuant to section
57 35-173, subsection C, Arizona Revised Statutes, during the prior month.

58 Sec. 134. Interim reporting requirements

59 A. State general fund revenue for fiscal year 2025-2026, including a beginning
60 balance of \$1,367,290,000 and other onetime revenues, is forecasted to be \$18,516,400,000.

1 B. State general fund revenue for fiscal year 2026-2027, including onetime revenues,
2 is forecasted to be \$18,326,800,000.

3 C. State general fund revenue for fiscal year 2027-2028, including onetime revenues,
4 is forecasted to be \$18,287,400,000. State general fund expenditures for fiscal year 2027-
5 2028 are forecasted to be \$18,263,100,000.

6 D. State general fund revenue for fiscal year 2028-2029, including onetime revenues,
7 is forecasted to be \$19,164,600,000. State general fund expenditures for fiscal year 2028-
8 2029 are forecasted to be \$18,922,100,000.

9 E. On or before September 15, 2026, the executive branch shall provide to the joint
10 legislative budget committee a preliminary estimate of the fiscal year 2025-2026 state
11 general fund ending balance. The estimate shall include projections of total revenues, total
12 expenditures and an ending balance. The department of administration shall continue to
13 provide the final report for the fiscal year in its annual financial report pursuant to
14 section 35-131, Arizona Revised Statutes.

15 F. Based on the information provided by the executive branch, the staff of the joint
16 legislative budget committee shall report to the joint legislative budget committee on or
17 before October 15, 2026 whether the fiscal year 2026-2027 revenues and ending balance are
18 expected to change by more than \$50,000,000 from the budgeted projections. The joint
19 legislative budget committee staff may make technical adjustments to the revenue and
20 expenditure estimates in this section to reflect other bills enacted into law. The executive
21 branch may also provide its own estimates to the joint legislative budget committee on or
22 before October 15, 2026.

23 Sec. 135. Definition

24 For the purposes of this act, "*" means this appropriation is a continuing
25 appropriation and is exempt from the provisions of section 35-190, Arizona Revised Statutes,
26 relating to lapsing of appropriations.

27 Sec. 136. Definition

28 For the purposes of this act, "expenditure authority" means that the fund sources are
29 continuously appropriated monies that are included in the individual line items of
30 appropriations.

31 Sec. 137. Definition

32 For the purposes of this act, "review by the joint legislative budget committee"
33 means a review by a vote of a majority of a quorum of the members of the joint legislative
34 budget committee.

35 Enroll and engross to conform

36 Amend title to conform

DAVID LIVINGSTON

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